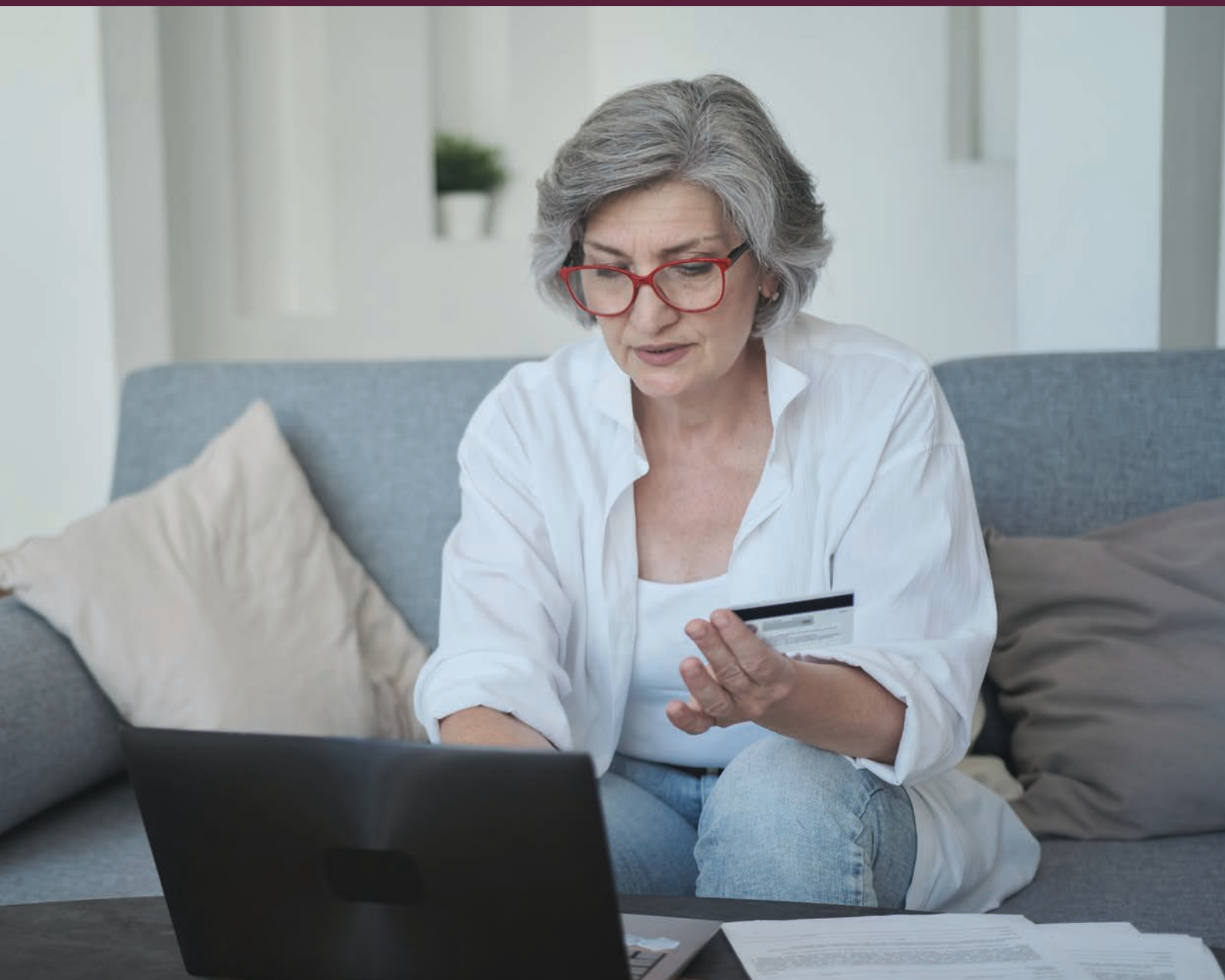


Consumer Finance Risk Monitor 2026



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Preface

Consumers of financial products and services experience a complex and dynamic landscape, shaped by evolving risks, opportunities and vulnerabilities. The rise in financial scams and frauds poses material threats to consumer confidence and financial well-being, while the rapid digitalisation of the financial sector is transforming how consumers access, use and manage financial products and services, which presents both new benefits and challenges. At the same time, interest rates and inflation, which remain elevated compared to pre-COVID-19 pandemic levels in several jurisdictions, result in increased borrowing costs and place pressure on many household budgets.

When these macroeconomic pressures interact with pre-existing vulnerabilities affecting certain households, such as low levels of financial literacy, high debt levels and constrained incomes, they amplify risks to individual and household financial well-being. Conduct-related risks, such as unclear disclosures, inadequate or misleading financial advice and dishonest sales practices, can lead to consumer detriment as individuals make decisions about how to choose financial products and services, and how best to spend, save and invest their money.

The *Consumer Finance Risk Monitor 2026* is published at an important moment, as structural economic, technological and conduct-related risks converge in ways that significantly elevate both consumer exposure and the need for strengthened oversight. Across seven chapters, the report examines and provides evidence about risks affecting financial consumers, the financial products and services most likely to give rise to consumer detriment, and trends in consumer complaints and financial scams and frauds.

Taken together, responses from the 60 participating jurisdictions point to a consumer experience that continues to evolve, influenced by technological transformation, economic pressures, and changes in market behaviour. Drawing on original data and analysis, the OECD is pleased to offer this report to support policymakers in identifying and addressing current and emerging trends, issues and risks, and in strengthening protections for financial consumers.



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Foreword

Based on original data from 60 jurisdictions worldwide, the *Consumer Finance Risk Monitor 2026* marks the second edition of this global assessment. The report provides an analysis of trends, issues and risks facing financial consumers globally, synthesising the views of 107 government ministries and financial authorities. It examines sources of consumer harm and complaints in five product markets (banking and payments, consumer credit, insurance, investments and pensions) and describes regulatory and supervisory responses to address risks related to market conduct. The report breaks down analysis by country income levels and where relevant compares data from the 2024 edition. The report also highlights tools used to monitor risks and presents data on financial scams and frauds.

Policymakers, public authorities and other stakeholders can draw upon the report's evidence on the risks facing financial consumers to inform legal and regulatory reform to enhance financial consumer protection where required, guide market monitoring and respond effectively to consumer detriment.

This report has been developed by the Capital Markets and Financial Institutions Division of the OECD Directorate for Financial and Enterprise Affairs. It was prepared by Tanjana Islam and Rachel Karen with the support of Gabrielle Beaulieu, under the supervision of Matthew Soursourian, Senior Policy Analyst, Miles Larbey, Head of the Financial Consumer Protection, Education and Inclusion Unit, and Serdar Çelik, Head of Division. Delegates to the Working Party on Financial Consumer Protection, Education and Inclusion (WPFCEI) and Members of FinCoNet provided input.

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Executive summary

Consumers of financial products and services face a complex and dynamic financial landscape, characterised by a wide range of opportunities and risks. In this context, it is essential to identify and monitor issues, trends and risks affecting financial consumers, track consumer detriment and address potential detriment.

With developments such as growing cost-of-living pressures and the rapid digitalisation of the financial sector, consumers encounter increasingly complex financial products and services, which can amplify exposure to fraud, heighten digital exclusion and create regulatory gaps. The interplay of risks stemming from the operating environment, demand-side vulnerabilities, and the conduct of financial services providers and intermediaries can compound one another, with significant implications for consumers' trust and financial well-being.

Digitalisation offers many benefits for financial consumers, but it can also intensify scams and frauds, drive financial exclusion and disrupt customer service channels

Digitalisation is reshaping the financial landscape, amplifying opportunities and risks. In this context, financial scams and frauds are the most significant risk facing financial consumers. Eighty-five per cent of jurisdictions identified it as a risk, and they generally anticipate that it will increase in 2026. Digitalisation is intensifying the rapid rise and sophistication of digital fraud and scams, including phishing, vishing and smishing, social-engineering attacks, identity theft, deepfakes, and AI-generated fraudulent content. It also creates an increasingly challenging environment for policymakers, regulators and supervisors. For most respondents (69%), the incidence of financial scams and frauds increased in 2025 compared to 2024.

While digitalisation can support greater financial inclusion, it can also introduce new forms of exclusion, as the shift towards online channels, paired with traditional bank branch closures, can leave behind consumers with low digital or financial literacy. The risk of consumer detriment may also arise from the growing use of algorithmic decision making, which consumers often cannot understand or question, increasing the risk of biased outcomes and the likelihood that individuals will enter unfavourable financial arrangements. Furthermore, while digital interfaces can make information more user-friendly and accessible, rapid digital innovation may also introduce new sources of opacity and weaken customer support channels. Thus, consumers already struggling with digital financial services may face both more opaque products and fewer avenues for adequate customer support, which may amplify their vulnerability.

High levels and the cost of consumer debt are a major risk for the resilience of households

High levels of consumer debt are the second most significant (63%) risk on the demand side. They represent a pressure point for household financial resilience, with many jurisdictions anticipating that levels

will continue to rise in 2026. Consumer debt is driven by a combination of macroeconomic pressures and easy access to credit, among other factors. The rapid expansion of digital lending channels, including online loans and credit-like products, offers convenient access to credit but may obscure the true cost of borrowing or bypass robust affordability assessments.

The conduct of financial services providers and intermediaries can affect consumer debt levels. Ineffective disclosures of financial products and services are the most significant conduct-related risk facing consumers, identified by 44% of responding jurisdictions. Within the consumer credit sector, the most frequent subjects of consumer complaints in 2025 were fees and charges and poor value for money, followed by lack of disclosures and debt collection.

Financial products and services are increasingly complex, and complaints are generally rising

The fast pace of innovation in the financial sector, including the development of new types of financial products and services, brings many benefits for financial consumers looking to save, borrow and invest.

At the same time, innovation can lead to greater complexity of financial products and services, which risks widening the knowledge gap between firms and consumers. This is particularly true for digital assets, a leading source of potential consumer detriment in the investment sector in 2025 (as identified by nearly 80% of jurisdictions). The challenges stemming from product complexity, which can arise across all financial product sectors, are often intensified by unreliable information, aggressive marketing tactics, and, in some cases, the presence of unlicensed providers, all of which can increase consumer harm. Gaps in regulatory or supervisory frameworks may further exacerbate risks, as products are offered without adequate safeguards.

Across all sectors, consumer complaints have generally risen: the total volume of consumer complaints received by supervisory authorities increased in 70% of responding jurisdictions between 2024 and 2025.

What can governments do?

Addressing current and emerging risks facing financial consumers and supporting consumer trust, confidence and financial well-being require effective financial consumer protection frameworks. These frameworks should ensure fair and responsible treatment of financial consumers in their purchase and use of financial products and services, and in their dealings with financial services providers. The implementation of robust frameworks, aligned with the G20/OECD High-Level Principles of Financial Consumer Protection, can help protect financial consumers from detriment.

Strong market conduct supervision and enforcement capabilities are also necessary to administer financial consumer protection frameworks and address misconduct, including through SupTech applications, data analytics and risk-based monitoring. Coordinated approaches that bring together financial authorities, cybersecurity agencies, regulators, law enforcement bodies, industry and consumer associations can also strengthen capacity to tackle cross-sectoral challenges such as financial scams and frauds. Defining clear objectives and measuring the effectiveness of regulation and supervision helps set expectations and inform evidence-based approaches and interventions.

Lastly, addressing current and emerging risks also requires empowering consumers by providing them with the tools, skills and competencies they need to make informed financial decisions. Jurisdictions are therefore expanding their digital financial literacy initiatives, implementing tools (e.g. price comparison tools) and supporting targeted outreach to consumers who may be vulnerable.

1 Monitoring risks faced by financial consumers

This second edition of the *Consumer Finance Risk Monitor* shows that consumers of financial products and services continue to face a complex financial landscape, characterised by a range of evolving issues and risks. As such, it is important for policymakers and national authorities responsible for financial consumer protection, as well as relevant international bodies, to understand and monitor intelligence about consumer issues and risks, track sources of potential consumer detriment, and share effective approaches to address risks and harms. This report builds on the 2024 edition to support these objectives and understand global trends. This chapter presents the objectives and methodology of the *Consumer Finance Risk Monitor*, provides an overview of recent economic and financial trends and summarises the policy context.

1.1. Introduction

This second edition of the *Consumer Finance Risk Monitor* shows that consumers continue to face a complex and dynamic financial landscape, characterised by a range of evolving opportunities and risks. These may stem from the broader economic context (i.e. risks arising from the operating environment), the characteristics and circumstances of consumers themselves (i.e. demand-side risks) or from the behaviour and actions of financial services providers (i.e. conduct-related risks).

Despite a relatively stable economic outlook compared to the period covered by the 2024 edition of the *Consumer Finance Risk Monitor* (2022-2023), consumers around the world are facing a significant amount of uncertainty in the near-term, which can affect their financial well-being (OECD, 2025^[1]). The rapid expansion in digital financial products and services presents both opportunities and challenges for many consumers, with rising levels of financial scams and frauds posing significant risks. At the same time, elevated interest rates and inflation relative to pre-COVID-19 pandemic levels in several jurisdictions are driving up borrowing costs and putting a strain on many household budgets. When these macroeconomic pressures interact with pre-existing household vulnerabilities, such as low financial and digital literacy, elevated debt levels and limited incomes, they heighten risks to individual and household financial well-being. Conduct-related risks, such as unclear disclosures, poor financial advice or dishonest sales practices, exacerbate the issues faced by financial consumers.

In this context, it is important to monitor the issues and risks facing financial consumers, identify sources of potential consumer detriment and share effective approaches that can help mitigate these risks and harms. The OECD Working Party on Financial Consumer Protection, Education and Inclusion (WPFCEI) developed the *Consumer Finance Risk Monitor* (also referred to as “the Risk Monitor”) to support these objectives, assist with prioritisation of resources and contribute to the evidence base to inform policy, regulatory and supervisory approaches. This second edition of the report builds on the findings from the *Consumer Finance Risk Monitor 2024* (also referred to as “the 2024 edition”) and synthesises the perspectives of 60 jurisdictions on the issues and risks facing financial consumers, focusing on data from 2025 and projections for 2026.

1.2. Objectives of the *Consumer Finance Risk Monitor*

The objectives of this report are to:

1. **Identify and track trends over time:** The *Consumer Finance Risk Monitor* serves as a tool to identify and track issues and risks facing financial consumers globally. It captures the perceptions and experiences of policymakers, regulators and supervisors, as well as the measurement of key issues and risks, serving as a tracker of common challenges that may require attention. By monitoring trends over time, the *Consumer Finance Risk Monitor* highlights which risks may be increasing, stable or decreasing. As the second edition of this report, it provides multiple data points to help national authorities assess the direction of these trends.
2. **Assist with prioritisation:** The *Consumer Finance Risk Monitor*, along with other inputs, can help inform the priorities of the WPFCEI and other bodies. It may also be used to inform efforts to measure the effectiveness and implementation of the G20/OECD High-Level Principles on Financial Consumer Protection (the G20/OECD Financial Consumer Protection Principles). In addition, where relevant, national authorities can also use the *Consumer Finance Risk Monitor* to inform their risk-based supervision and market monitoring activities by combining a deductive approach (i.e. activities based on risk assessments of their own markets) with a top-down approach (i.e. improving supervisors’ capacity to prepare for and assess global risks that are not yet present in their markets but may emerge soon).

3. Give more weight to the voice of financial consumer protection policymakers and authorities in international policy debates and contribute to the available evidence base:

The *Consumer Finance Risk Monitor* provides a structured evidence base to highlight the most important risks faced by consumers globally, based on the assessment of national authorities responsible for financial consumer protection. By sharing this evidence in international and national policy discussions, the *Consumer Finance Risk Monitor* amplifies the consumer protection perspective and complements work carried out by other international policy and standard-setting bodies (e.g. Financial Stability Board, International Monetary Fund, Group of Twenty (G20), World Bank) to build a holistic and global picture of the risks facing consumers in the financial services market.

1.3. Data collection and methodology

The findings in this report are based on primary data collected from **60** jurisdictions representing the views of **107** government ministries and financial authorities on ongoing and emerging issues and risks facing financial consumers, complemented by secondary data sources.

The primary data collection was conducted through a Reporting Template. Respondents included 27 OECD Member countries, 11 G20 member countries, 5 G7 member countries, and 9 of 21 APEC members. The 2024 edition received responses from 43 jurisdictions, of which 34 also responded to the 2026 edition, reflecting a 79% retention rate. Throughout the report, figures are presented as percentages of total responses to the applicable question.

The Reporting Template collected information on three key types of risks to financial consumers. The three categories of risks are those stemming from the broader economic context (i.e. operating-environment risks; see Chapter 2), the characteristics and circumstances of consumer themselves (i.e. demand-side risks; see Chapter 3) and the behaviour and actions of financial services providers (i.e. conduct-related risks; see Chapter 4). For each of the three categories, respondents were asked to choose the three most significant risks to financial consumers in their jurisdictions in 2025 and indicate if they anticipated that the risk would increase, decrease, or stay the same in 2026. For each conduct-related risk selected, jurisdictions were also asked to identify the regulatory and supervisory actions they had taken in response.

The Reporting Template also captured granular information across five product sectors: banking and payments; credit; insurance; investments; and pensions. This provides more detailed insights and helps sectoral regulators and supervisors respond to the Reporting Template from the perspective of their specific market. For each product market, respondents were asked to identify the three products and services giving rise to the most consumer detriment in 2025 and indicate whether such detriment was expected to increase, decrease or stay the same in 2026 (see Chapter 5). Respondents also reported data on financial scams and frauds (see Chapter 2) and consumer complaints (see Chapter 6).

Data collection took place between July and November 2025. A full list of participants, including the authorities that contributed data, can be found at Annex A.

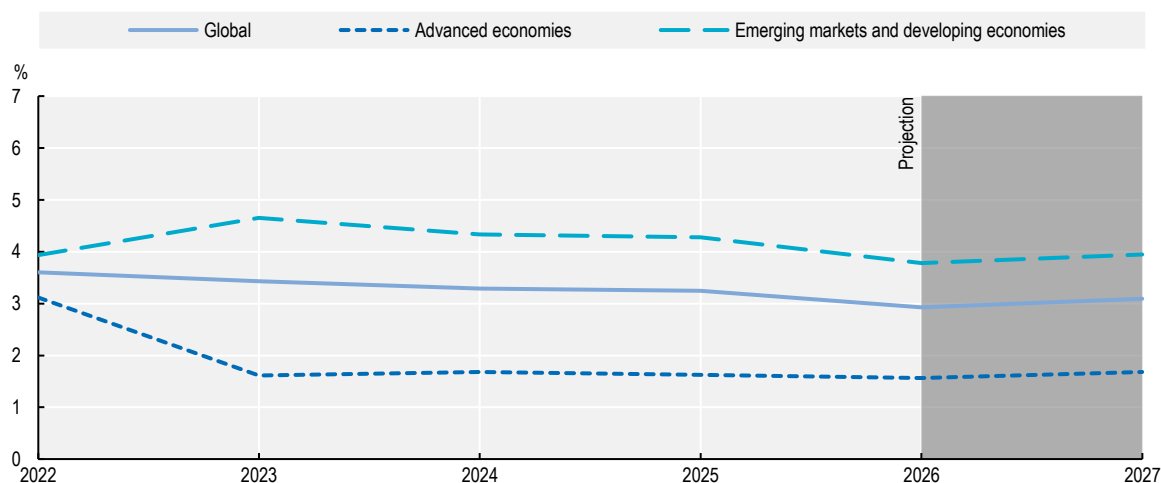
1.4. Recent economic and financial trends

Today's consumers of financial products and services are exposed to economic uncertainty driven by global events, including ongoing trade developments and the application of tariffs, elevated costs of living (including housing) and labour market uncertainties (OECD, 2025^[1]).

Against this backdrop of heightened uncertainty for consumers, global economic trends further illustrate the shifting conditions shaping household finance. Global GDP growth is projected to slow from 3.2% in

2025 to 2.9% in 2026, before rebounding to 3.1% in 2027 (Figure 1.1) (OECD, 2025^[1]). These estimates reflect a slight downward revision from the earlier forecast of 3.3% growth in both 2025 and 2026 (OECD, 2024^[2]). Although ongoing geopolitical and policy uncertainty may continue to dampen domestic demand in many economies, global growth is expected to recover through 2026 as the effects of higher tariffs fade, financial conditions improve, supportive macroeconomic policies take hold and inflation normalises (OECD, 2025^[1]).

Figure 1.1. GDP growth trends and projections



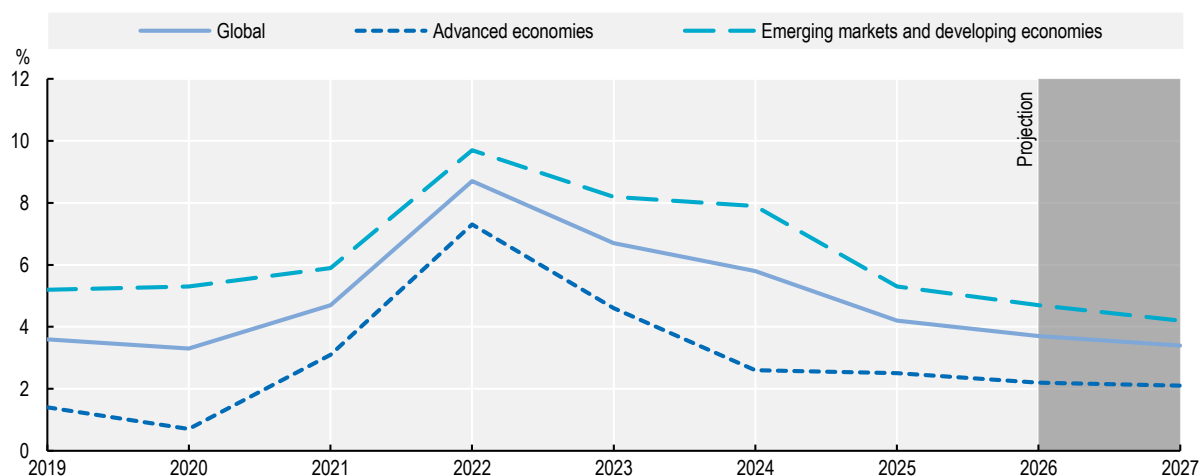
Note: 'Advanced economies' include OECD member countries except Chile, Colombia, Costa Rica, Mexico, and Türkiye, plus Croatia. 'Emerging markets and developing economies' comprises all other economies.

Source: OECD Economic Outlook 118 database; OECD Economic Outlook 117 database; OECD Interim Economic Outlook 118 database; and OECD calculations.

Relative to peak levels in 2022, global inflation has moderated due to a decline in worldwide commodity prices, an easing of supply chain disruptions and monetary policy tightening by central banks. Headline inflation is projected to fall from 3.4% in 2025 to 2.9% in 2026 in G20 economies, as economic growth moderates and labour market pressures ease (OECD, 2025^[1]).

Notwithstanding the easing of headline and core inflation, price pressures remain a concern. In emerging markets and developing economies, headline inflation has declined to levels around those seen in 2019, with projected further declines in 2026 and 2027 (Figure 1.2). Inflation levels in advanced economies, however, remain higher than pre-pandemic levels. Despite these generally positive projections, underlying inflation (i.e. the persistent component of inflation) has not yet fully returned to target in many jurisdictions, and the pace of disinflation has slowed while inflation expectations have increased. The risk of higher inflation is increased by easier global financial conditions, higher geopolitical tensions, wider trade restrictions and rising prices for some key items, such as food (OECD, 2025^[1]).

Figure 1.2. Headline inflation trends and projections

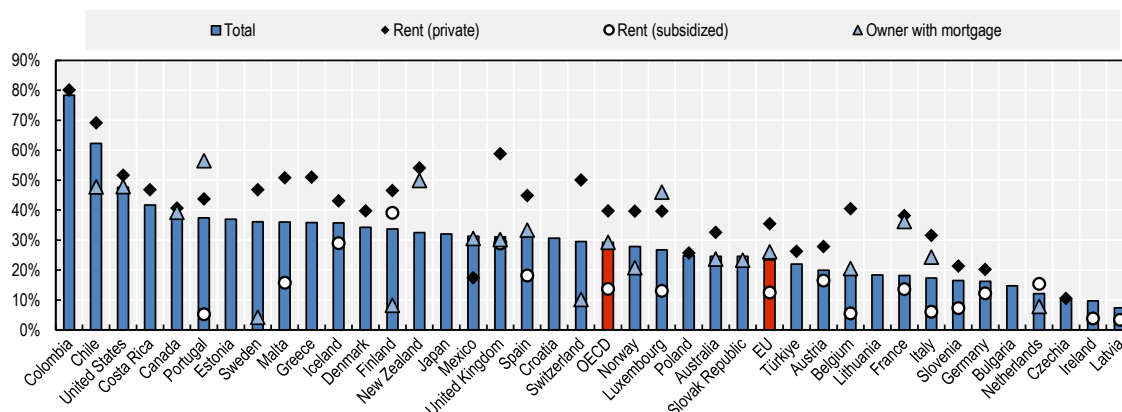


Source: International Monetary Fund (2025), *World Economic Outlook - Global Economy in Flux, Prospects Remain Dim*, <https://www.imf.org/en/publications/weo/issues/2025/10/14/world-economic-outlook-october-2025>.

Food and energy prices are a concern globally. In August 2025, food prices in the OECD were 46% higher than in December 2019, due to factors such as supply chain disruptions and the start of Russia's war of aggression in Ukraine (OECD, 2025^[3]). In the United Kingdom, for example, food prices increased by 37% between 2020 and 2025, and as a result, low-income families spent a greater portion of their money on food (Mistry and Moreau, 2025^[4]). In Canada, forecasts suggest that increases in grocery prices could contribute to ongoing affordability pressures (Charlebois et al., 2025^[5]). Among EMDEs, the steepest food price increases between 2019 and 2024 in countries such as Mexico, Nigeria and Pakistan were in the starchy staple foods that form the core of diets for the poorest households, and oils (FAO, 2025^[6]). In EMDEs, food accounts for about 30-45% of expenditures, making households' budgets highly exposed to food price changes (World Bank, 2022^[7]). Additionally, despite a moderation in global energy prices, some markets remain vulnerable to volatility amid persistent geopolitical risks, especially in Europe (International Energy Agency, 2025^[8]).

Finally, housing costs are a persistent source of financial stress in many jurisdictions, particularly for families with low incomes. In the OECD, nearly a third of the population in the lowest income quintile spends more than 40% of their disposable income on housing costs (Figure 1.3). Increases in food, energy, and housing costs, i.e. non-discretionary expenses, intensify pressure on many household budgets, with the heaviest burden falling on the lowest income consumers (International Monetary Fund, 2022^[9]).

Figure 1.3. Housing cost overburden rate among low-income owners and tenants in selected OECD and EU countries



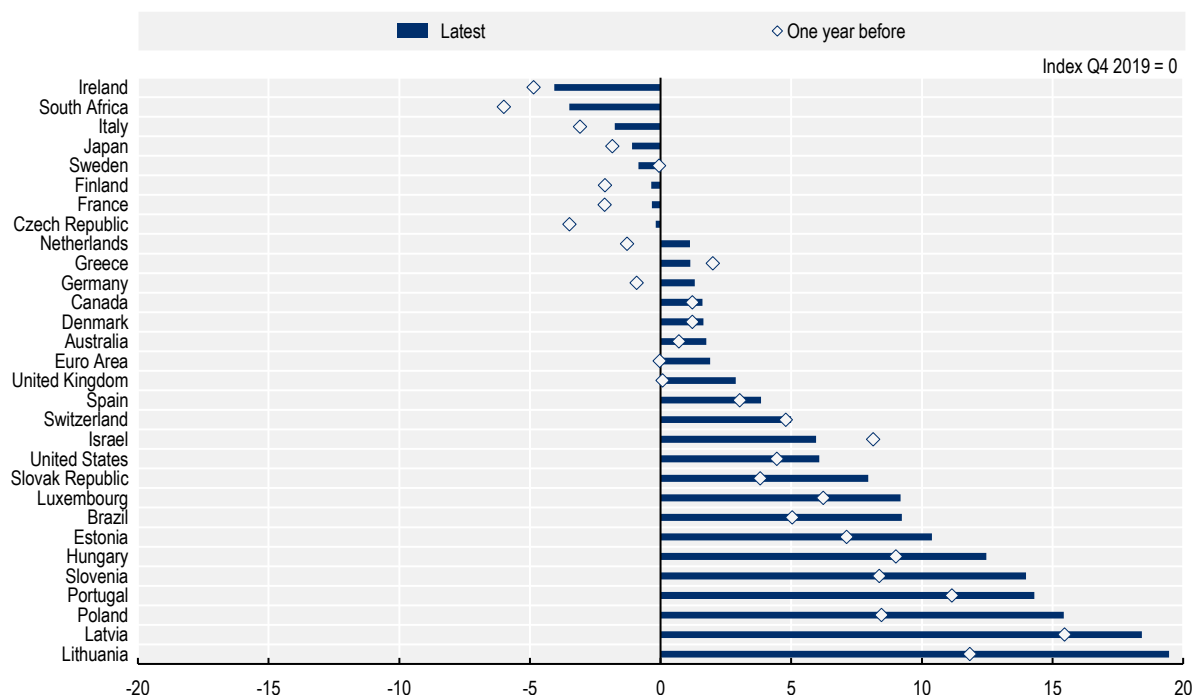
Note: The chart shows the share of the population in the bottom quintile of the income distribution spending more than 40% of disposable income on mortgage and rent, by tenure, in per cent, 2024 or latest year available.

Source: OECD (2025), OECD Affordable Housing Database - indicator HC 1.2. Housing costs over income, <https://oe.cd/ahd>.

Amid these broader macroeconomic dynamics, developments in labour markets provide further insight into the evolving pressures faced by households. The growth in unit labour costs in the OECD has slowed but remains elevated compared with many countries' medium-term inflation targets (OECD, 2025^[1]). Reflecting the relatively high labour costs, job openings per unemployed worker have fallen below pre-pandemic averages in major economies, including Canada, Germany, Japan, the United Kingdom and the United States (OECD, 2025^[1]). Jobs reports since July 2025 have been much weaker than expected, showing a sharp slowdown in hiring. The global unemployment rate rose to 4.3% in August 2025, and signs of weakening labour market activity have emerged amid ongoing shifts in labour supply (International Monetary Fund, 2025^[10]).

Notwithstanding, real wages have continued to rise relative to 2019 values in jurisdictions where strong nominal wage increases are paired with declining inflation, as seen in many euro area economies (Figure 1.4). In contrast, persistent inflation in some economies has caused real wage growth to level off and even slightly decline (OECD, 2025^[1]). Although real wages in the OECD recorded positive year-on-year growth in 2025, they remained below 2021 levels in half of countries, with 2021 used as the reference point since pandemic-related distortions in nominal wages had largely dissipated by that time, allowing for a more meaningful assessment of wage developments following the subsequent inflation surge (OECD, 2025^[1]).

Figure 1.4. Real wage growth since 2019 in selected OECD and non-OECD countries



Note: The compensation rate of employees is deflated by the private consumption deflator except for Brazil, where it corresponds to real labour income (usual earnings). The latest historical point corresponds to Q3 2025 for Brazil, Japan, Spain and the United Kingdom, and Q2 2025 for remaining jurisdictions except Israel (Q1 2025).

Source: OECD Economic Outlook 118 database; CEIC; and OECD calculations.

These labour market trends coincide with evolving financial conditions, particularly those related to rising sovereign debt levels and long-term yields. Since 2010, emerging market economies have seen their total sovereign debt jump fourfold in dollar terms, and in the median country it has nearly doubled relative to GDP (OECD, 2025^[11]). In most emerging markets, long-term yields on sovereign bonds declined in 2025. Conversely, sovereign bond yields in advanced economies increased, modestly for ten-year maturities and more markedly for thirty-year bonds. Persistent budget deficits in many advanced economies have raised concerns about growing public debt and its sustainability, contributing to these higher yields on long-term government bonds. Ongoing fiscal shortfalls mean private investors will need to continue absorbing large volumes of new sovereign debt, especially in countries where central banks are still reducing their balance sheets (OECD, 2025^[11]).

Rising long-term government bond yields can lead to higher borrowing costs for households, since banks often use these yields, alongside central bank policy rates, as a reference point when setting interest rates on mortgages and other consumer loans (Eller and Reininger, 2016^[12]).

Consumer sentiment broadly reflects these economic trends. According to the Ipsos *Cost of Living Monitor 2025*, a survey across 30 countries that monitors global sentiment about personal finances, 59% of consumers say they are just getting by (32%) or struggling (27%). Only 37% of consumers say they are living comfortably. Consumer expectations for the future were mixed. On average across the 30 countries, about a third of consumers expected their disposable income to rise in 2026, with the remaining two-thirds expecting it to stay the same (36%) or fall (31%). All countries with higher-than-average positive income expectations were in Africa, Asia or Latin America, while the five countries with the lowest share of consumers anticipating income growth were France (15%), Belgium (18%), Germany, Japan and

Canada (20%) (Ipsos, 2025^[13]). These results reflect the broader economic picture: although the global economy has been resilient and shown signs of improvement, vulnerabilities persist.

1.5. Financial consumer protection: policy context

The WPFCEI is the leading international forum for financial consumer protection policy.¹ It comprises representatives of G20, OECD and FSB jurisdictions as well as relevant international organisations and standard setting bodies. The WPFCEI is responsible for the G20/OECD Financial Consumer Protection Principles, the international standard.

In addition to the G20/OECD Financial Consumer Protection Principles, the WPFCEI is also responsible for the OECD Recommendation on Consumer Protection in the field of Consumer Credit [\[OECD/LEGAL/0453\]](#) (the Credit Recommendation). The Credit Recommendation sets out recommended policy and regulatory measures relating to the life cycle of consumer credit products and services, to promote fair treatment of consumers via affordable and suitable credit products, and to prevent over-indebtedness. In 2024, the WPFCEI undertook a review of the implementation, dissemination and continued relevance of the Credit Recommendation (OECD, 2025^[14]). In 2025, the WPFCEI proposed updates to the Recommendation to address recent developments and emerging trends in consumer credit markets.

1.5.1. G20/OECD High-Level Principles on Financial Consumer Protection

The G20/OECD Financial Consumer Protection Principles are the international standard for comprehensive and effective financial consumer protection frameworks and are included in the Financial Stability Board Compendium of Standards. The G20/OECD Financial Consumer Protection Principles were developed by the WPFCEI and first endorsed by G20 Leaders in 2011 and subsequently adopted by the OECD Council in the form of a Recommendation [\[OECD/LEGAL/0394\]](#) in 2012. The G20/OECD Financial Consumer Protection Principles were updated in 2021-22 to take account of policy areas that had emerged since they were initially adopted, to ensure they continued to reflect best practices.

Figure 1.5. G20/OECD High-Level Principles on Financial Consumer Protection



Note: Text in green colour denotes revisions made through the 2021-2022 revision of the High-Level Principles on Financial Consumer Protection.

Source: OECD (2012), "Recommendation of the Council on High-Level Principles on Financial Consumer Protection", *OECD Legal Instruments*, [OECD/LEGAL/0394](https://legalinstruments.oecd.org/en/instruments/OECD-LEGAL-0394), OECD, Paris, <https://legalinstruments.oecd.org/en/instruments/OECD-LEGAL-0394>.

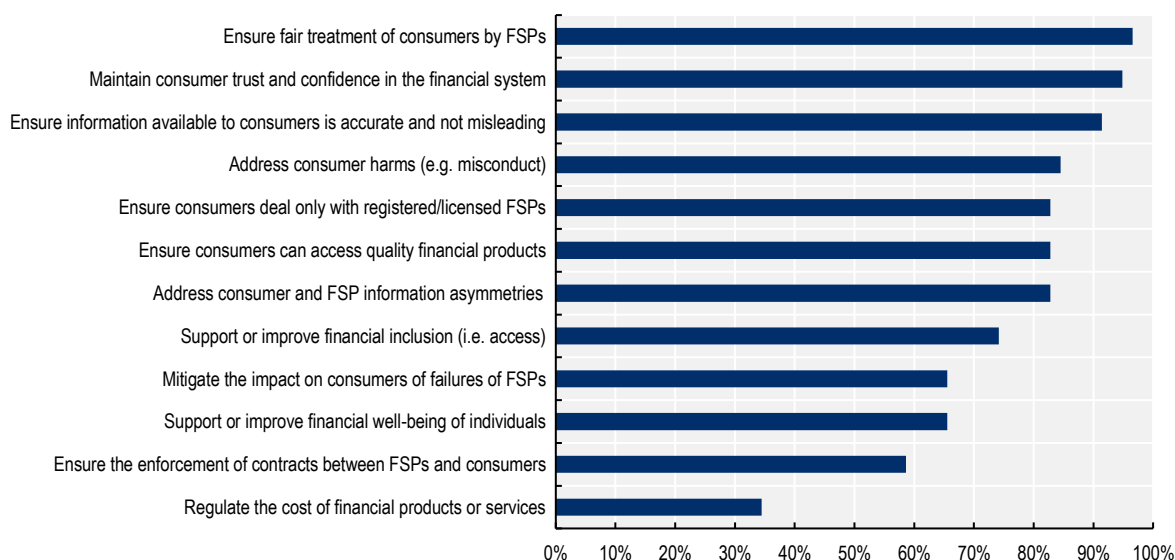
Financial consumer protection refers to the framework of laws, regulations and other measures designed to promote the fair and responsible treatment of consumers, prevent or mitigate harm arising from such things as asymmetries of information and market power, and contribute to positive consumer outcomes. By promoting transparency, fair conduct, and effective oversight (e.g. via market conduct supervision), financial consumer protection frameworks promote consumer trust and confidence, support financial inclusion, and enhance the financial resilience and well-being of households, especially during periods of economic stress or financial hardship. The G20/OECD Financial Consumer Protection Principles also emphasise that effective financial consumer protection contributes to financial stability and financial

well-being by supporting expanded access to financial services in ways that benefits consumers, protects them from harms, and supports healthy, competitive financial markets.

1.5.2. Objectives of financial consumer protection

To provide insights into the broader public policy context, the Reporting Template for the *Consumer Finance Risk Monitor* asked jurisdictions to identify the public policy objectives of their financial consumer protection regulatory and supervisory frameworks.

Figure 1.6. Objectives of financial consumer protection regulatory and supervisory frameworks



Note: N= 58. Percentages reflect the share of responding jurisdictions that selected each objective. FSPs = financial services providers.
Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

The most common public policy objectives of financial consumer protection are ensuring the fair treatment of consumers (selected by 97% of respondents), maintaining trust and confidence in the financial system (95%), ensuring accuracy of information (91%) and addressing consumer harms (84%). These results are consistent with the economic and legal rationales of financial consumer protection policies (Sparrow, 2008^[15]; Campbell et al., 2010^[16]), and reflect the objectives identified in the G20/OECD Financial Consumer Protection Principles (OECD, 2022^[17]). The objective of supporting or improving financial inclusion is a more frequent objective in low- and middle-income jurisdictions (84%) than in high-income jurisdictions (67%), which may reflect the lower levels of financial inclusion in such jurisdictions generally.

Supporting financial well-being

A number of jurisdictions identified supporting or improving financial well-being as one of the objectives of their financial consumer protection framework, among others. While financial well-being has long been part of overall well-being frameworks (OECD, 2024^[18]), it has recently become an area of focus reflecting a growing awareness of the importance of focusing on outcomes for consumers as they make financial decisions and interact with the financial system.

In 2024, Brazil's G20 Presidency and the OECD developed the *G20 Policy Note on Financial Well-being* (hereafter, G20 Policy Note) for the Global Partnership for Financial Inclusion, with contributions from the

Consultative Group to Assist the Poor (CGAP) and the Office of the UN Secretary-General's Special Advocate for Financial Health.

The working definition of financial well-being set out in the G20 Policy Note is:

“a state in which individuals are able to smoothly manage their financial needs and obligations, can cope with negative shocks, can pursue aspirations, goals and capture opportunities, and feel satisfied and confident about their financial lives, keeping in mind country specific circumstances.”

Approximately 30% of jurisdictions that responded to the Reporting Template have adopted an official definition of financial well-being, and among them, 78% have a definition aligned with the G20 Policy Note.

Measuring financial well-being

When asked how financial well-being is measured in their jurisdictions, a number of respondents highlighted their participation in the OECD/International Network on Financial Education International Survey of Adult Financial Literacy, Inclusion & Well-being (OECD/INFE survey). The OECD/INFE Adult Survey of Financial Literacy, Inclusion & Well-being 2026, open to all jurisdictions to participate, measures progress at the national level, identifies needs and priorities, and provides international benchmarking (OECD, 2026^[19]). The OECD/INFE survey measures financial well-being, which is identified as outcome of financial literacy policies in the OECD Recommendation on Financial Literacy [OECD/LEGAL/0461]. The measurement of financial well-being aligns with the working definition of financial well-being in the G20 Policy Note on Financial Well-being (OECD, 2024^[20]).

In addition to participating in the OECD/INFE survey directly, some respondents noted that the survey also informs how their own jurisdiction measures financial literacy and financial well-being, including Armenia, Finland, Hungary, Italy and Jordan. Other jurisdictions track or plan to track financial well-being through general national surveys and dedicated indices and barometers, for example Canada, Costa Rica, Ireland, Lesotho and Portugal. Finally, administrative data (e.g. data provided by financial services providers to financial authorities) can be used to measure aspects of financial well-being, as is the case in Malta, North Macedonia and the Philippines.

Nexus with financial consumer protection

Respondents were asked to describe how financial consumer protection regulatory or supervisory frameworks contribute to supporting or improving the financial well-being of households and individuals. In their responses, jurisdictions frequently highlighted transparency and disclosure, complaints and redress mechanisms and access to quality products as key channels through which consumers can safely and confidently engage with financial products and services and ultimately improve financial well-being. Responses also referenced fair treatment, responsible lending (including interest rate caps), prohibiting excessive fees and protecting consumers from fraud, false or misleading representations and mis-selling. Respondents explained that by strengthening market conduct supervision and enforcement practices, financial oversight authorities target and mitigate risks that could undermine financial well-being.

Both directly and indirectly, the policy and supervisory measures highlighted above protect and empower consumers, reduce vulnerabilities, and support positive financial outcomes, including improving individuals' financial resilience and financial well-being. This is consistent with the reference to financial well-being as a cross-cutting theme in the G20/OECD Financial Consumer Protection Principles.

Responses are also aligned with the forthcoming OECD policy paper on *Protecting and empowering consumers to advance financial well-being* (OECD, Forthcoming^[21]). This is reflected both in their understanding of the broad public policy objectives of financial consumer protection (and financial literacy) as summarised in Figure 1.6, and in their articulation of how such policies can contribute to financial well-being in practical terms. Relevantly, the policy paper underscores that financial well-being is influenced by

a wide range of individual, household, community and structural factors, many of which are beyond the scope of financial consumer protection or financial education policies.

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Notes

¹ This OECD body was known as the G20/OECD Task Force on Financial Consumer Protection during the development of the *Consumer Finance Risk Monitor 2024*.

2 Risks stemming from the operating environment

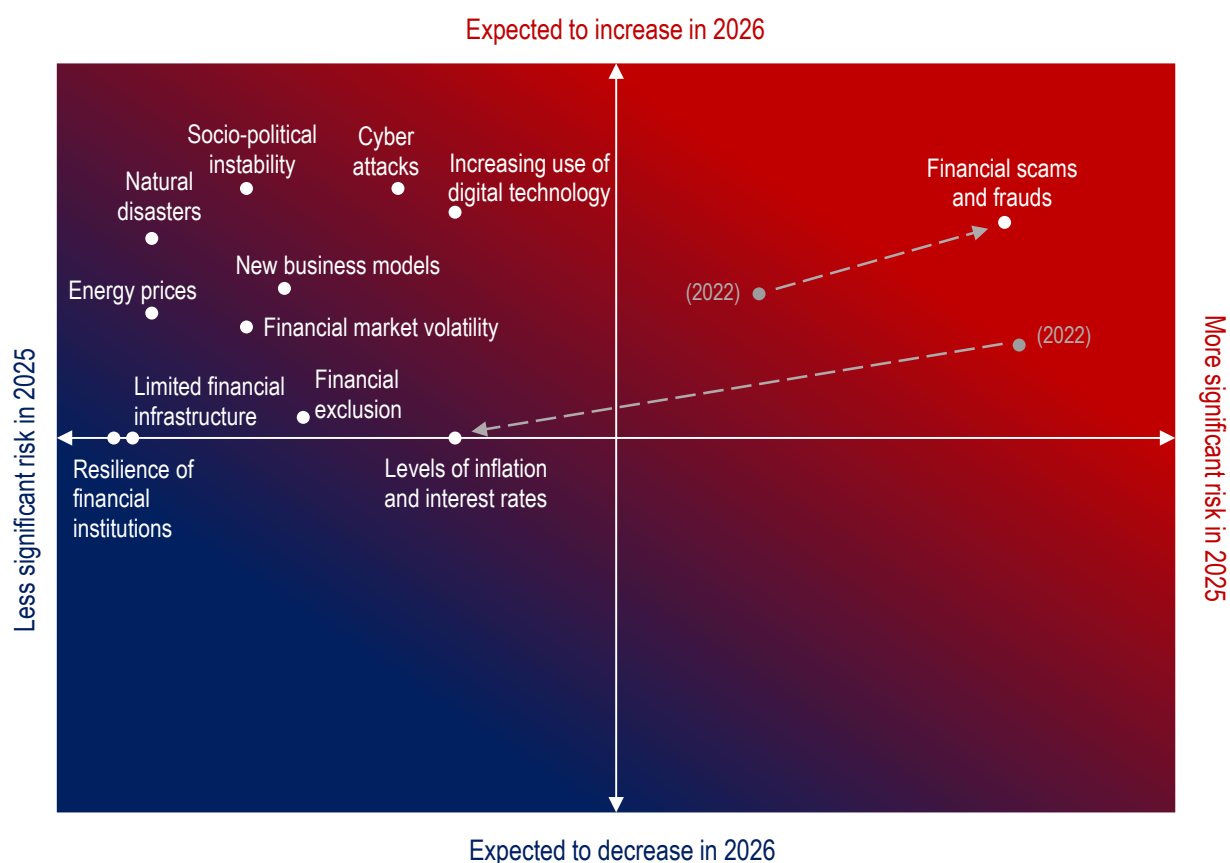
Consumers may encounter risks shaped by the broader economic environment in which they operate. This chapter describes the most significant risks stemming from the operating environment. These risks include financial scams and frauds, risks associated with the increasing use of digital technology including artificial intelligence (AI), as well as levels of inflation and interest rates.

Certain risks to financial consumers stem from the operating environment and the broader economic context. This chapter analyses the most significant operating-environment risks facing consumers in 2025 and the anticipated trends over 2026 (i.e. whether these risks will increase, decrease or stay the same).¹ Figure 2.1 presents a heatmap of these risks, with the placement of each risk determined by the percentage of jurisdictions that selected it among the three most significant risks stemming from the current operating environment (the x-axis) and whether those jurisdictions expected that the significance of that risk would increase, decrease or stay the same in 2026 (the y-axis). It also shows how the top operating-environment risks have changed since the *Consumer Finance Risk Monitor 2024*.

The following key findings emerge:

- Financial scams and frauds are overwhelmingly the leading operating-environment risk currently facing consumers, identified by 85% of responding jurisdictions. As shown in Figure 2.1, this is the only operating-environment risk positioned in the upper-right quadrant of the heatmap, meaning that it was identified by a majority of respondents and was anticipated, on average, to increase in significance in 2026.
- The second most significant operating-environment risks are the increasing use of digital technology (including AI), and levels of inflation and interest rates, selected by 36% of responding jurisdictions.
- In the *Consumer Finance Risk Monitor 2024*, levels of inflation and interest rates were the most significant operating-environment risk (in 2022), selected by over 85% of participating jurisdictions (OECD, 2024^[1]). This suggests that while the current inflation and interest rate environment continues to affect consumers, the risks appear less pronounced than in 2022 or have been overshadowed by other issues. In the 2024 edition, inflation and interest rates were followed by financial scams and frauds, new business models and financial market volatility.

Figure 2.1. Operating-environment risks



Note: N=59 (2025). The x-axis (horizontal) presents the percentage of responses to questions asking for the top three operating-environment risks currently facing consumers. The y-axis (vertical) presents responses to a follow-up question asking whether jurisdictions anticipate the risk would increase, decrease, or stay the same in 2026. Risks to the right of the y-axis were selected by more than half of respondents. As the risk category "increasing use of digital technology (including AI)" was added to the Reporting Template in 2025, the figure does not illustrate movements relative to the 2024 edition.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025 & 2023.

Figure 2.2 shows how the significance of risks differs by jurisdictions' income levels.² While the predominant concern across all income levels is financial scams and frauds, the second and third most significant operating-environment risks diverged significantly by income level. Low- and middle-income jurisdictions are relatively more concerned about levels of inflation and interest rates (44% versus 29% for high-income jurisdictions). This is consistent with data showing that, although inflation has declined in emerging markets and developing economies, it is generally higher than in high-income economies, as noted in Chapter 1. Additional concerns for low- and middle-income jurisdictions include cyber attacks (selected by 40% of this group versus 24% of high-income jurisdictions), as well as limited financial infrastructure (12% versus 3%) and natural disasters (12% versus 6%). High-income jurisdictions are more concerned about financial market volatility (24% versus 8%), risks associated with new business models (24% versus 16%) and socio-political instability (21% versus 11%) as other key risks facing financial consumers.

Figure 2.2. Most significant operating-environment risks, by income level

	Low & Middle	High
Financial scams and frauds	84%	85%
Levels of inflation and interest rates	44%	29%
Cyber attacks	40%	24%
Increasing use of digital technology	32%	38%
Financial exclusion	20%	24%
New business models	16%	24%
Socio-political instability	11%	21%
Limited financial infrastructure	12%	3%
Natural disasters	12%	6%
Financial market volatility	8%	24%
Energy prices	8%	9%
Resilience of financial institutions	7%	3%

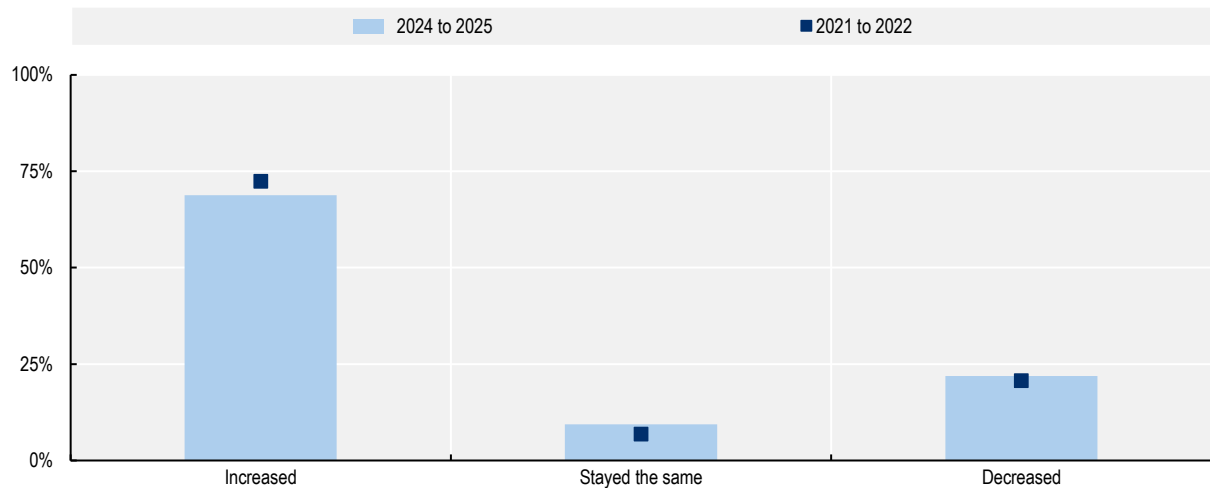
Note: N=25 for “Low & Middle” and N=34 for “High.” Percentages show the share of jurisdictions within each income group that selected the risk as one of the three most significant operating-environment risks.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

2.1. Financial scams and frauds

Financial scams and frauds are the leading operating-environment risk facing financial consumers. Figure 2.3 shows the percentage of jurisdictions where the number of financial scams and frauds decreased, stayed the same or increased between 2024 and 2025 (light blue columns), alongside corresponding data for 2021-2022 (dark blue markers). Financial scams and frauds increased in 69% of responding jurisdictions between 2024 and 2025. Between 2021 and 2022, they had increased in 72% of responding jurisdictions, showing that this risk has generally persisted over time (OECD, 2024^[1]). For example, fraud-related losses nearly quadrupled in Canada between 2020 and 2024, from CAD 165 million to CAD 645 million. In Australia, consumers incurred AUD 2 billion in losses in 2024, and in Singapore, roughly SGD 456 million were lost by consumers to scams in the first half of 2025 alone.

Figure 2.3. Proportion of jurisdictions where reported financial scams and frauds increased, stayed the same or decreased (2021 to 2022 and 2024 to 2025)



Note: N=32 for 2024 to 2025, and N=29 for 2021 to 2022.

Source: Consumer Finance Risk Monitor Reporting Template 2025 & 2023.

Table 2.1 shows the most significant types of scams and frauds, by number of people affected and by the amount of financial losses. Consistent with the *Consumer Finance Risk Monitor 2024*, the three most significant types of financial scams and frauds by number of people affected were: phishing, vishing or smishing for personal information (selected by 83% of respondents); fraudsters posing as banks, financial advisers, or other financial services providers (78%); and fake schemes designed to tempt consumers to transfer, pay, or invest money or purchase fake insurance (67%). The table shows a clear correlation between the most significant types of frauds and scams across two dimensions: number of people affected and financial losses.

Table 2.1. Most significant types of financial scams and frauds, by people affected and by financial losses

	By number of people affected	By financial losses
1	Phishing, vishing or smishing for personal data ¹	Phishing, vishing or smishing for personal data
2	Fraudsters posing as financial services providers	Fraudsters posing as financial services providers
3	Fake schemes targeting payments and fake insurance	Fake schemes targeting payments and fake insurance
4	Debit/credit card fraud	Debit/credit card fraud
5	Fraudsters posing as officials	Mobile banking/digital wallet fraud
6	Identity theft	Fraudsters posing as officials
7	Mobile banking/digital wallet fraud	Identity theft

Note: N=54 for most significant type of financial scams and frauds by people affected. N= 47 for most significant type of financial scams and frauds by financial losses.

¹ Scammers obtain personal information, such as user IDs, passwords, Personal Identification Numbers (PINs), and other sensitive data by impersonating an authorized person or organization through email or other electronic media. This causes the victim's personal data (including sensitive data) to be used without their knowledge, including getting access to their accounts (account takeover). Depending on the form, this is referred to as Phishing (Internet), Smishing (SMS), or Vishing (Phone).

Source: Consumer Finance Risk Monitor Reporting Template 2025.

There is a strong consensus among high-income jurisdictions around a relatively small number of dominant fraud types, especially phishing, vishing or smishing, and fraudsters posing as financial services providers. Both were identified as major types of fraud by over 90% of respondents. In contrast, fraud types in low- and middle-income jurisdictions were more varied, with no single type of fraud identified as frequently. Half of high-income jurisdictions cited the risk of fraudsters posing as officials, compared with 15% low- and middle-income jurisdictions.

The growing complexity of the financial sector, partly driven by digitalisation, has heightened the risk for consumers of falling victim to financial scams and frauds. One contributing factor is the widespread use of generative AI to facilitate increasingly convincing and realistic scams and fraud schemes (OECD, 2025^[2]). For example, generative AI enables fraudsters to mimic voices, produce deepfake video calls, and fabricate synthetic identities (European Parliament, 2025^[3]). The rise of digitalisation has also created new opportunities for fraudsters to exploit gaps in financial consumers' knowledge. Many individuals' relatively limited understanding of cryptocurrency has made them the target of phishing attacks, where fraudsters target sensitive information related to online wallets (Huang, 2024^[4]). For example, authorities in Ireland noted that the sophistication of fraud techniques, including fake or imitation trading platforms, clone investment firms, and impersonation via "smishing" or social engineering, was increasing. Authorities in Italy noted that generative AI is increasingly used to lure investors into scams.

As financial scams and frauds become increasingly sophisticated, many consumers, especially those who may be vulnerable or who may have lower digital financial capability (discussed further in Chapter 3), are susceptible to falling victim to these schemes. According to Consumers International, a consumer groups organisation, more than half of higher vulnerability consumers have fallen victim to scams, compared to 19% of lower vulnerability consumers (OECD, 2025^[5]).

Regulatory approaches to address scams and frauds include risk management measures and consumer awareness (Boeddu and Chien, 2022^[6]). For example, to combat online financial fraud, supervisory authorities in Italy have issued public warnings drawing attention to common practices to steal users' money and personal data. Additionally, Hong Kong (China) has implemented various measures to strengthen the security of credit card and electronic banking services, as part of anti-fraud and anti-scam efforts. In Mauritius, authorities have issued investor alerts to warn the public about entities or individuals not authorised to provide investment services in the country.

The OECD provides guidance related to financial scams and frauds across a range of instruments, including the *Recommendation of the Council concerning Guidelines for Protecting Consumers from Fraudulent and Deceptive Commercial Practices across Borders* [OECD/LEGAL/0317] and the G20/OECD High Level Principles on Financial Consumer Protection (G20/OECD Financial Consumer Protection Principles) (OECD, 2022^[7]). Given the growing incidence and severity of financial scams and frauds around the globe, protecting consumers from this risk is a policy priority of increasing attention. The forthcoming report, *Protecting Consumers from Financial Scams and Frauds* (OECD, forthcoming^[8]) stems from findings in the *Consumer Finance Risk Monitor 2024*. The report has three main objectives: identifying the drivers of increased incidence of financial scams and frauds; articulating a typology of financial scams and frauds targeting financial consumers; and developing effective financial consumer protection policies and financial education initiatives to protect consumers from financial scams and frauds. It will provide recommendations to assist policymakers, regulators and supervisors in protecting financial consumers and engage in a more systematic monitoring and analysis of different types of financial scams and frauds, based on effective approaches from around the globe. This report will therefore complement the *Consumer Finance Risk Monitor* by highlighting how policymakers can address this key risk facing financial consumers.

2.2. Increasing use of digital technology

The second most significant risk stemming from the operating environment relates to the increasing use of digital technology, including AI. Digitalisation is one of the three cross-cutting themes in the G20/OECD Financial Consumer Protection Principles, noting that the impact, opportunities and risks of digitalisation and technological advancements for financial consumers are relevant to the implementation of each and all of the Principles. This includes considering the ways in which consumers increasingly interact with digital financial products and services, consumer behaviour in a digital environment, as well as the impact of greater use of AI, machine learning technology and algorithms (OECD, 2022^[7]).

The use of digital technology (including AI) in financial products and services is rapidly increasing. While digital technology and AI present many benefits to consumers, it is an area policymakers, regulators and supervisors are monitoring closely, given the new risks they may also present to consumers. These risks include financial scams and frauds, as highlighted in Section 2.1. Financial fraudsters may leverage digital technologies to broaden their pool of potential victims, while the use of AI facilitates sophisticated fraud schemes through the creation of misleading content, falsified documents, and the manipulation of consumer trust, as noted by Bulgaria. Latvia and Zambia, for example, reported how digital technologies facilitated phishing and romance scams.

Authorities from Hong Kong (China), Malta and Spain noted concerns about data privacy and integrity linked to the increasing use of digitalisation and AI, as well as algorithmic bias and lack of transparency in decision making. For example, AI underwriting models in the consumer credit sector could produce inaccurate or biased outcomes. In South Africa, industry experts consider discriminatory outcomes in the banking sector as a significant risk associated with AI technologies. Given the complexity of AI models, there are inherent risks such as limited explainability and the potential for hallucinations (OECD, 2023^[9]). As a result, outputs may be incorrect due to missing critical information, which may have significant consequences for customers (Brousse et al., 2024^[10]).

Respondents including Brazil and Uruguay highlighted that the rising usage of digital technology, including AI, may exacerbate the risk of financial exclusion for consumers with low digital capability. A further discussion on this can be found in Chapter 3.

Besides these risks, digital innovation in financial products and services can bring wide-ranging benefits to consumers. AI in particular can help drive significant improvements in the delivery of financial products and services. For instance, generative AI can help enhance fraud detection, facilitate efficient credit underwriting, and drive expedient customer service support (OECD, 2023^[9]). The European Central Bank found that of the financial institutions they assessed, 30% used AI for credit scoring and 62% for fraud detection (European Central Bank, 2025^[11]).

2.3. Levels of inflation and interest rates

Levels of inflation and interest rates are the third most significant risk stemming from the operating environment. This marks a decrease from the *Consumer Finance Risk Monitor 2024*, in which levels of inflation and interest rates were the top risk facing financial consumers (OECD, 2024^[11]). This may be driven by the fact that, while still above target levels in many jurisdictions, global headline inflation declined in the interim (OECD, 2025^[12]) and generally remained stable over 2025 (OECD, 2025^[13]). Looking forward, jurisdictions anticipate that consumer risks related to levels of inflation will remain stable in 2026.

Furthermore, while inflation is stabilising in many jurisdictions, it remains high relative to pre-pandemic levels, impacting the cost of goods and services and driving ongoing cost-of-living pressures. In Portugal for instance, despite the easing of inflation and the decline of interest rates in 2025, both remain at higher levels than prior to 2022 and continue to place many households under financial strain. Malta and

Montenegro both reported that despite declining inflation, the persistent effects of previous years continue to impact consumers who face reduced purchasing power and diminished savings.

In many jurisdictions, the frequency of borrowing to manage day-to-day expenses is increasing. Higher interest rates could further intensify cost-of-living challenges and limit consumers' capacity to manage expenses and increase savings. For example, as of the fourth quarter of 2025, 41% of Canadians reported that their debt levels had increased in the prior 12 months, and 55% reported used savings to cope with current economic conditions (Financial Consumer Agency of Canada, 2025^[14]). Other jurisdictions, including Bosnia and Herzegovina, reported similar trends of households increasingly using credit for basic living expenses, despite elevated borrowing costs. In Uzbekistan, consumers are experiencing higher debt burdens due to high lending rates, leading to a growing number of complaints from borrowers. Authorities in Indonesia reported that the increase in global interest rates has also affected domestic interest rates, raising borrowing costs and putting pressure on household purchasing power.

2.4. Other risks stemming from the operating environment

The fourth, fifth and sixth most significant risks that financial consumers face from the operating environment are cyber attacks (31% of respondents), financial exclusion (22%), and new business models and innovation (20%).

2.4.1. Cyber attacks

Jurisdictions largely anticipate that this risk will increase over 2026. As noted above, the increased digitalisation of the financial sector makes both consumers and firms more susceptible to attacks. For instance, North Macedonia, Mauritius and Türkiye noted that breaches in cybersecurity in financial institutions can lead to the theft of personal information, business interruption and financial loss. The Philippines and Malaysia highlighted that these risks are increasing as more financial services move online. Indonesia noted their current work to address this, through regulations that set out requirements on information system security and cyber resilience for payment system providers (Bank Indonesia, 2024^[15]).

2.4.2. Financial exclusion

Jurisdictions largely anticipate that the risk of financial exclusion will remain stable over 2026. Although digital financial services have expanded financial access in many jurisdictions, particularly in emerging markets and developing economies, they can also heighten the risk of financial exclusion for some consumers who struggle to use them or do not wish to. Further, and even among emerging markets and developing economies, there are still gaps in access and inclusion across a range of consumer segments, including by gender, income, residency (urban or rural), and workforce participation, among others (CGAP, BTCA, GPFI, and World Bank, 2024^[16]). Recent OECD work highlighted that a shift towards digital payments reduces the availability and acceptance of cash, thereby creating barriers for some consumers, especially as the number of ATMs and physical bank branches declines (OECD, 2025^[17]). Jurisdictions echoed these concerns in their responses. The Philippines, for example, underscored that consumers lacking access to digital infrastructure or financial literacy were left behind by the increased digitalisation of financial services. The Netherlands noted that increased digitalisation of products and services may pose a risk for those who are not digitally proficient, especially if physical branches are closed. Canada and Poland also pointed to access challenges for rural and remote populations, noting that the reduction in physical locations makes it harder for people who do not want to or cannot access online services to use certain financial products.

Increased digitalisation can create issues in everyday banking for consumers that are denied accounts or have had their accounts previously terminated. For example, Sweden noted that the high level of

digitalisation of its market necessitates having access to a digital payment account with basic features. Australia noted that financial exclusion can be driven by a number of factors including broader economic conditions (e.g. weak labour markets), ongoing digital transitions (e.g. reduced access to cash), and limited focus on distributional impacts (e.g. low-income earners having limited choice of suitable banking products). Some jurisdictions are taking actions to address this issue. For example, in Ireland, the recent Finance (Provision of Access to Cash Infrastructure) Act 2025 supports efforts to address financial exclusion by ensuring continued access to cash. As cash usage declines, the legislation establishes a framework to manage future changes to cash infrastructure in a fair and transparent manner.

2.4.3. New business models and innovation

Among respondents that identified this risk, many anticipate that it will increase in 2026 due to a variety of factors, including the provision of riskier products, limited consumer understanding of the products themselves, power asymmetries between consumers and financial services providers, and regulatory gaps. For example, Serbia noted that many consumers are struggling to keep up with the rapid pace of innovation in financial services in terms of understanding the products. Similarly, Romania explained that online loans and complex digital products can obscure fees and contractual conditions, making it difficult for consumers to fully understand the products they are taking on. Italy highlighted that the growing use of alternative digital distribution channels creates risks of over-indebtedness and exposes vulnerable groups to aggressive Buy Now Pay Later or other new product offerings. Additionally, Brazil reported that the expansion of diverse business models increases supervisory complexity and widens the information gap between firms and consumers, especially among vulnerable populations.

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Notes

¹ Throughout this report, "currently" refers to any risks, actions, methods or processes that were actively taking place or being carried out at the time the jurisdictions were responding to the Reporting Template (i.e. 2025), and could also reflect the outcomes of risk assessments that were carried out by the responding jurisdictions (i.e. as part of an annual risk assessment report).

² Income levels are based on the World Bank Country Classification (using gross national income per capita) (World Bank, 2026^[18]).

3

Demand-side risks

Demand-side risks relate to the characteristics and circumstances of consumers and include low levels of financial literacy, high levels of debt, limited digital capability and insufficient income. This chapter analyses the most significant demand-side risks and discusses additional factors that affect consumers' financial well-being.

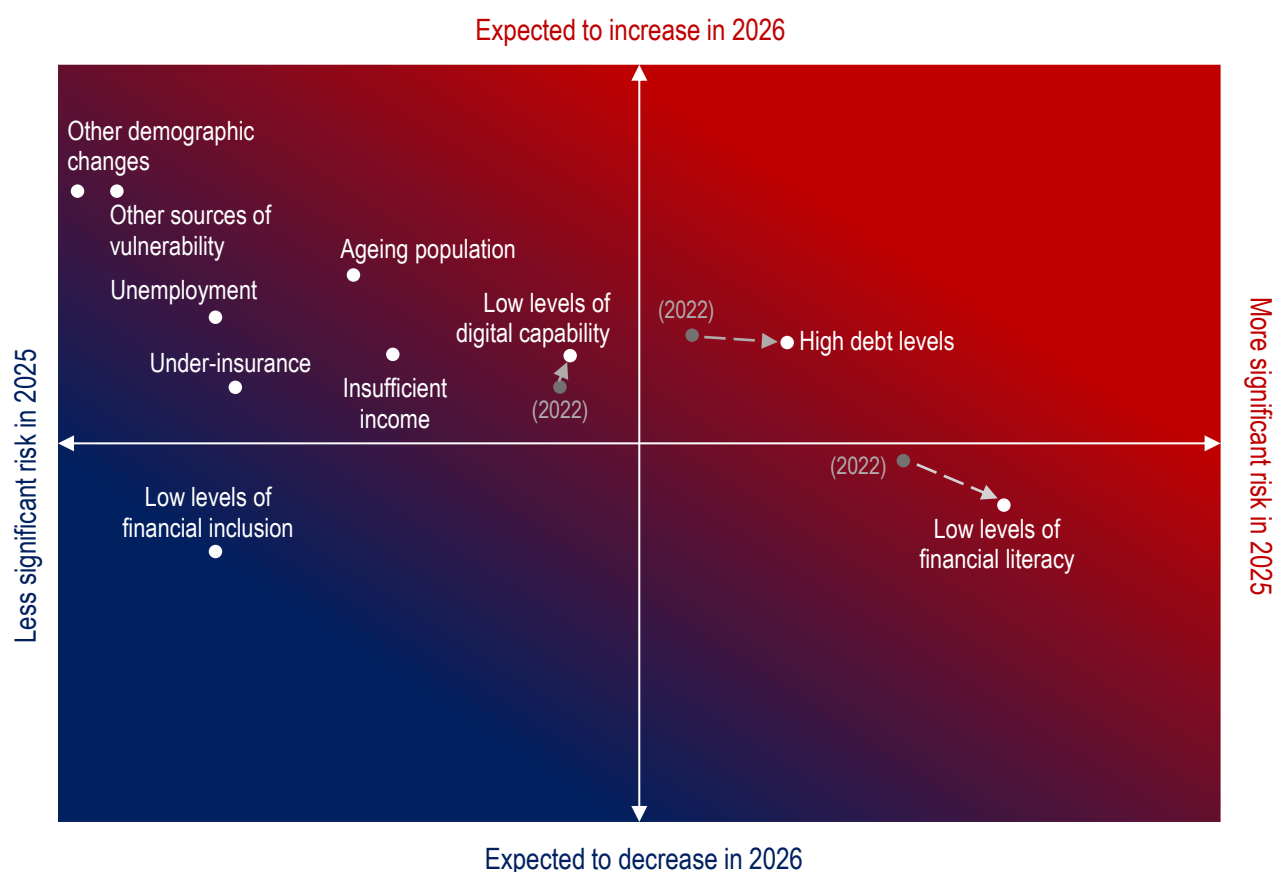
Demand-side risks relate to the characteristics and circumstances of financial consumers. This chapter analyses the most significant demand-side risks facing consumers in 2025, and the anticipated trends over 2026 (i.e. whether these risks would increase, decrease or stay the same).

Figure 3.1 presents a heatmap of these risks, with the placement of each risk determined by the percentage of jurisdictions that selected it among the three most significant risks stemming from the demand-side (the x-axis), and whether those jurisdictions expected that the significance of the risk would increase, decrease or stay the same in 2026 (the y-axis). It also presents trends from the *Consumer Finance Risk Monitor 2024* compared to the current edition, for the top three demand-side risks.

The following key findings emerged:

- Low levels of financial literacy are the most significant demand-side risk to financial consumers, identified by 81% of jurisdictions. Respondents generally anticipate this risk to decrease over 2026.
- The second most significant demand-side risk is high levels of debt, chosen by 63% of jurisdictions. This demand-side risk driver is anticipated, on average, to increase over 2026.
- Low levels of digital capability represent the third most significant demand-side risk, identified by 44% of responding jurisdictions, and are generally anticipated to increase over 2026.
- These results are consistent with the *Consumer Finance Risk Monitor 2024*, in which low levels of financial literacy, high levels of debt and low levels of digital capability were also identified as the top three demand-side risks to consumers. Additionally, although low levels of financial literacy were the most common demand-side risk identified by jurisdictions, they anticipate that this risk will decrease over 2026.

Figure 3.1. Demand-side risks



Note: N=59. The x-axis (horizontal) presents the percentage of responses to questions asking for the top three demand-side risks currently facing consumers. The y-axis (vertical) presents responses to a follow-up question asking whether jurisdictions anticipate the risk would increase, decrease, or stay the same in 2026. Risks to the right of the y-axis were selected by more than half of respondents.
Source: OECD Consumer Finance Risk Monitor Reporting Template 2025 & 2023.

Figure 3.1 shows how the significance of demand-side risks varies between jurisdictions based on income levels. Low levels of financial literacy were selected as one of the top three demand-side risks by most respondents in both income categories. High debt levels were also cited at similar rates, selected by 60% of low- and middle-income jurisdictions and 65% of high-income jurisdictions. Conversely, low- and middle-income jurisdictions more frequently included insufficient income (48% versus 15%), financial inclusion (20% versus 9%) and unemployment (20% versus 9%) in their three most significant risks compared to high-income jurisdictions. High-income jurisdictions were more likely to list low levels of digital capability (50% versus 36%) and an ageing population (35% versus 12%) among their top concerns.

Figure 3.2. Most significant demand-side risks, by income level

	Low & Middle	High
Low levels of financial literacy	80%	82%
High debt levels	60%	65%
Insufficient income	48%	15%
Low levels of digital capability	36%	50%
Low levels of financial inclusion	20%	9%
Unemployment	20%	9%
Under-insurance	16%	15%
Ageing population	12%	35%
Other sources of vulnerability	4%	6%
Other demographic changes	0%	3%

Note: N=25 for “Low & Middle” and N=34 for “High.” Percentages show the share of jurisdictions within each income group that selected the risk as one of the three most significant demand-side risks.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025

3.1. Low levels of financial literacy

Low levels of financial literacy are the most significant demand-side risk. As defined by the OECD Recommendation of the Council on Financial Literacy [[OECD/LEGAL/0461](#)], financial literacy is:

A combination of financial awareness, knowledge, skills, attitudes and behaviours necessary to make sound financial decisions and ultimately achieve individual financial well-being.

The *OECD/INFE 2023 International Survey of Adult Financial Literacy* found that only 34% of adults achieved the minimum target financial literacy score of 70 out of 100, while the average score across all participating jurisdictions was 60 (OECD, 2023^[1]).

Similar results emerge from national studies. For example, recent national surveys in Brazil indicate that a large portion of the population lacks basic financial knowledge (e.g. the ability to calculate simple interest), a sign of information and knowledge asymmetries between consumers and financial institutions. In Portugal, although a national financial literacy strategy has been in place since 2011, authorities observed that consumers have limited knowledge of personal pension products, preventing them from understanding the importance of planning and saving for retirement. Findings from the 4th Survey on the *Financial Literacy of the Portuguese Population*, conducted in 2023 (Todos Contam, 2023^[2]), show that a large majority of respondents (81%) state that they will finance their retirement through social security or mandatory contribution regimes, whereas only one quarter anticipate relying on personal savings. Similarly, Italy reported low financial literacy regarding pension products, with many individuals lacking the necessary knowledge to make informed retirement decisions, underestimating longevity risk and post-retirement needs, and consequently facing greater financial insecurity in old age. In Montenegro, authorities noted that many consumers lacked a basic understanding of investment instruments, simultaneously reducing consumers’ interest in investing and increasing the risk of making poor investment decisions or falling victim to investment fraud.

Many jurisdictions, such as the Philippines, Poland and Romania outlined how low financial literacy directly affects consumers’ abilities to make sound financial decisions. Consumers may struggle to have a clear understanding of the terms, including the risks, of the financial products and services they use. As a result, consumers may struggle to choose the financial products and services that would best serve their needs,

and they may even fall victim to scams or debt traps. For example, Slovenia noted that consumers with low levels of financial literacy may be accumulating high-interest debt from loans or credit cards, failing to save for retirement or emergencies, and making poor investment choices (e.g. high-risk products or scams). Further, Uzbekistan highlighted that this is particularly evident in the growth of consumer microloans, where borrowers often undervalue their repayment obligations.

Low financial literacy may contribute to consumer vulnerability or exacerbate challenges for consumers experiencing vulnerability, as individuals who lack the knowledge or skills to understand the obligations and risks of financial products and services may be more easily misled or exposed to harm. For example, in Malta, although existing financial literacy initiatives are improving literacy levels, gaps remain, particularly among older adults and vulnerable groups. These gaps may affect decisions relating to saving, investing, and insurance. North Macedonia reported that many consumers cannot fully understand loan terms, interest rates, or digital security risks, which exposes them to fraud, over-indebtedness, and hidden charges, and that this lack of knowledge can also discourage them from using formal banking products, thereby contributing to financial exclusion. The Philippines is experiencing similar challenges, with many consumers struggling to interpret financial terms or assess risks, heightening their exposure to scams, debt traps, and poor financial decisions.

Financial literacy levels are generally anticipated to stay the same or improve over 2026. For example, according to the *Financial Capability and Inclusion Demand Side Survey 2024*, financial literacy levels in Malaysia have remained largely unchanged since 2021 amid ongoing issues surrounding the cost of living and digitalisation of financial products (Bank Negara Malaysia, 2024^[3]). To address this, Malaysian authorities published the second *National Strategy for Financial Literacy 2026-2030* in October 2025, setting priorities to further strengthen financial literacy nationwide (Financial Education Network, 2025^[4]).

Other jurisdictions are introducing or further implementing financial literacy strategies and action plans. For example, Armenia developed a *National Financial Education Strategy* in 2014, which is reviewed every five years based on the results of the Financial Capability Barometer and co-ordinated by the Financial Education Steering Committee, an inter-agency body (Central Bank of Armenia, 2025^[5]). Ireland launched its first *National Financial Literacy Strategy* in February 2025. This is a five-year Strategy with key target groups and clear deliverables through stakeholder activities on financial education (Government of Ireland, 2025^[6]). The Banco de Portugal has implemented several initiatives under the *National Financial Education Plan*, such as the “My Financial Future” competition, developed in partnership with CFA Society Portugal, which served as a creative and engaging way to raise awareness among young people about the importance of responsible and informed financial management. Following a similar approach, Romania launched its first *National Strategy for Financial Education* in April 2024, together with a five-year action plan that sets out clear objectives tailored to specific target groups, with the aim of improving the overall level of financial education in the country.

Box 3.1. The OECD/INFE International Survey of Adult Financial Literacy, Inclusion & Well-Being

The *OECD/INFE International Survey of Adult Financial Literacy, Inclusion & Well-Being* (OECD/INFE survey) measures levels of financial literacy (covering the dimensions of knowledge, behaviour and attitudes) digital financial literacy, financial inclusion, financial resilience and financial well-being across and within jurisdictions. The international survey allows policymakers, regulators and supervisors to measure key outcomes for consumers and to understand the linkages between related policy agendas.

To date, 59 jurisdictions have participated in the OECD/INFE survey across four waves in 2023, 2020, 2016 and 2012. Thirty-nine jurisdictions, including 20 OECD Members and 8 G20 countries, participated in the 2023 edition. In addition to the financial literacy levels highlighted in Section 3.1, the survey found that on average, across all participating jurisdictions:

- In terms of financial knowledge, 84% of adults understand the definition of inflation, but only 63% can apply the concept of time value of money to their own savings.
- In terms of financial behaviour, 70% of adults report that they carefully consider if they can afford something before buying it, but only 26% of adults compare financial products across providers and only 24% of adults seek advice from independent sources when purchasing financial products and services.
- The average score relating to digital financial literacy across all participating jurisdictions is 53 out of 100 points. Furthermore, only 38% of adults who report managing financial products and services online reach the minimum target score on digital financial literacy.

The fifth wave of the OECD/INFE survey is taking place in 2026 and is open to all jurisdictions to participate. By participating in the exercise, jurisdictions can set a baseline measure (for first-time participants) and monitor trends in the population over time. The results of the survey will also assist policymakers, regulators and supervisors to identify priority areas and groups in need of targeted support at the national level, in order to develop evidence-based policies and initiatives, while also enabling international benchmarking. Results are expected to be published in the second half of 2027.

Sources: OECD (2023), “OECD/INFE 2023 International Survey of Adult Financial Literacy”, *OECD Business and Finance Policy Papers*, No. 39, OECD Publishing, Paris, <https://doi.org/10.1787/56003a32-en>. OECD (2026), *OECD/INFE Toolkit for Measuring Financial Literacy, Inclusion and Well-Being 2026*, OECD Publishing, Paris, <https://doi.org/10.1787/92f2d439-en>.

3.2. High levels of debt

High levels of debt represent the second most significant demand-side risk. On average, it is anticipated that this risk will increase in 2026. Jurisdictions underscore that high levels of debt stem from macroeconomic pressures and easy access to credit.

For example, Belgium noted unstable economic conditions and high living costs as major stressors, while Türkiye indicated that high inflation is causing financial consumers to accumulate debt. Finland and Lesotho reported that high unemployment may be contributing to excessive debt levels. In Greece, where unemployment has been falling steadily since its peak in 2013, authorities reported that elevated unemployment rates during the crisis may have contributed to current debt levels, among other factors. Germany cautioned that the lack of economic resources could make certain consumers particularly vulnerable to elevated debt burdens.

High levels of debt may also be driven by the introduction of new products and services that make consumer credit more accessible, a finding that echoes the *Consumer Finance Risk Monitor 2024*. In

particular, the expansion of credit availability through digital channels may contribute to elevated consumer debt levels, especially when coupled with practices that influence consumer decision making such as targeted marketing (OECD, 2025^[7]; Izaguirre et al., 2025^[8]). Digital credit and credit-like products such as Buy Now Pay Later can further amplify these risks by exploiting behavioural biases, downplaying long-term costs and emphasising short-term benefits, thereby increasing the likelihood of over-borrowing and undermining financial well-being (Maggio, Williams and Katz, 2022^[9]; deHaan et al., 2024^[10]; Dong et al., 2025^[11]; IPA/CEGA, 2024^[12]; GSMA, 2024^[13]).

For example, Indonesia reported rapid growth in digital credit products, which have expanded household credit access but also heightened financial vulnerability. Similarly, Austria and Sweden noted that the ease of access to Buy Now Pay Later can tempt people to take on more repayment obligations than they would otherwise. Concerns about easy credit availability were also raised by Italy, which highlighted risks from inadequate creditworthiness assessments, and by Malta, warning that simplified application processes and persuasive marketing encourage borrowing beyond capacity. In Romania, a small minority of non-bank lenders are not required to conduct credit bureau checks. This may enable some consumers to accumulate multiple concurrent loans – in extreme cases, more than 10 concurrent loans – risking breach of the 40% debt-service-to-income cap. Additionally, the United Kingdom conducted a consumer survey in 2024, finding that 2.8 million respondents (5%) had persistent credit card debt (FCA, 2025^[14]). Türkiye and the United Arab Emirates cited credit cards with high spending limits.

Whether due to macroeconomic pressures or ease of access, many jurisdictions noted that households were increasingly borrowing for daily expenses. For example, in Uzbekistan, individuals increasingly rely on multiple consumer and microloans to cover daily needs, often taking new loans to repay existing ones. Romania reported loans being used for current consumption, such as holidays, electronics, and household expenses. In Israel, households have, in recent years, increasingly used credit, alongside an increase in the cost of living and in interest rates. Authorities from Bosnia and Herzegovina noted borrowing for essentials like heating, food, and education, frequently without the ability to repay. Canada reported that borrowing for daily expenses was more common in 2024 compared to 2019, and the use of payday loans had similarly increased. Mauritius reported a similar trend of households increasingly relying on personal loans or credit cards to manage expenses. South Africa noted that credit had become a “fundamental means of survival” for a significant portion of the population. Ukraine reported that many consumers took out loans not for their own needs, but to repay debts under previous loan agreements.

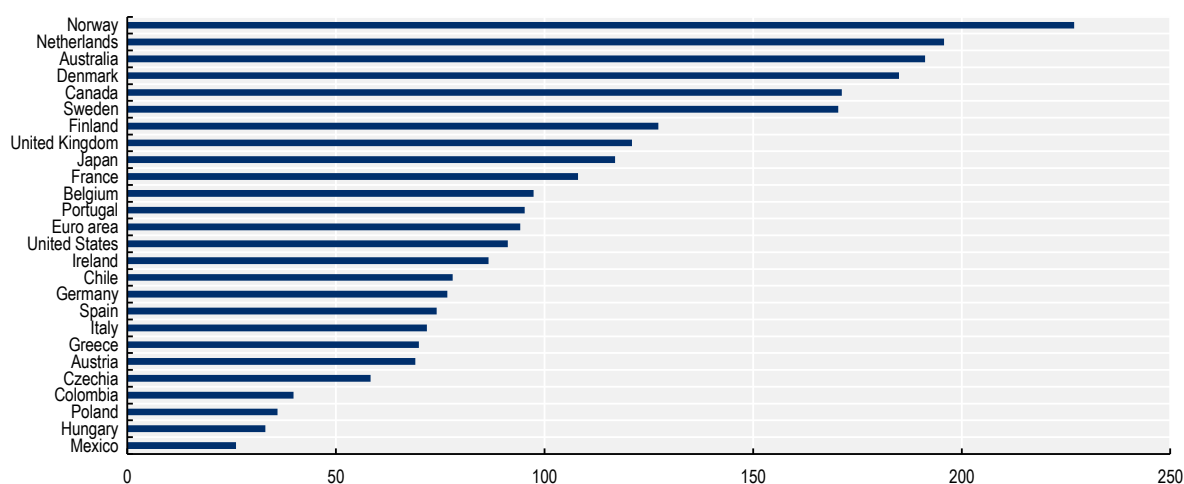
Several jurisdictions provided concrete indicators to demonstrate evidence of high debt levels or rising debt stress. For example:

- Canada reported a household debt-to-disposable income ratio of 174% in Q1 2025, which was the highest in the G7.
- In Hong Kong (China), the credit-card delinquency ratio rose from 0.25% in Q1 2023 to 0.40% in Q2 2025, while bankruptcy petitions increased from 7 860 (2023) to 9 190 (2024).
- In Kosovo, new household loans increased by 28% in 2024, driven by consumer loans (+27%) and mortgages (+38%).
- In Japan, the average unsecured loan balance per person stood at JPY 563 000 as of March 2024, with 1.4 million individuals holding three or more loans (140 000 with five or more), slightly higher than a year before.
- In South Africa, the share of people whose income fails to cover one month of expenses rose from 33% (2022) to 41% (2024), and 60% of credit-active consumers exhibited signs of repayment difficulties (e.g. missing payments), illustrating the link between worsening affordability and debt stress.

Comparative data on household debt as a percentage of disposable income is presented for 25 OECD countries and the euro area in Figure 3.3. Debt ratios vary significantly, from less than 50% to more than

200%. Compared to pre-pandemic levels (Q4 2019), this measure has declined by an average of 13 percentage points across the sample.

Figure 3.3. Household debt as a percentage of disposable income, Q3 2025 or latest



Note: Data from Q3 2025 or latest (Colombia = Q4 2024, Greece = Q2 2025, Japan = Q1 2024, Mexico = Q2 2025, and Norway = Q2 2023).
Source: National Accounts at a Glance (NAAG), OECD National Accounts Statistics.

3.3. Low levels of digital capability

Consistent with the *Consumer Finance Risk Monitor 2024*, low levels of digital capability were cited as the third most significant demand-side risk. As mentioned in Section 2.2 of Chapter 2, the use of digital technologies and AI in financial products and services is rising at a rapid pace. Several jurisdictions noted that low levels of digital capability is thus a significant demand-side risk driver, as it may limit a consumer's ability to adequately participate in, and benefit from, an increasingly digitalised financial system. For example, in jurisdictions such as Australia (Australian Treasury, 2025^[15]) and Canada, consumers are faced with a decline in physical branches, which could create access barriers for consumers with lower digital literacy (OECD, 2025^[16]). Jordan highlighted that capability and knowledge gaps are expected to rise as new technologies emerge and banks increasingly shift towards online and mobile services, reducing reliance on traditional branch-based services. Portugal noted that low levels of digital capability affect less digital-savvy consumers from accessing and managing financial products and services online, including retail banking and investments products and services.

Other jurisdictions (for example, Austria, the Netherlands, Serbia) agreed that low levels of digital capability disproportionately affect some consumers who may be vulnerable, including the elderly and minorities, as this makes their interactions with the financial system and wider economy more difficult. Additionally, jurisdictions such as Greece and Lithuania highlighted that consumers with low levels of digital capabilities may also be at risk of falling victim to financial scams and frauds. In recognition of the importance of this issue, Greece has implemented the *National Financial Literacy Strategy*. Consumers that struggle with elements of digitalised financial services, such as the use of mobile apps or two-factor authentication, may be more susceptible to scams such as phishing, vishing or smishing, fake websites or fraudulent messages. Among the jurisdictions that identified low levels of digital capabilities as a significant demand-side risk, a significant number anticipate that the significance of this risk will increase in 2026.

3.4. Other demand-side risks

Other significant demand-side risks include insufficient income (selected by 29% of respondents) and ageing populations (25%). While other demographic changes and other sources of vulnerability were not frequently identified as significant demand-side risks, jurisdictions that selected these risks anticipate that they will significantly increase in 2026.

3.4.1. Insufficient income

Nearly a third of jurisdictions, including Colombia, Croatia, Malaysia and Zambia highlighted that low levels of income, coupled with cost-of-living pressures in their respective jurisdictions, inhibit household and individual financial management. For example, Brazil noted that insufficient income remains a structural barrier to financial inclusion. Consumers may lack the financial capacity to meet basic needs, which makes it harder to engage with formal financial products in a sustainable way. Of the jurisdictions that selected this risk driver, there is a general anticipated increase in 2026.

3.4.2. Ageing population

One quarter of respondents, including Australia, Hong Kong (China), Ireland, Italy, Japan, Mauritius, the Netherlands and Singapore identified ageing populations as a significant risk. Some of these responses highlighted the potential negative impacts of ageing populations on the pension and insurance sector, as well as the generally low levels of digital capability among this subset of the population. Of the jurisdictions that selected this risk, many anticipate that it will increase in 2026.

3.4.3. Other sources of vulnerability

A common theme that emerged from these demand-side risks is that they can deepen financial harm for consumers experiencing vulnerability (e.g. the elderly, rural populations, migrant communities). For example, the United Kingdom reported that close to 14% of the population found it difficult to access a branch using their normal forms of transport, and 58% of adults in poor health had issues managing their finances or interacting with providers due to those health issues (Financial Conduct Authority, 2024^[17]). In South Africa, roughly 70% of adults saw their financial circumstances stagnate or deteriorate in 2024 (Finmark Trust, 2025^[18]).

The OECD report *Understanding and Responding to Financial Consumer Vulnerability* presents a conceptual framework for understanding financial consumer vulnerability. It highlights that vulnerability is rooted in a mix of personal traits (consumer characteristics), personal situations (consumer circumstances), how financial markets are structured (market characteristics), and how financial service providers operate (conduct and culture of firms). It also highlights policy considerations and responses to address this issue, which is closely linked to financial well-being (OECD, 2025^[19]). Experiencing financial vulnerability, especially over an extended period, can negatively impact overall financial well-being, as it can limit the ability for financial consumers to remain resilient to shocks and can prevent them from meeting their financial goals.

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4

Conduct-related risks

Conduct-related risks arise from the behaviour and actions of financial services providers and financial intermediaries. These risks include lack of or ineffective disclosures, poor financial advice and failure to conduct suitability assessments, and dishonest sales practices. In addition to analysing the most significant conduct-related risks to financial consumers, this chapter also highlights the regulatory and supervisory actions currently taken to address these risks and presents information on the tools used to monitor conduct-related risks in the financial sector.

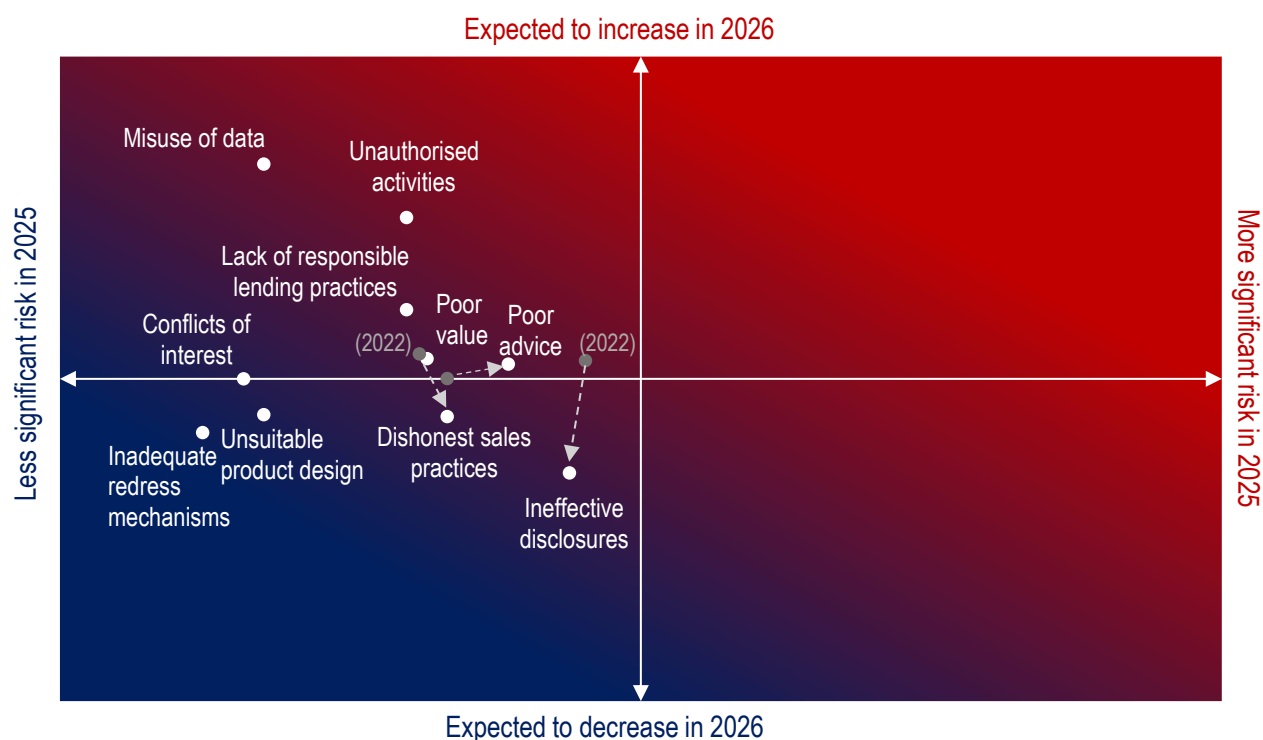
Conduct-related risks arise from the actions and behaviours of financial services providers and intermediaries. Figure 4.1 presents a heatmap of these conduct-related risks, with the placement of each risk determined by the percentage of jurisdictions that selected it among the three most significant conduct-related risks facing consumers (x-axis), and whether those jurisdictions expected that the significance of that risk would increase, decrease or stay the same in 2026 (y-axis). The figure also shows trends between the *Consumer Finance Risk Monitor 2024* and the current edition for the top three conduct-related risks.

The following key findings emerged:

- Ineffective disclosures represent the most significant conduct-related risk, identified by 44% of responding jurisdictions.
- Poor advice or failure to conduct suitability assessments are the second most significant conduct-related risk, chosen by 39% of responding jurisdictions.
- The third and fourth most significant conduct-related risks are dishonest sales practices and poor value financial products and services, identified by 33% and 32% of jurisdictions, respectively.
- Additionally, the misuse of data, and unauthorised financial activities, are conduct-related risks that are generally anticipated to increase in 2026 among responding jurisdictions.
- In the 2024 edition, the leading conduct-related risks were poor value financial products and services, lack of or ineffective disclosures, and, jointly ranked third, poor financial advice and unauthorised financial activities (OECD, 2024^[1]).

While jurisdictions broadly agreed on the most significant risks stemming from the operating environment (Chapter 2) and the demand side (Chapter 3), no single conduct-related risk was identified by more than half of respondents. This may indicate that conduct-related risks are more context dependent than operating environment or demand-side risks (i.e. conduct-related risks identified in one country may be sufficiently addressed by regulation in another). It may also reflect the evolving nature of conduct-related risks, with jurisdictions at different stages of identifying and addressing them.

Figure 4.1. Conduct-related risks



Note: N= 57. The x-axis (horizontal) presents the percentage of responses to questions asking for the top three conduct-related risks currently facing consumers. The y-axis (vertical) presents responses to a follow-up question asking whether jurisdictions anticipate the risk would increase, decrease, or stay the same in 2026. Risks to the right of the y-axis were selected by more than half of respondents.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025 & 2023.

Notable differences emerge in how high-income and low- and middle-income jurisdictions perceive top conduct-related risks to financial consumers (Figure 4.2). Low- and middle-income jurisdictions are generally more concerned about ineffective disclosures compared to high-income jurisdictions (54% versus 36%). They are also more concerned than high-income jurisdictions about unsuitable lending (38% versus 24%), misuse of data (29% versus 9%) and inadequate redress mechanisms (21% versus 6%). High-income jurisdictions more frequently identified dishonest sales practices (36% versus 29%), unauthorised financial activities (33% versus 25%) and unsuitable product design (24% versus 8%) as top risks.

Figure 4.2. Most significant conduct-related risks, by income level

	Low & Middle	High
Lack of or ineffective disclosures	54%	36%
Lack of responsible lending practices (including debt collections)	38%	24%
Poor advice / failure to perform suitability assessments	38%	39%
Poor value financial products and services (e.g., excessive fees or charges)	33%	30%
Dishonest sales practices	29%	36%
Misuse of data and/or ineffective data security systems	29%	9%
Unauthorised financial activities	25%	33%
Inadequate redress mechanisms	21%	6%
Conflicts of interest (including remuneration policies and practices)	13%	18%
Unsuitable product design	8%	24%
Inappropriate or poorly designed AI / algorithmic decision-making	0%	3%

Note: N=24 for “Low & Middle” and N=33 for “High.” Percentages show the share of jurisdictions within each income group that selected the risk as one of the three most significant conduct-related risks.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

4.1. Lack of or ineffective disclosures

Ineffective disclosures pose the most significant conduct-related risk across all responding jurisdictions. Principle 7 of the G20/OECD High Level Principles on Financial Consumer Protection (G20/OECD Financial Consumer Protection Principles) on Transparency and Disclosure stipulates that consumers should be provided with key information on the fundamental benefits, risks and terms of the product through material that is accurate, honest, understandable, transparent and not misleading. When disclosures are not properly provided to consumers in a transparent, clear and precise way, it can prevent them from fully understanding the key benefits and risks of a given financial product or service, and from making an informed decision about whether the product or service is suitable for their needs (OECD, 2022^[2]). For example, Italy noted how disclosures play a fundamental role in investor protection, as they provide clear information on a product’s complexity, risks, associated costs, and suitability for the client’s portfolio, as well as sustainability considerations.

Respondents noted specific occurrences of potential consumer harms arising from ineffective disclosures. For instance, Australian authorities reported cases of ineffective disclosures in sustainability-focused investments as well as potential greenwashing, which limits consumers’ ability to make informed investment decisions. In the Portuguese insurance sector, authorities stated the need for improvements in the quality of the information, such as terms of coverage and exclusions provided by insurance providers to consumers. As another illustration, in Canada, research showed that one in four consumers who used payday loans did not fully understand the true costs of these loans, which could be a result of ineffective disclosures for these types of products.

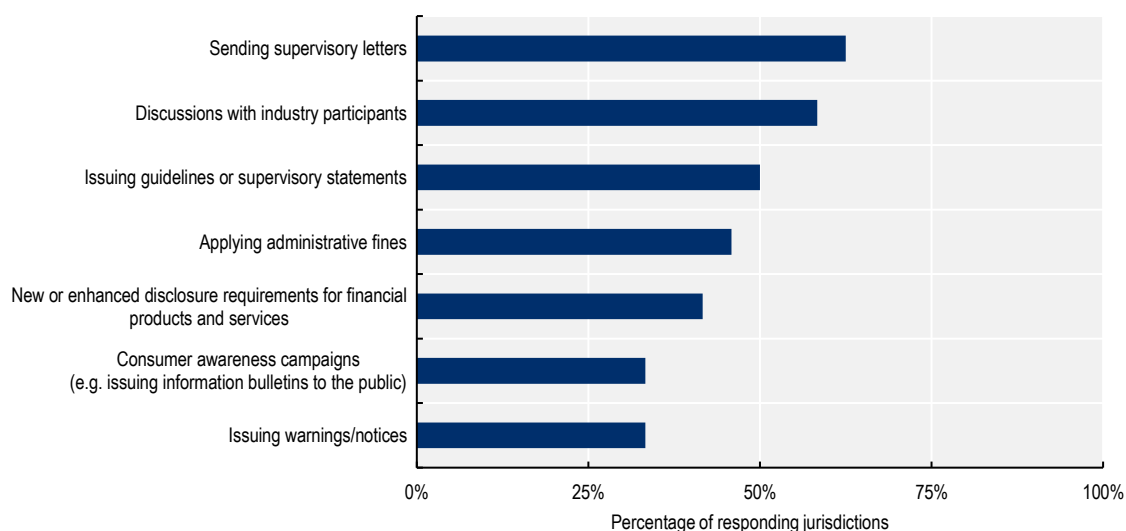
As noted in the G20/OECD Financial Consumer Protection Principles and the OECD report *Supporting Financial Access and Inclusion through Quality Financial Products*, the role of disclosure is to increase transparency and provide consumers with valuable information to make informed decisions (OECD, 2026^[3]). However, researchers and policymakers have increasingly recognised that while disclosure is a key factor in helping consumers make informed decisions, it may not be sufficient to overcome behavioural biases, low financial literacy and misaligned interests in the context of complex products and services (Parliament of Australia, 2019^[4]; AFM/ASIC, 2019^[5]; OECD, 2022^[6]). Indeed, the G20/OECD Financial Consumer Protection Principles state that efforts should be made, where possible, to conduct consumer

research and use behavioural insights to determine and improve the effectiveness of disclosure requirements, acknowledging the limits of disclosure by itself (OECD, 2022^[2]).

4.1.1. Regulatory and supervisory actions

As shown in Figure 4.3, sending supervisory letters was the most common supervisory action taken in 2025 to address the lack of or ineffective disclosures among the respondents that identified this as a top conduct-related risk. Discussions with industry participants, issuing guidelines or supervisory statements and applying administrative fines were the next most selected regulatory or supervisory actions. Sending supervisory letters was also selected as the most common supervisory action taken to address ineffective disclosures in the *Consumer Finance Risk Monitor 2024*. Following this were discussions with industry participants and new or enhanced disclosure requirements, chosen by the same share of respondents that identified this conduct-related risk in the 2024 edition.

Figure 4.3. Regulatory and supervisory actions taken in 2025 to address lack of or ineffective disclosures



Note: N=24.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

The use of supervisory letters can serve two purposes. They can be educational, to inform supervised entities about the applicability of relevant legislation, rules, or guidelines and how they should be interpreted or applied in a specific situation. Or they can also serve as a warning, notifying a firm that it has violated a relevant rule under the supervisory authority's purview and that failure to remedy the violation may lead to enforcement action. For example, the Banco de Portugal issued circular letters on disclosure, reinforcing regulatory obligations, including those governing sales of retail banking products and services through digital channels. The Central Bank of Ireland issued Dear CEO letters as part of a Thematic Review on Customer Supports for Credit Card Lending, which identified gaps in customer support, which had resulted in cases of poor customer service and ineffective disclosures (Central Bank of Ireland, 2024^[7]).

Discussions with industry were the most common response to concerns about ineffective disclosure. In Armenia, for example, supervisory authorities have engaged with industry to explore the introduction of new or enhanced disclosure requirements for financial products and services. The Central Bank of Ireland

has undertaken engagement with industry bodies on disclosure through channels such as bulletins and newsletters (Central Bank of Ireland, 2025^[8]). In Montenegro, the Capital Markets Authority engaged in dialogue with market participants to ensure that disclosure documentation was simpler and more accessible to end users. To gain further insight into the clarity of existing disclosures, authorities in South Africa are conducting research to better understand the risks of bundled products, including risks stemming from inadequate disclosures.

Regulators and supervisors may also issue guidelines and supervisory statements to address ineffective disclosures. In Bosnia and Herzegovina, for example, authorities issued supervisory guidelines to strengthen responsible lending and product information standards to improve transparency for financial products with high fees, such as personal loans, credit cards and overdraft facilities. Similarly, in Hong Kong (China), the Insurance Authority issued guidelines addressing ineffective disclosures in the insurance sector, including guidelines and illustrative examples for long term insurance policies, and codes of conduct for licensed insurance agents (Insurance Authority, 2025^[9]).

Respondents have also issued administrative fines in more serious cases. For example, the Central Bank of Uzbekistan imposed administrative fines in 2025 on several banks for failure to disclose the full cost of credit and for miscalculations of commissions charged to consumers. These sanctions were publicly announced through official press releases to increase transparency and deter similar violations. Additionally, in Nepal, authorities imposed administrative sanctions for failure to comply with disclosure requirements. The Central Bank of Brazil similarly noted that it could initiate administrative sanctioning proceedings in more serious cases of misconduct, which could result in monetary fines.

Requiring firms to undertake certain activities is also a supervisory action to support enhancing disclosures and transparency, although it was selected by fewer jurisdictions. For example, Panama issued regulations mandating that banking institutions send repeat notices to their clients, at least two months in advance, regarding the charging of renewal fees on mortgage loans (Superintendencia de Bancos de Panamá, 2025^[10]). The Financial Consumer Agency of Canada launched a thematic review of six small and medium sized banks, selected as a representative sample of sizes, business models and regional presences, to evaluate their implementation of electronic alert obligations introduced in June 2022. This obligation requires banks to notify consumers when their deposit account balance or available credit falls below either CAD 100, or a consumer-set threshold, helping them make informed financial decisions and avoid costs such as non-sufficient funds fees. The findings were published in 2025, and each bank subject to this thematic review was informed of specific findings and necessary corrective actions. The Central Bank of Ireland introduced new requirements in the Revised Consumer Protection Code, which reflect a shift from requiring firms to disclose information to customers to requiring them to meet their disclosure obligations in a way that effectively provides information (Central Bank of Ireland, 2025^[11]). Banca d'Italia has developed a methodology to analyse websites of banks and financial intermediaries to verify the clarity of information provided to the public. Where irregularities or unfair conduct are identified, Banca d'Italia may intervene by requiring corrective measures at the organisational level and by exercising the administrative powers provided by law (Banca d'Italia, n.d.^[12]).

4.2. Poor advice or failure to perform suitability assessments

Poor advice or failure to perform suitability assessments is the second most identified conduct-related risk. Poor advice in the financial sector can have negative impacts on consumers, especially on those who rely on the guidance and assistance of financial service providers and their intermediaries. For example, the United Kingdom reported a growing concern that as consumers have more choice and control over their savings and investments decisions, they do not always receive the financial advice they need, especially from traditional channels of support (Financial Conduct Authority, 2023^[13]). To mitigate this issue, the Financial Conduct Authority introduced the Advice Guidance Boundary Review (AGBR). The review

examines the regulatory boundary between financial advice and other forms of support. Similarly, Colombia noted that poor advice or a failure to perform suitability assessments could lead to poor decision making and loss of economic resources, as consumers may not understand risks or may receive generic recommendations. For example, authorities in Slovenia observed that a misalignment between advice and consumers' needs or goals in the insurance sector may cause consumers to either take out unnecessary insurance or fail to obtain adequate coverage. Additionally, Malaysia reported that poor advice in the insurance sector could lead to inappropriate product recommendations, early termination of insurance policies and potential rejections of claims. In 2025, the Central Bank of Ireland carried out a thematic review on consumer treatment in purchasing and renewing health insurance. In a context of rising costs and a complex health insurance market, the Central Bank sought information on how providers were properly assisting and advising consumers so they could choose suitable, good-value policies when purchasing or renewing their cover (Central Bank of Ireland, 2025^[14]).

Many jurisdictions noted that internal firm culture and practices could contribute to this risk, which underscores the importance of Principle 9 of the G20/OECD Financial Consumer Protection Principles on Responsible Business Conduct and Culture of Financial Service Providers and Intermediaries. Principle 9 highlights that financial services providers and intermediaries should be aligned to promote appropriate consumer outcomes, and, where appropriate, assess the related financial capabilities, situation and needs of consumers before agreeing to provide them with a product, advice or service (OECD, 2022^[2]). However, jurisdictions such as Eswatini, Lithuania, Moldova, Mozambique, Poland and Serbia reported that in practice, many financial service providers and intermediaries do not necessarily act in the best interest of consumers, which could lead to consumer detriment and a lack of consumer confidence in the financial system. Poland, for example, reported that some non-banking lending companies perform only basic assessment of creditworthiness, which may not be sufficient and could lead to consumer over-indebtedness. Serbia observed that poor advice in the retail banking sector also stemmed from inadequate training for retail employees.

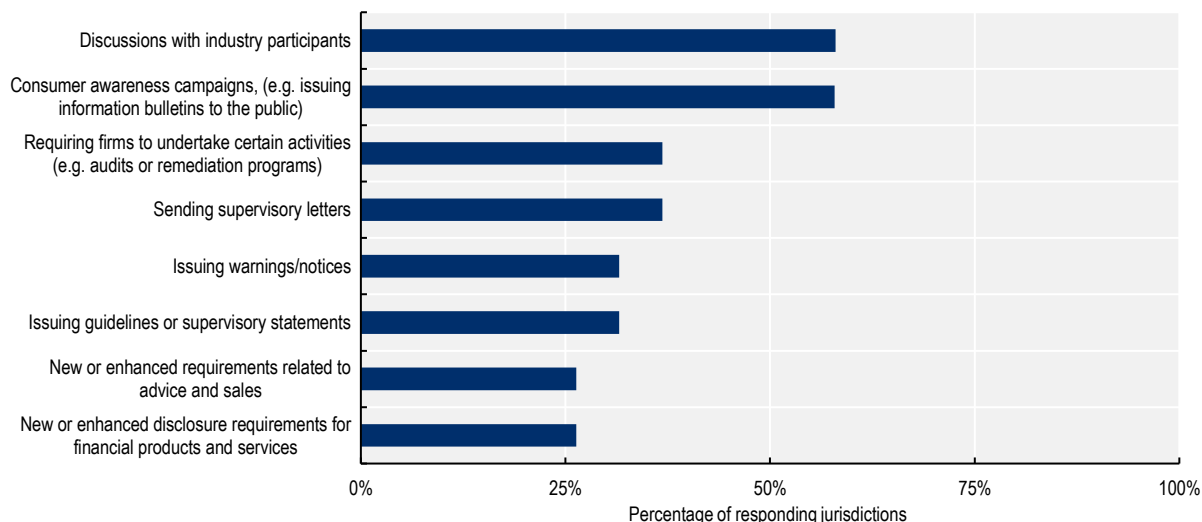
4.2.1. Regulatory and supervisory actions

As shown in Figure 4.4, discussions with industry participants and consumer awareness campaigns were the most frequently used regulatory or supervisory actions in 2025 to address poor advice or failure to conduct suitability assessments, among respondents that selected this as a top risk. This was followed by requiring firms to undertake certain activities and sending supervisory letters.

In the *Consumer Finance Risk Monitor 2024*, regulatory and supervisory actions most frequently taken by jurisdictions in response to poor advice or failure to perform suitability assessments included sending supervisory letters, followed by consumer awareness campaigns (OECD, 2024^[1]). Requiring firms to undertake certain activities and issuing warnings and/or notices were not among the top regulatory and supervisory actions in the 2024 edition, signalling that they have increasingly been used by respondents to address this risk.

Regulators and supervisors are taking action to strengthen industry engagement on advice to consumers and suitability assessments. For example, in response to onsite inspections finding that consumer had received poor advice, regulators in Eswatini engaged in remedial action with all industry players. The Bank of Lithuania launched a public consultation with market participants on its Guidelines on Securities Token Offerings, which apply to entities advertising and advising on tokens (Bank of Lithuania, 2019^[15]). In another example, the Financial Conduct Authority of the United Kingdom launched a multi-firm review of complex exchange-traded products sold on an execution-only basis to assess whether distributors were meeting Consumer Duty obligations across product design, distribution, price and value, and consumer understanding, outcomes and support (Financial Conduct Authority, 2026^[16]).

Figure 4.4. Regulatory and supervisory actions taken in 2025 to address poor advice or failure to conduct suitability assessments



Note: N=19.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

Consumer awareness campaigns were also a tool commonly used by respondents to guide how consumers interact with financial product offerings and help them select financial products suitable to their needs. With ongoing innovation and the rise of new business models, this approach is particularly critical when considering possible evolutions in the delivery of financial advice. Examples of consumer awareness campaigns and consumer-facing dialogues include those undertaken in Colombia, where the Superintendencia Financiera de Colombia provides consumers with the necessary information to make more informed decisions when faced with investment schemes promising attractive and quick returns. In Italy, the Commissione di Vigilanza sui Fondi Pensione (COVIP) introduced a mandatory self-assessment questionnaire (Questionario di autovalutazione) in 2017, to improve the suitability of investment choices in pension funds. Prospective members are required to complete this questionnaire before enrolment. Based on the responses provided, the tool offers guidance on which investment line may be most appropriate for the individual's characteristics and retirement objectives.

Additionally, some jurisdictions highlighted the emergence of “finfluencers” as a recent development contributing to this risk. As defined by the International Organization of Securities Commissions (IOSCO):

“Finfluencers are individuals who leverage social media platforms to share investment-related content, ranging from general financial education to specific stock recommendations. The concept of “finfluencers” may include celebrity/social media influencers who do not regularly provide or share financial and investment, but may, from time to time, promote investment products or schemes”.

Several jurisdictions provided examples of regulatory and supervisory actions to address risks related to this emerging source of financial advice. In Italy, for example, CONSOB issued a supervisory warning to emphasise that “finfluencer” activities must comply with European regulations in the sector, i.e. the rules on investment recommendations, combating market abuse, accuracy of information and transparency on potential conflicts of interest. The warning is part of a wider international initiative, called the “Global Week of Action Against Unlawful Finfluencers”, led by the United Kingdom's Financial Conduct Authority, alongside regulators from Australia, Canada, Italy and the United Arab Emirates, to raise awareness among the public and finfluencers themselves of the risks associated with poor sources of financial advice.

In Portugal, the Comissão do Mercado de Valores Mobiliários issued a communication in March 2025 regarding the activities developed by influencers involving content related to financial intermediation and financial instruments. The organisation's Investor Portal features an area dedicated to "influencers". In Singapore, authorities have developed guidance on sharing financial information online, outlining key considerations for content creators, such as licensing obligations and required disclosures of compensation. The Monetary Authority of Singapore has also issued advisory letters to content creators who may have provided financial advice without a licence, cautioning that those who continue to do so will face enforcement action.

To limit the risk of poor advice or the failure to conduct suitability assessments, many jurisdictions impose obligations on financial services providers and intermediaries to undertake certain activities, notably in the investments sector. In the European Union, MiFID II sets out a common framework requiring investment firms to provide clients, before a transaction is made and through a durable medium, with a suitability statement explaining the advice given and how it meets the client's preferences, objectives and other characteristics. Italy, for example, implements these rules through CONSOB's regulations on intermediaries, reflecting the MiFID II framework. Several non-EU jurisdictions have aligned their frameworks with these requirements. Serbia, for example, through its Law on the Capital Markets, harmonised obligations on investment firms with the MiFID II requirements (Serbia Ministry of Finance, 2021^[17]). Similar approaches exist outside Europe. In Canada, for example, the Bank Act requires federally regulated financial institutions to establish and implement policies and procedures to ensure that product or service offerings are suitable for customers, taking into account their circumstances, including their financial needs (Financial Consumer Agency of Canada, 2022^[18]). In the consumer credit sector, the Banco de Portugal requires credit institutions to individually assess a consumer's capacity to reimburse consumer credit agreements exceeding ten times the legal minimum wage, based on their level of regular income and expenses.

Other jurisdictions have used supervisory guidelines to address poor advice and lack of suitability assessments. For example, Uruguay issued a *Good Practices Guide on Financial Consumer Protection*, which is voluntary in nature and covers aspects of financial advice. In Japan, the Financial Services Agency formulated and published the *Principles for Customer-Oriented Business Conduct* and has since worked to strengthen customer-oriented business practices among financial service providers. Measures include, for example, introducing Key Information Sheets, and requiring providers to make specific proposals based on customers' life plans, thereby fostering an understanding of customer attributes, the clear provision of important information and the offering of suitable products and services. Following the thematic review on health insurance cited above, the Central Bank of Ireland issued letters to health insurance providers instructing them to conduct a gap analysis and take additional steps to ensure they give consumers appropriate assistance, advice, information, and customer support when purchasing or renewing policies (Central Bank of Ireland, 2024^[7]).

4.3. Dishonest sales practices

The third most significant conduct-related risk is dishonest sales practices. Dishonest sales practices refer to the use of misleading and deceptive methods, such as misleading representations relating to the purchase of a financial product or service by a consumer. Examples of dishonest sales practices include unfair charges, unfavourable contract terms and a lack of transparency in advertising or marketing. These issues can arise in various situations, including where employees of financial service providers and intermediaries act unethically to benefit from remuneration structures. For instance, authorities in Romania emphasised that dishonest sales practices by lenders can significantly harm consumers highlighted the role of the Alternative Banking Dispute Resolution Centre, which offers debtors an accessible and efficient way to resolve issues without resorting to costly and lengthy court proceedings. Furthermore, dishonest sales practices can damage consumer trust in the financial system. For example, South Africa noted that

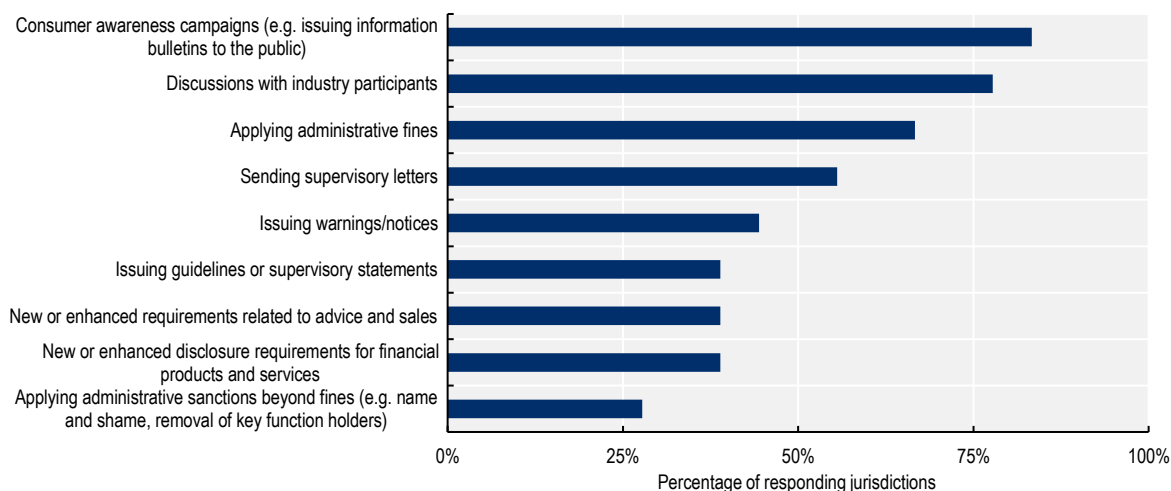
this behaviour undermines the integrity of the financial sector and regulatory compliance. As such, addressing dishonest sales practices remains an ongoing regulatory concern for the Financial Sector Conduct Authority, which debarred 131 individuals for misconduct between April 2024 and March 2025 (Financial Sector Conduct Authority, 2025^[19]).

In the banking and payment sector, jurisdictions such as Australia and the Slovak Republic reported that banks often kept consumers in higher-fee accounts, despite the availability of lower-cost alternatives. In the context of consumer credit, the failure to clearly disclose all costs, fees or interest rates may lead to consumers underestimating the true cost of borrowing, which could exacerbate repayment difficulties. For example, Ukraine noted frequent occurrences of “bundling” at the point of sale for financial products or services, where consumers are pressured to purchase additional products, particularly insurance. Additionally, Australia and Luxembourg highlighted that dishonest sales practices represent a significant risk for consumers investing in digital assets or high-risk investments, since the technically complex nature of these products and services makes it easier for sellers to exploit a consumer’s lack of understanding.

4.3.1. Regulatory and supervisory actions

As illustrated in Figure 4.5, consumer awareness campaigns were the most frequently used regulatory and supervisory action in 2025 to address dishonest sales practices among jurisdictions that identified this as a top conduct-related risk. This was followed by discussions with industry participants, applying administrative fines and sending supervisory letters.

Figure 4.5. Regulatory and supervisory actions taken in 2025 to address dishonest sales practices



Note: N=18.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

Regulators and supervisors strengthening consumer awareness about dishonest sales practices include those in Malta, where the Financial Services Authority conducts consumer awareness campaigns on loans and credit cards to help improve consumer understanding of costs and the key information to request before borrowing (MFSA, n.d.^[20]). The Central Bank of Jordan initiated a campaign to spread financial awareness and financial literacy to, among other things, combat dishonest sales practices (Central Bank of Jordan, n.d.^[21]). This campaign provides information regarding available financial products and services, to ensure consumers have the tools to make informed decisions when engaging with them. In Bulgaria, the Financial Supervision Commission periodically publishes information about products in the insurance,

capital and social security sectors, and hosts seminars with consumers to improve levels of financial literacy and raise consumer awareness of their rights when using non-bank financial services.

To enhance the internal operation of financial services providers and intermediaries in servicing consumers, regulators have addressed sales incentives. For example, the European Banking Authority issued *Guidelines on Remuneration of Sales Staff*, which entered into force in 2018. These Guidelines apply to remuneration paid to staff employed by financial service providers and intermediaries when selling mortgages, personal loans, deposits, payment accounts, payment services and electronic money. The Guidelines provide a framework to improve the links between incentives and the fair treatment of consumers, and to reduce the risk of mis-selling (European Banking Authority, 2016^[22]). Additionally, the European Securities and Markets Authority (ESMA) issued *Guidelines on remuneration*, which entered into force in 2023 (ESMA35-43-3565). Similarly, the Hong Kong Monetary Authority completed a review of incentive systems of front offices in retail banks, with a view to achieving better alignment of incentive systems of frontline bank staff with customers' interests. The Hong Kong Monetary Authority issued a final report in May 2022, sharing findings with industry, including principles for designing incentives and sound industry practices identified through the review.

Regulators and supervisors have also imposed a variety of requirements related to sales practices for financial service providers and intermediaries. For example, in Croatia, the Croatian National Bank conducted a survey to determine the level of responsible lending and identified certain poor practices, such as up-selling. Up-selling involves offering a product or service of the same nature, but with enhanced functionality at a higher price, allowing the firm to earn more in the transaction (Kwiatkowska, 2018^[23]). Following the survey, the Croatian National Bank issued recommendations for the discontinuation of certain practices, which it regularly monitors. Similarly, the National Bank of Ukraine has established stricter regulatory requirements for supervised entities aimed at reducing unfair practices in the sale of financial services. In 2025, the Banking Supervision Department of the Bank of Israel reviewed the marketing and management of revolving credit cards (Bank of Israel, 2025^[24]). Following the review, certain companies were required to change their procedures and marketing practices, among other things. In New Zealand, new legislation passed in 2025 simplified and clarified minimum requirements for fair conduct programmes under the Conduct of Financial Institutions (CoFI) regime. Under the programmes, licensed entities (registered banks, licensed non-bank deposit-takers and licensed insurers) are subject to a fair conduct principle that requires them to treat consumers fairly, which includes not subjecting them to unfair pressure, tactics or undue influence. Additionally, a financial institution's fair conduct programme must be in writing, meet the minimum requirements set out in the CoFI Act and be publicly available to consumers (Financial Markets Authority, 2025^[25]).

4.4. Poor value financial products and services

While poor value financial products and services were identified as the most significant conduct-related risk driver in the *Consumer Finance Risk Monitor 2024*, they are selected as the fourth-most significant risk in this edition, identified by 32% of respondents. Respondents generally anticipate that this risk will stay the same in 2026.

As stated in Principle 8 of the G20/OECD Financial Consumer Protection Principles on Quality Financial Products, a quality financial product is designed to meet the interest and objectives of target consumers and to contribute to their financial well-being. A poor value financial product or service, by contrast, is often misaligned with the objectives of the consumer, fails to deliver value for money and may contribute to their detriment. To improve the availability of quality financial products, regulators may implement requirements (i.e. product governance) for appropriate systems to design, approve, manage and monitor financial products throughout their life cycle to ensure that they meet the interests and objectives – and aim to contribute to the financial well-being – of consumers (OECD, 2022^[2]).

For example, Indonesia reported that several online lending companies impose fees that are not transparently disclosed, increasing consumers' levels of debt beyond what they initially understood and increasing the risk of default. These fees may include disbursement and provision charges, late payment penalties, mandatory insurance premiums and early repayment costs. Jurisdictions including Bosnia and Herzegovina, Libya and Romania further noted that the lack of transparency and comparable fees can leave consumers in worse financial positions and erode trust in financial institutions. Mali highlighted that non-negotiable conditions for accessing financing, such as collateral requirements, increase costs for consumers and diminish the value of products and services.

Furthermore, consumers may have limited alternatives to such poor value products, as noted by North Macedonia, or be unaware such alternatives exist, as noted by Bosnia and Herzegovina. The National Bank of Hungary identified market practices that make account switching burdensome for consumers and limit competition (Magyar Nemzeti Bank, 2025^[26]). Complex pricing policies and high fees for payment accounts and credit transfers, combined with low willingness to switch, lead consumers to continue using outdated and less efficient products. In April 2025, the Hungarian Banking Association agreed with the Magyar Nemzeti Bank and the Ministry of National Economy to implement measures to reduce household payment transaction costs, including making basic accounts temporarily free until inflation declines, improving customer information and education, simplifying account switching and closure, and promoting the use of the central bank's account selector (Magyar Nemzeti Bank, 2025^[26]).

Many jurisdictions are addressing these risks and undertaking measures to enhance the quality of financial products entering the market. For example, Japan's 2024 revision of the aforementioned *Principles for Customer-Oriented Business Conduct* established governance within product originators that guides the development of financial products and services throughout the entire life cycle to align with the best interests of customers. The Croatian National Bank issued recommendations on defining the methodology for determining fees, aiming to establish a transparent and demonstrable procedure for fee adjustments. In Portugal, the Comissão do Mercado de Valores Mobiliários monitors risks related to value for money within its supervisory activities. According to the the Comissão do Mercado de Valores Mobiliários, a product offers global value to the investor if the costs and commissions are reasonable in relation to the expenses borne by financial intermediaries and proportional to the expected benefits for its target market. The latter is determined according to the needs, characteristics and objectives of the investor. In Türkiye, legislation regulates bank fees and commissions charged to financial consumers, with requirements for banks to publish this information on their websites and to notify consumers in advance of any fees and commissions to be charged (including any subsequent or periodic increases). There is also a dedicated website that allows consumers to compare these fees and commissions across banks. Finally, the United Kingdom's Consumer Duty, finalised in 2022, includes "price and value" among its four key outcomes, which aims to ensure that the price a customer pays for a product or service is reasonable compared to the overall benefits they receive, i.e. "fair value" (Financial Conduct Authority, 2022^[27]).

4.5. Unauthorised financial activities

Unauthorised financial activities and lack of responsible lending practices were each selected by 30% of respondents. Unauthorised financial activities include those carried out by unlicensed or unregulated financial product and service providers and intermediaries. Examples of these kinds of actors or activities may include Ponzi schemes, illegal online lending and unlicensed "finfluencers" when their content effectively constitutes financial advice. Jurisdictions such as Finland and Lithuania note that the presence of these types of activities and actors is growing, thereby increasing consumers' exposure to fraud, loss of funds and potential lack of legal recourse, especially as many of these activities are unregulated. In Türkiye, while payment service providers, e-money institutions and crypto asset service providers are subject to licensing and regulation, some firms operate illegally without licenses and regulatory oversight,

posing risks to financial consumers. Italy further highlighted that unlicensed businesses may increase consumer exposure to financial scams and frauds.

Respondents including Malta and the Slovak Republic noted that many unauthorised financial activities are offered across borders, further increasing consumers' exposure to risk. These activities are notably present in the payments, consumer credit and investment sectors. Jurisdictions that selected this as a top conduct-related risk generally anticipate that its significance will increase in 2026, due to increased use of digital technologies and communication channels.

To address unauthorised activities, many jurisdictions are taking proactive measures. For example, regulators in Portugal and South Africa periodically publish the details of persons and entities that are unlawfully conducting financial service business. In the United Kingdom, the Illegal Money Lending Teams (IMLT), established in 2004 and overseen by the Financial Conduct Authority and HM Treasury, investigate and target loan sharks, working with partner agencies in the education, public safety, housing, and debt advice sectors (Stop Loan Sharks, n.d.^[28]). In 2025, the IMLT launched a new WhatsApp service to make it easier for people to obtain support and report illegal lending. Furthermore, the United Kingdom issues Consumer Alerts including a Warning List of unauthorised firms and individuals operating domestically. In Türkiye, once unlicensed or unauthorised firms are identified, legal action is initiated, their operations are terminated, and the competent authorities apply the appropriate penalties. In Italy, CONSOB adopted enforcement measures including prohibitions, precautionary suspensions of unlawful activities, and the blackout of fraudulent web domains, alongside investor awareness campaigns offering insights and practical tips to help investors detect instances of abuse.

4.6. Lack of responsible lending, including aggressive debt collection

Lack of responsible lending includes: the absence of effective affordability or capacity-to-repay assessments, the provision of inaccurate or misleading information, inadequate verification processes, and aggressive or unfair debt collection practices. In the case of consumer credit products such as credit cards, Buy Now Pay Later (BNPL) and microloans, Bosnia and Herzegovina, the Netherlands and Türkiye noted that these products can be issued without the appropriate affordability checks, thereby leading to increased debt levels. Additionally, Romania highlighted other types of unsuitable lending practices, such as exploitative marketing tactics, hidden fees and charges, and a refusal to provide help to consumers who are overburdened.

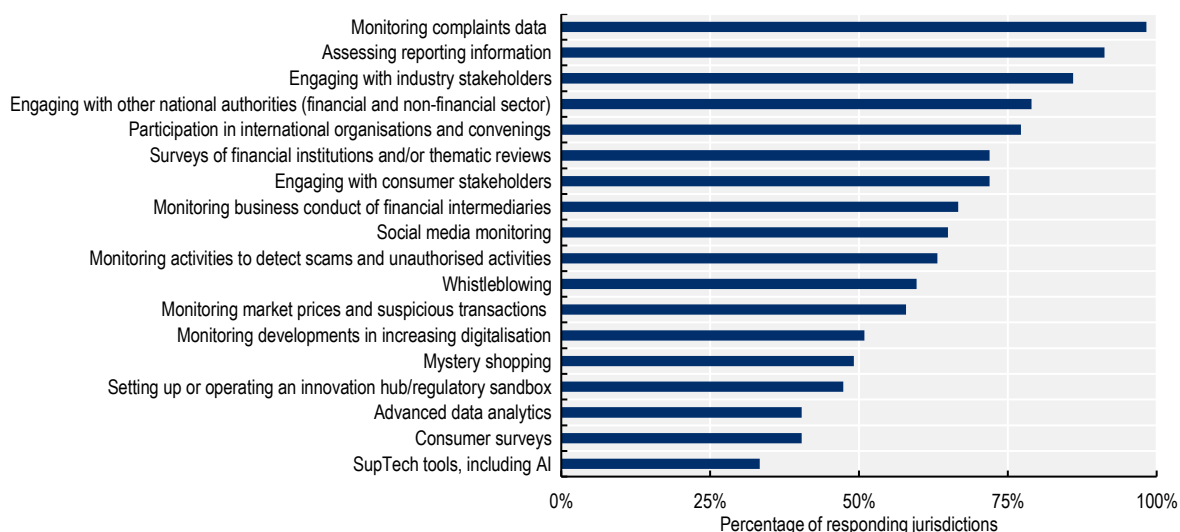
Policymakers, regulators and supervisors are taking actions to tackle unsuitable lending practices employed by financial service providers and intermediaries. The European Union, for example, adopted relevant legislation in recent years, namely the Secondary Market Directive (SMD) in 2021 and the revised Consumer Credit Directive (CCD2) in 2023. These directives establish a framework to protect consumers against malpractice in both the provision of credit and the collection of bank-originated loans. They also introduce an obligation for Member States to ensure that debt advice services are made available to consumers experiencing difficulties in meeting their financial commitments. Beyond the European Union requirements, Sweden has implemented recent reforms to further strengthen responsible lending. Following the recommendations of an Over-Indebtedness Inquiry (Statens offentliga utredningar (SOU), 2023^[29]), the Swedish Parliament expanded the application of legislative caps on interest and associated credit costs, lowered the interest rate cap from 40 to 20 percentage points above the reference rate (Government of Sweden, 2024^[30]) and limited the types of companies able to provide consumer credit (Government of Sweden, 2024^[31]). In November 2025, the Swedish Financial Supervisory Authority anticipated that these measures would slow the growth of consumer lending (Finansinspektionen, 2025^[32]). In Latvia, the Central Bank imposed penalty charges on some consumer credit providers following an investigation finding that they were not adequately using information provided by credit bureaus.

In examples from outside the European Union, the Central Bank of Armenia issued guidelines and supervisory statements to address the lack of responsible lending practices, including aggressive debt collection, and the Central Bank of Lesotho introduced a standardised key fact statement on the disclosure of credit information in 2023 (Central Bank of Lesotho, 2023^[33]). The Financial Conduct Authority of the United Kingdom has also issued supervisory letters to the consumer lending sector setting out its strategy on consumer lending, citing concerns over inadequate creditworthiness assessments, unaffordable lending and practices that promote persistent debt (Financial Conduct Authority, 2024^[34]).

4.7. Regulatory and supervisory tools used to monitor conduct-related risks

Respondents used a wide range of tools to monitor conduct risks in 2025. As seen in Figure 4.6, and consistent with the *Consumer Finance Risk Monitor 2024*, monitoring complaints data, assessing reporting information from regulated and supervised institutions, and engaging with industry stakeholders were the three most selected risk-monitoring tools. Among the least used were consumer surveys, advanced data analytics and SupTech (including AI) tools.

Figure 4.6. Commonly used regulatory and supervisory tools to monitor conduct-related risks



Note: N=57.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

4.7.1. Monitoring complaints data

Monitoring complaints data was the most common regulatory and supervisory tool used to monitor risks to financial consumers arising from conduct, practiced by 98% of respondents. Jurisdictions such as India, Kosovo and Libya have established online portals for consumers to directly file their grievances to the supervisory authority. These portals allow supervisory authorities to leverage complaints data to inform their supervisory actions. For example, in Indonesia, authorities monitor complaints received both directly by the Central Bank and by financial service providers, which are then shared with the Central Bank. This helps to identify recurring issues and potential areas of misconduct by financial service providers. Similarly, in Spain, Banco de España monitors complaints data to assess the quality of conduct, and compliance with transparency and consumer protection standards. In Armenia, the Central Bank reviews complaints

received directly on a daily basis, and on a bi-annual basis, and collects and analyses complaints received by firms and their alternative dispute resolution (ADR) scheme.

Croatia noted that complaints data is an essential source of information about business practices and market conduct, and they often trigger on-site and off-site supervisory activities. Based on the analysis of complaints, the Banco de Portugal identifies irregularities in retail banking markets and adopts corrective measures, including recommendations, warnings and specific orders, and imposes sanctions on supervised institutions; this information is subsequently disclosed through the Conduct Supervision Report, published annually by the Banco de Portugal. In Slovenia, complaints data in the insurance sector have helped to identify patterns contributing to consumer detriment and topics for thematic reviews, while in Italy, complaints concerning pension schemes are an important source of information to detect potential misconduct and support supervisory intervention in the interest of scheme members. In Latvia, complaints information is often the basis for initiating administrative cases.

More information on complaints data can be found in Chapter 6.

4.7.2. Assessing reporting information from regulated and supervised institutions

Assessing reporting information from regulated and supervised institutions was the second most common regulatory and supervisory tool, identified by 91% of responding jurisdictions. The assessment of reporting information, such as statistical data provided by financial service providers, is used in risk-based supervision, highlighted by jurisdictions such as Bulgaria and Italy. In Canada, for example, authorities noted their use of a defined and continuous process called the Market Conduct Profile to gather information about regulated entities' business models and inherent conduct-related risks. The process aims to gain a deeper understanding of each entity's market conduct risks and potential impacts to help determine the level of supervisory intensity.

In Japan, authorities highlighted that they gather information from supervised entities through periodic interviews. Furthermore, Hungary noted that reported data from banks on payment accounts feed into the comparison website operated by the Hungarian National Bank, which aims to enhance consumer knowledge when opening or switching bank accounts.

4.7.3. Engaging with industry stakeholders, other national authorities and consumer stakeholders

Engaging with industry stakeholders was the third most commonly used regulatory and supervisory tool, identified by 86% of responding jurisdictions. For example, authorities from Malta, Serbia, Singapore and Zambia noted that ongoing engagement with industry stakeholders was an effective way to help identify emerging issues for consumers. For instance, the Monetary Authority of Singapore uses complaints and whistleblowing data to detect emerging trends and systemic risks and, where necessary, shares these insights with industry participants to improve market conduct standards.

Engaging with other national authorities ranked as the fourth most common regulatory and supervisory tool, selected by 79% of responding jurisdictions. For instance, the Autoridade de Supervisão de Seguros e Fundos de Pensões in Portugal indicated that it engages in several national forums with other supervisory authorities to share experiences regarding supervisory practices, tools used, innovation, common regulation and financial literacy strategies. In Montenegro, the Capital Markets Authority also noted that co-operation with other national authorities was often undertaken to combat unauthorised financial activities. In Italy, CONSOB emphasised that it continues to engage with other national authorities, both financial (such as Banca d'Italia) and non-financial (such as the judicial authorities), with the objective of deterring illegal financial activities. The Central Bank of Brazil has similarly strengthened its supervisory oversight through co-operation agreements with key authorities including consumer protection bodies,

which has enabled information sharing and co-ordinated actions to protect consumers across the financial system.

Engagement with consumer stakeholders was another widely used regulatory and supervisory tool, identified by over 72% of respondents. For example, the Hong Kong Monetary Authority outlined that it worked closely with the Consumer Council of Hong Kong on policy engagement and handling of major consumer incidents, such as credit card scams, by gathering intelligence on consumer concerns, complaints and enquiries to address incidents comprehensively. Additionally, the Central Bank of Ireland established a Consumer Advisory Group to provide advice on its functions and powers regarding the protection of financial services consumers. In Italy, Banca d'Italia and the Istituto per la Vigilanza sulle Assicurazioni (Institute for the Supervision of Insurance) reported regular meetings with consumer associations to discuss emerging issues affecting consumers and develop possible lines of intervention.

4.7.4. Setting up or operating an innovation hub or regulatory sandbox

Although identified by fewer respondents (47%), jurisdictions highlighted the establishment of regulatory sandboxes, which allow businesses to test and develop innovative products, services, or business models under regulatory oversight (European Parliament, 2022^[35]).

For example, in South Africa, the Intergovernmental Fintech Working Group established an Innovation Hub to serve as a single, co-ordinated entry point for responsible, co-ordinated and collaborative innovation in the regulatory environment, across the financial sector.¹ The Regulatory Sandbox allows for the testing of innovative products and services within parameters and timeframes set by the Intergovernmental Fintech Working Group. In 2024, the Hong Kong Monetary Authority launched the Generative Artificial Intelligence (GenAI) Sandbox, advancing the promotion of responsible Artificial Intelligence (AI) innovation and adoption across the banking sector. In Spain, the General Secretariat of the Treasury and International Financing co-ordinates a national regulatory sandbox that allows innovative financial projects to be tested under the oversight of competent authorities including the Banco de España, the National Securities Market Commission (CNMV), the Directorate General for Insurance and Pension Funds (DGSFP) and others. Banca d'Italia has established a set of innovation-facilitation tools, including the FinTech Channel and the Milano Innovation Hub, to support financial innovation and better understand and guide emerging technological developments in the financial sector. These initiatives, along with its participation in the national regulatory sandbox, aim to foster innovation and mitigate risks associated with increased cross-border provision of payment services and potential regulatory arbitrage. The Croatian Financial Services Supervisory Agency established its innovation hub in 2019 to support startups and new financial business models, products and distribution channels.

Box 4.1. Examples of current and planned use of SupTech and AI tools

The use of SupTech, including AI tools, can play an important role in helping meet regulatory and supervisory objectives. They can expand the regulatory and supervisory toolkit and enable more innovative, effective, and efficient supervision and enforcement. For example, AI can help assess existing regulatory frameworks to identify gaps, overlaps and patterns, thereby enabling more informed and targeted decisions to improve outcomes (OECD, 2025^[36]). While regulatory and supervisory tools that incorporate AI were selected by fewer respondents, there are strong examples of effective uses of AI in conducting regulatory and supervisory functions.

For example, Bank Negara Malaysia strengthened the monitoring of financial scams and frauds through advanced data analytics and AI-enabled supervisory tools, which help identify anomalous patterns and suspicious activities. These are complemented by thematic reviews and mystery shopping to assess compliance and validate flagged issues. These tools and measures strengthen financial integrity

compliance, sharpen risk assessments, and enable more targeted interventions for high-risk entities. In Romania, the Central Bank has used a SupTech application that monitors the availability of application programming interfaces and generates customised alerts when the availability falls below a predefined threshold. The Bangko Sentral ng Pilipinas in the Philippines has leveraged SupTech tools, including its AI-powered BOB (BSP Online Buddy) chatbot, to enhance consumer engagement, streamline complaint handling, and improve supervisory insights.

In Italy, Banca d'Italia has enhanced the day-to-day handling and analysis of complaints and disputes through two different SupTech tools based on advanced text mining and machine learning techniques in order to, among other things: reduce the risk of overlooking emerging issues through clustering-based models, streamline the search for relevant past cases and rulings, and promote consistency across the Ombudsman's decisions.

In Spain, the Banco de España has implemented machine-learning techniques to support management and analysis of the data gathered when conducting supervisory activities. These techniques, based on the tool's "continuous learning", make it possible to analyse more data and documentation by extracting and automatically identifying certain data, categorising documents and transforming unstructured data into structured reports. Additionally, the Financial Sector Conduct Authority in South Africa has noted that it is in the process of implementing a SupTech solution, the Integrated Regulatory Solution (IRS), to improve how data is collected, stored and analysed.

In Portugal, the Comissão de Mercado e Valores Mobiliários developed a SupTech tool that searches for a list of keywords that may appear in advertising campaigns to identify promotional content that may be aggressive or unclear. Once identified, this is followed by a verification of compliance with applicable legislation. Banco de Portugal has also developed an AI-based tool, in the form of a chatbot, which generates responses based on the content available on its Bank Customer Website. This tool enhances interaction with banking customers by delivering timely, fully automated information and clarifications in response to enquiries relating to retail banking products and services.

Additionally, jurisdictions such as Croatia, Eswatini, Jordan, and Libya indicated that they were working towards implementing SupTech solutions to advance their supervisory approaches. For example, in Libya, the Central Bank noted that it is adopting more sophisticated AI and machine learning models to identify patterns in consumer behaviours and detect anomalies that could present risks.

4.8. Effectiveness of monitoring tools

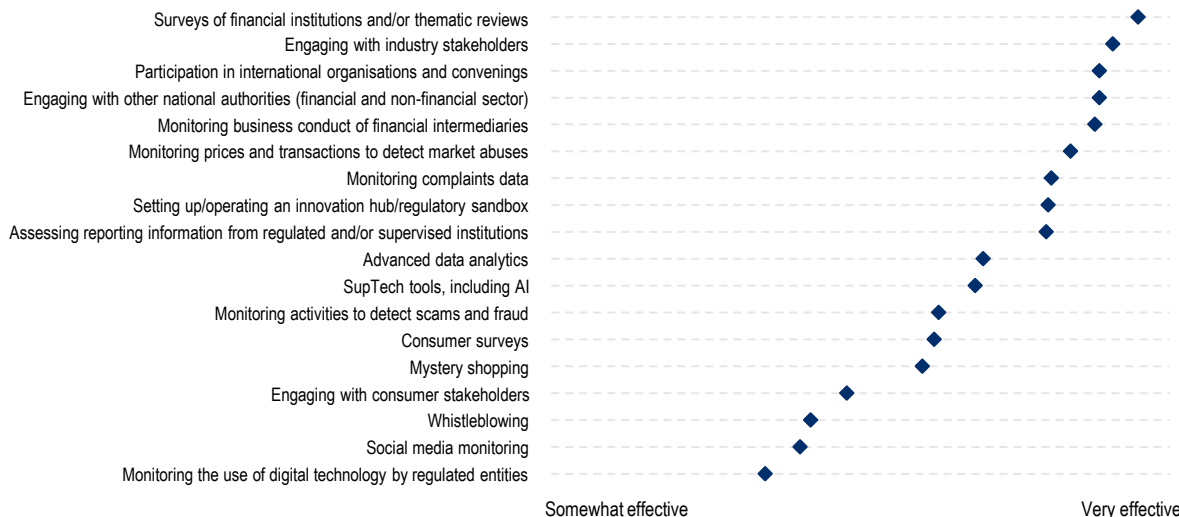
As shown in Figure 4.7, respondents indicated that conducting surveys of financial institutions and thematic reviews were the most effective tools for monitoring consumer risks. This is followed by engagement with industry stakeholders and oversight of financial intermediaries' business conduct. For example, the Commission de Surveillance du Secteur Financier in Luxembourg ran a survey to monitor the use of AI by supervised financial entities, which ultimately led to a thematic review on the use of AI in the country's financial sector. Following extensive consultation with industry stakeholders, the United Kingdom's Financial Conduct Authority redesigned its consumer-credit regulatory reporting by introducing a clearer, simplified and risk-aligned data return (CCR009), replacing outdated returns and improving the quality and consistency of supervisory information collected from firms.

Participation in international organisations and convenings, engaging with other national authorities, and monitoring market prices and suspicious transactions were also seen as highly effective tools used by respondents to monitor risks.

The selection of the "other" category (not shown in Figure 4.7) offered additional insights into how jurisdictions view the effectiveness of monitoring tools. For example, the Central Bank of Brazil measures

indebtedness risk through a matrix that aggregates various indicators that could point to potential risks to financial consumers. This matrix guides supervisory actions and resource allocation, ensuring that efforts are focused on areas with the greatest potential impact. Authorities in Malta and in Italy have developed models to assign a conduct-related risk rating to entities falling within the remit of conduct supervision (MFSA, 2024^[37]). The objective is to identify activities within firms posing the greatest risk (MSFA, 2020^[38]).

Figure 4.7. Effectiveness of tools used to monitor conduct-related risks



Note: N=55. The relative “score” of each regulatory or supervisory tool is determined by calculating an average of responses for the effectiveness of the corresponding tool (“very effective”, “somewhat effective” or “not effective”).

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

The *Consumer Finance Risk Monitor 2024* reported that the most effective tools used to monitor risks to financial consumers were the ability of regulatory and supervisory bodies to monitor market prices and suspicious transactions to detect market abuses, followed by surveys of financial institutions and/or thematic reviews. In the current edition, surveys of financial institutions and thematic reviews were ranked as the most effective tool, demonstrating a consistent recognition by respondents of the value this tool can bring in supervision.

4.9. Plans to enhance or add monitoring tools

In addition to the regulatory and supervisory tools discussed above, some jurisdictions are planning to add new regulatory or supervisory tools. This includes:

- **Mystery shopping:** Several jurisdictions indicated that they had plans to implement mystery shopping exercises to monitor risks to financial consumers. For example, Banca d'Italia is introducing an enhanced form of mystery shopping called “mystery surfing”, which employs remote channels (e.g. online platforms or call centres) to identify potential issues that consumers may come across. Other jurisdictions with plans to adopt mystery shopping include North Macedonia and Serbia.
- **Monitoring business conduct of supervised entities, including financial intermediaries:** Several jurisdictions noted that they were undertaking measures to enhance this tool. For example, in Spain, the Institutions’ Conduct Department of Banco de España is working on the definitions of

sector risks, and trends and indicators for determining individual conduct profiles for supervised entities. The Banco de Portugal is implementing a SupTech tool for the validation of advertising materials, which will enable an automated collection of advertisements published on social media platforms along with automated analysis and validation of advertising content. Other jurisdictions including Hong Kong (China), Ireland and Malaysia are investigating the conduct of intermediaries. For example, in Hong Kong (China), the Insurance Authority is using a broader set of conduct and business indicators to form a holistic, forward-looking view of each insurer's conduct-related risk. In Indonesia, the supervisory framework for monitoring conduct is being strengthened through the development of media-intelligence social-listening tools to enhance early detection of emerging payment-related consumer risks.

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Notes

¹ The Intergovernmental Fintech Working Group is a collaborative structure established in 2016 involving the South African Reserve Bank, the Financial Sector Conduct Authority, the National Treasury, the National Credit Regulator, the Financial Intelligence Centre, South African Revenue Service and the Competition Commission.

5

Products and services giving rise to consumer detriment

This chapter examines the products and services that most significantly contribute to consumer detriment across five product sectors: banking and payments; consumer credit; insurance; investments; and pensions. Understanding these offerings and how consumers engage with them helps policymakers, regulators and supervisors identify the necessary guardrails and enforcement measures required to ensure a safe and fair financial marketplace.

The previous three chapters analysed risks that could lead to consumer detriment driven through external market conditions, consumer behaviours and circumstances, and the conduct of financial services providers and intermediaries. This chapter examines the specific financial products and services through which those risks can give rise to consumer detriment, assessing five distinct product sectors: banking and payments; consumer credit; insurance; investments; and pensions.

As noted in the Reporting Template, “consumer detriment” is defined in the OECD Recommendation on Consumer Policy Decision Making [\[OECD/LEGAL/0403\]](#) as:

the harm or loss that consumers experience, when, for example, i) they are misled by unfair market practices into making purchases of goods or services that they would not have otherwise made, ii) they pay more than what they would have, had they been better informed, iii) they suffer from unfair contract terms or iv) the goods and services that they purchase do not conform to their expectations with respect to delivery or performance.

A thorough understanding of the potential risks associated with financial products and services enables policymakers, regulators and supervisors to guide improvements in existing market offerings (while recognising that responsibility for designing and delivering safer, more suitable products lies with providers) and, in exceptional circumstances, to determine whether such products and services should remain available.

As noted in the *Consumer Finance Risk Monitor 2024*, respondents were given flexibility to base their assessment of the most detrimental products and services on their knowledge of their domestic markets. As such, the Reporting Template was designed to avoid rigidity in how jurisdictions approached their rankings, relying instead on the discretion and experience of responding policymakers, regulators and supervisors.

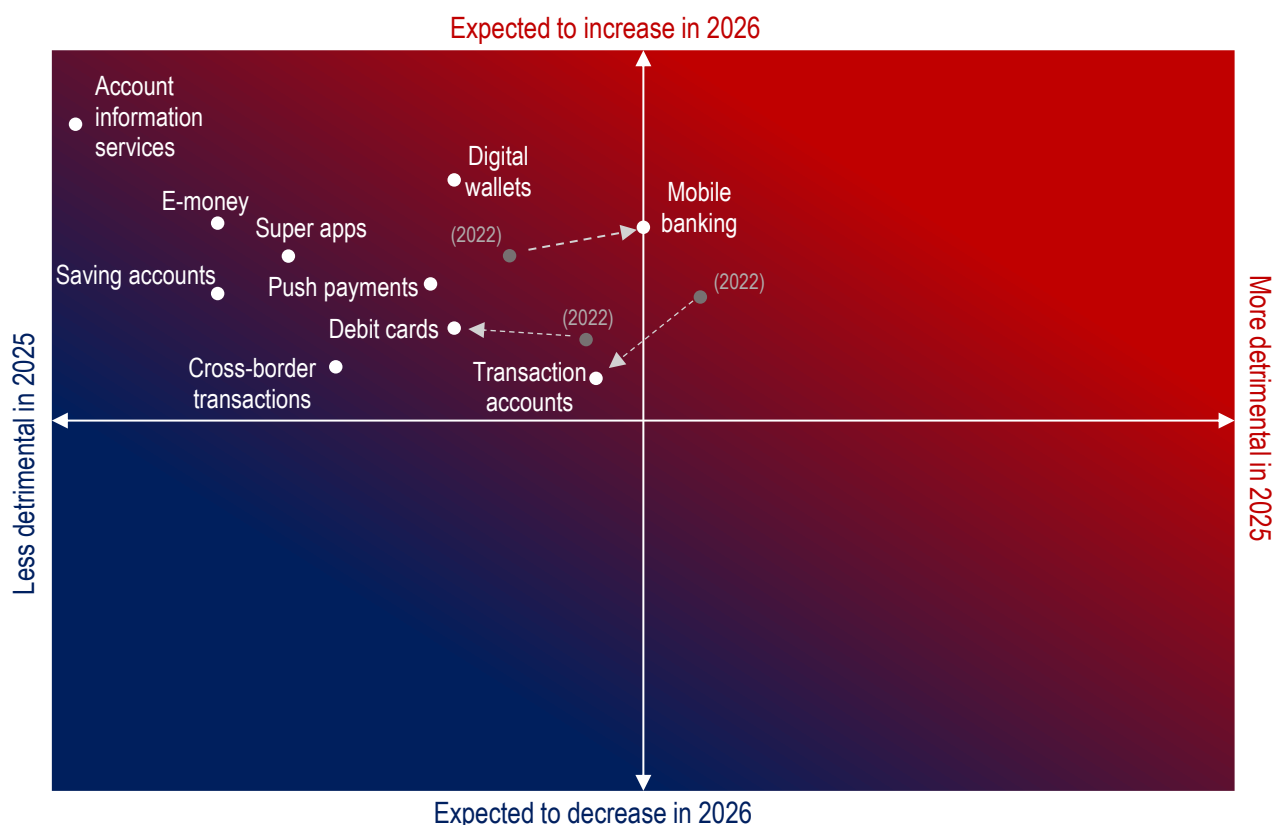
5.1. Banking and payments

Figure 5.1 presents a heatmap of banking and payments products and services according to the current levels of detriment at the time of reporting in 2025, and the expected trend for 2026. It also compares responses with those reported in the *Consumer Finance Risk Monitor 2024* for the top three products and services giving rise to consumer detriment.

- Mobile banking is cited by respondents as the product within the banking and payments sector that contributed most significantly to consumer detriment in 2025. Half of respondents selected this product among the top three banking and payments products giving rise to consumer detriment. Among these, a majority anticipated that the associated risks would increase in 2026.
- Transaction accounts are the second most significant product giving rise to consumer detriment, identified by 46% of respondents, most of whom projected that the level of risk posed by these products would remain the same in 2026.
- Digital wallets and debit cards represent the third most significant products giving rise to consumer detriment, each identified by 34% of respondents. The risks associated with digital wallets were largely expected to increase in 2026, while the outlook for debit cards was slightly less pessimistic.
- Push payments and cross-border transactions were also identified as products and services giving rise to consumer detriment, selected by 32% and 24% of respondents respectively.
- Across all the products and services in this category, jurisdictions largely anticipate that they will continue to give rise to consumer detriment to the same extent or more in 2026, as illustrated by the fact that none of the products or services are placed below the horizontal axis.
- Respondents to the *Consumer Finance Risk Monitor 2024* identified transaction accounts (55%) and debit cards (45%) as the products giving rise to the greatest consumer detriment in the banking and payments sector (OECD, 2024^[1]). Although selected by a fewer proportion of respondents

now, both editions show a slightly pessimistic outlook for debit cards. However, on transaction accounts, the current edition highlights a significantly less pessimistic outlook when compared with the 2024 edition.

Figure 5.1. Products and services giving rise to consumer detriment in the banking and payments sector



Note: N=50. The x-axis (horizontal) presents responses to questions asking for the top three products and services that give rise to consumer detriment in the sector in 2025 as a percentage of total respondents. The y-axis (vertical) presents responses to a follow-up question asking whether jurisdictions anticipate the detriment arising from the selected product would increase, stay the same or decrease in 2026. Products and services to the right of the y-axis were selected by more than half of respondents.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025 & 2023.

The banking and payment products that give rise to consumer detriment differ markedly between high-income jurisdictions and low- and middle-income jurisdictions (Figure 5.2). In low- and middle-income jurisdictions, mobile banking is the leading source of consumer harm (57% versus 44%), alongside debit cards and digital wallets (both 48% versus 22%). This could reflect concerns stemming from the rapid adoption of digital financial services in contexts where financial consumer protection frameworks are still evolving and financial literacy levels may be comparatively low.

By contrast, high-income jurisdictions are more concerned about detriment resulting from transaction accounts (59% versus 30%), push payments and customer-initiated transfers (44% versus 17%), and cross-border transactions including remittances (30% versus 17%).

Figure 5.2. Banking and payment products and services giving rise to consumer detriment, by income level

	Low & Middle	High
Mobile banking	57%	44%
Debit cards	48%	22%
Digital wallets	48%	22%
Transaction accounts	30%	59%
E-money	22%	4%
Super apps (including e-commerce platforms)	17%	22%
Cross-border transactions (including remittances)	17%	30%
Push payments (customer-initiated transfers)	17%	44%
Saving accounts	9%	19%
Account information services	4%	0%

Note: N=23 for “Low & Middle” and N=27 for “High”. Percentages show the share of jurisdictions within each income group that selected the product or service as one of the top three products and services giving rise to consumer detriment in the sector in 2025.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

Across most banking and payment products, heightened exposure to financial scams and frauds represent a primary concern. Jurisdictions such as Belgium, Germany, Indonesia, Israel and Türkiye highlighted that the proliferation of mobile banking products and services make consumers more susceptible to this risk, for example by exposing consumers to risks such as phishing attacks, including those designed to steal login credentials. Similar concerns were raised for digital wallets. For instance, Israel noted that unauthorised access to digital wallets or theft of mobile devices enable fraudsters to quickly transfer funds, which could cause significant detriment to consumers. At the same time, Hong Kong (China) noted that fraud prevention measures by financial institutions, such as more frequent account reviews and requests for additional information from the account holders, may create inconvenience to consumers and lead to complaints.

The rise of mobile banking poses accessibility challenges for certain consumers and can exacerbate financial inclusion gaps for those without reliable access to the Internet. For example, the Netherlands observed that certain consumer groups, particularly the elderly, individuals with disabilities, and those with limited digital skills, struggle to keep pace with the digitalisation of banking services. Colombia and Brazil noted similar concerns about vulnerable populations, driven by lower levels of digital literacy. Similarly, South Africa noted that the increasing reliance on mobile banking may exacerbate financial inclusion gaps for low-income or rural consumers lacking access to smartphones or reliable internet connectivity. Furthermore, respondents from Libya, Malta and Uzbekistan reported that technical outages associated with mobile banking services can further undermine accessibility within the banking and payments sector. In Colombia, 6.3% of consumer complaints received in 2025 concerned difficulty or inability to carry out transactions or consult information through the product channel.

Furthermore, products such as transaction accounts and push payments may lead consumers to incur hidden or unexpected fees, that push the cost of the financial product or service beyond what they might have anticipated. For instance, Bosnia and Herzegovina, Hungary and the Philippines reported that consumers are often faced with significant banking fees that could be complex and difficult to understand. Likewise, North Macedonia noted that unclear fees associated with routine operations, such as account maintenance and cash withdrawals from automated teller machines (ATMs) could disproportionately affect low-income consumers. Regarding debit cards, Lithuania reported consumer dissatisfaction caused by fees charged for delivering a new physical card. Similarly, Armenia noted that a lack of effective disclosures

for debit cards could lead to consumers paying more than they otherwise would have. Hungary noted that pricing policies for push payments are complex and difficult to understand for consumers.

Box 5.1. Cross-border transactions, including remittances

Consumer risks with cross-border payments

Several jurisdictions reported persistent challenges for consumers associated with cross-border payments, including remittances.

Jurisdictions such as Belgium, Bosnia and Herzegovina, Canada, Hungary and Serbia noted that exchange fees are often insufficiently transparent to consumers. Serbia highlighted consumer complaints regarding high fees on these transactions, while Bosnia and Herzegovina stressed that many consumers, particularly members of the diaspora sending money home, are often unaware of alternative products available to them. Canada also reported consumer dissatisfaction with payment delays, hidden or unexpected fees, and the lack of confirmation that funds have reached the intended recipient when making online transfers (Payments Canada, 2025^[2]).

The growth of cross-border payments further increases the risk of exposure to scams and frauds, as reported by jurisdictions such as Hong Kong (China), Germany and Malta. Hong Kong (China) indicated that remittance services or fund transfer disputes were a common type of banking complaint received. Eswatini reported that regulatory changes had increased the informal market for cross-border transfers.

Addressing risks associated with cross border transactions can be challenging due to unclear responsibilities of authorities from different jurisdictions. The Netherlands, for example, noted that due to a lack of visibility and knowledge of foreign markets, there is ambiguity over which authorities are accountable when issues arise. This lack of clarity can lead to gaps in oversight and co-ordination among the authorities involved.

Enhancing transparency in retail cross-border payments

In 2020, at the request of the G20, the Financial Stability Board (FSB), in co-ordination with other relevant international organisations and standard-setting bodies, developed a roadmap to enhance cross-border payments (G20 Roadmap). The G20 Roadmap followed a comprehensive approach to improve wholesale payments and remittances, with the objective of transparency, whereby payment service providers would be required by 2027 to provide payers and payees with certain information concerning cross-border payments. This would include total transaction costs (including any fees and FX charges), the expected time to deliver funds, tracking of payment status, and terms of service.

To support this work, the FSB requested that the OECD Working Party on Financial Consumer Protection, Education and Inclusion, given its role and expertise in financial consumer protection, undertake a project to develop guidance on effective measures to enhance transparency in cross-border retail payments and remittances. The forthcoming guidance will be published in 2026 and will assist jurisdictions to meet the targets of the G20 Roadmap and support implementation of the G20/OECD High-Level Principles on Financial Consumer Protection, which contain a number of specific references to cross-border payments.

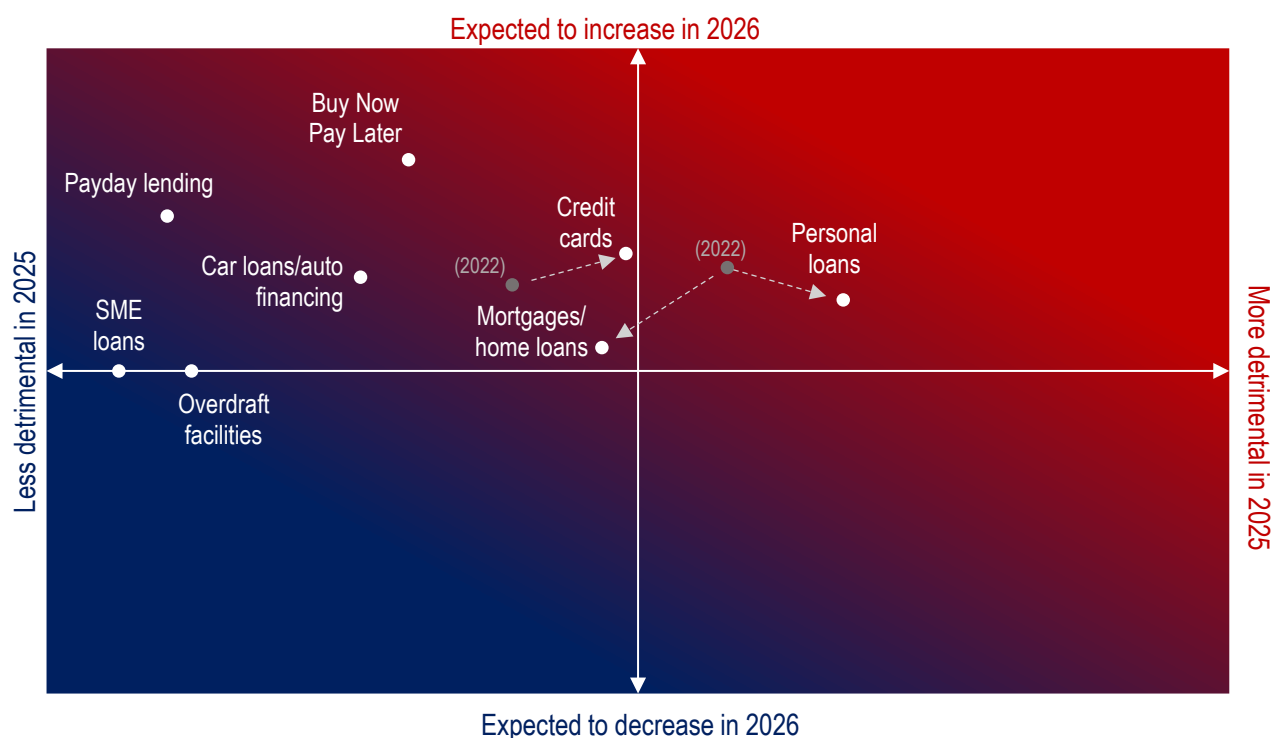
Source: Financial Stability Board (2025), *Enhancing Cross-border Payments: Progress Report*, Financial Stability Board, Basel. Available at: <https://www.fsb.org/uploads/P091025-1.pdf>.

5.2. Consumer Credit

Figure 5.3 presents a heatmap of consumer credit products and services according to the level of detriment in 2025 and the expected trend for 2026. It also compares current responses with those reported in the *Consumer Finance Risk Monitor 2024* for the top three products and services giving rise to consumer detriment.

- Personal loans are the most significant product giving rise to consumer detriment, identified by approximately two-thirds of jurisdictions. On average, respondents generally anticipate that consumer detriment from personal loans will increase in 2026.
- Credit cards and mortgages/home loans are the second and third most significant products giving rise to consumer detriment, identified by 49% and 47% of respondents, respectively. On average, jurisdictions expect that harm related to credit cards will increase in 2026, while the outlook for mortgages and home loans was more neutral.
- Buy Now Pay Later products are the fourth most significant product giving rise to consumer detriment, identified by about one-third of respondents. These products received the most pessimistic outlook, with respondents anticipating that consumer detriment from Buy Now Pay Later products will increase in 2026.
- Across all consumer credit products and services, jurisdictions generally anticipate that consumer harm caused by these products will remain steady or increase in 2026.
- In the *Consumer Finance Risk Monitor 2024*, mortgages/home loans and personal loans were identified as the products giving rise to the greatest consumer detriment in the consumer credit sector, both of which were identified by 58% of respondents (OECD, 2024^[1]).

Figure 5.3. Products and services giving rise to consumer detriment in the consumer credit sector



Note: N=49. The x-axis (horizontal) presents responses to questions asking for the top three products and services that give rise to consumer detriment in the sector in 2025 as a percentage of total respondents. The y-axis (vertical) presents responses to a follow-up question asking whether jurisdictions anticipate the detriment arising from the selected product would increase, stay the same or decrease in 2026. Products and services to the right of the y-axis were selected by more than half of respondents.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025 & 2023.

Concerns regarding consumer credit products in high-income jurisdictions differ notably from those in low- and middle-income jurisdictions (Figure 5.4). Low- and middle-income jurisdictions identified personal loans as the predominant concern (78% versus 61%), followed by credit cards (61% versus 42%) and mortgages/home loans (56% versus 42%). Respondents from high-income jurisdictions also ranked personal loans highest (61%) yet demonstrate distinctly elevated concern regarding Buy Now Pay Later products (45% versus just 6% in low- and middle-income jurisdictions). This substantial divergence highlights the growing prevalence of Buy Now Pay Later products in high-income jurisdictions and associated consumer protection challenges, including inadequate affordability assessments and the risk of high debt levels among consumers who may not perceive the product as consumer credit (FinCoNet, 2024^[3]; OECD, 2025^[4]). The lower prioritisation of Buy Now Pay Later products in low- and middle-income jurisdictions may reflect limited market penetration of these services (Bank for International Settlements, 2023^[5]) and regulatory focus remaining concentrated on more traditional consumer credit products.

Figure 5.4. Consumer credit products and services giving rise to consumer detriment, by income level

	Low & Middle	High
Personal loans	78%	61%
Credit cards	61%	42%
Mortgages/home loans	56%	42%
Car loans/auto financing	22%	29%
Overdraft facilities	17%	10%
Buy Now Pay Later	6%	45%
Payday lending	6%	13%
SME loans	6%	6%
Peer-to-peer lending	6%	10%

Note: N=18 for “Low & Middle” and N=31 for “High”. Percentages show the share of jurisdictions within each income group that selected the product or service as one of the top three products and services giving rise to consumer detriment in the sector in 2025.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

High levels of debt and overleveraging remain common problems linked to consumer credit products and services, according to respondents. As noted in Chapters 1 and 3, in the current context of elevated costs of living, it appears that some consumers may be using debt to manage their daily expenses. While simpler access to consumer credit products through digital channels can make funds quickly available to consumers during times of need, ease of access can also be detrimental to consumers if borrowers are trapped in cycles of debt due to high interest rates and other charges such as late fees (Financial Consumer Agency of Canada, n.d.^[6]). For example, a five-country study by the Global System for Mobile Communications Association (GSMA) found that borrowers with loans from digital providers were more likely to have debt in arrears, relative to borrowers who had not taken loans from digital providers (GSMA, 2025^[7]).

Jurisdictions such as Finland and Uruguay noted that personal loans may be driving high levels of debt, with the Finnish Consumer Ombudsman highlighting that consumers are repaying their loans but still struggling to pay down the principal. Regarding credit cards, for example, Türkiye raised concerns that consumers with high credit card limits were under increased risk of over-indebtedness as a result of high interest rates. Similarly, Jordan and Serbia also highlighted concerns about credit card sales practices that could lead to consumer detriment; for instance, many providers may aggressively promote credit cards by emphasising additional features, increasing the risk of consumers becoming over-indebted. Luxembourg shared concerns about high debt-to-income ratios linked to mortgages. This, in combination with overall sensitivity to interest rate changes, could deepen vulnerability experienced by households, especially for those with variable rate mortgages.

Jurisdictions also highlighted issues with fees associated with consumer credit products as a source of consumer detriment. For example, Uzbekistan raised concerns about hidden charges, automatic fees (e.g. subscription or service costs), coupled with aggressive marketing practices linked to credit cards. Similar issues of hidden or unclear fees were noted for personal loans and Buy Now Pay Later products. Respondents such as Australia and Zambia also highlighted high interest rates charged to vulnerable consumers by fringe and (in the case of Zambia) illegal lenders.

As noted above, the rapid growth of Buy Now Pay Later products emerged as a key concern among high-income jurisdictions. For example, the Netherlands witnessed a 17% increase in the use of Buy Now Pay Later products in 2024 (AFM Netherlands, 2025^[8]). This may be a result of the easy access and convenience of these products, but, as noted by Belgium, these products can lead to significant fees when

not paid on time (including fees that were not always made clear to the consumer at the point of sale). As Buy Now Pay Later products are relatively new to the market, an additional concern identified was the lack of consumer protection regulatory guardrails around these products. A study by the Central Bank of Ireland found that Buy Now Pay Later products offer operational benefits such as accessibility and a simple, automated repayment process. However, the study also highlights a key risk: frequent reliance on Buy Now Pay Later products, especially across multiple platforms, can result in higher debt accumulation and make it harder for consumers to track their financial obligations (Central Bank of Ireland, 2025^[9]). In the European Union, under the revised Consumer Credit Directive (CCD2), Buy Now Pay Later products are now classified as consumer credit, subject to stricter rules on transparency, affordability checks, and fee caps. Jurisdictions such as Italy highlighted that work was underway on the relevant regulatory provisions, concerning issues such as licensing, creditworthiness assessments and clearer consumer disclosures. Additionally, in the United Kingdom, there is fast growing usage of Buy Now Pay Later products with plans to regulate in 2026 (Financial Conduct Authority, 2025^[10]).

While not selected as a major source of consumer detriment, Earned Wage Access (EWA) emerged as a concern for some jurisdictions. EWA is a service that allows workers to access a portion of wages they have already earned before payday, either through employer-sponsored programmes that draw on payroll data or through direct-to-consumer services where third-party providers estimate earnings from bank transaction data (Federal Reserve Bank of Kansas City, 2024^[11]). This emerging consumer credit service can present risks to consumers in part due to unclear and inconsistently applied regulations. In particular, it is unclear whether earned wage access services are treated as a loan or a payment service, thereby affecting the applicable regulatory framework for these products (International Labour Organization, 2025^[12]). For example, Australia highlighted a significant growth in this service, noting that a number of firms offering this product do so on the basis that they are exempt from specific consumer credit regulation. While not specific to EWA products, Brazil also warned about consumer detriment arising from loans tied to wages, noting that payroll loans generate some of the highest number of consumer complaints, reflecting persistent issues related to transparency, suitability, and customer service. Payroll loans are typically offered at comparatively low interest rates; however, because repayments are made through automatic deductions from wages over extended periods, they can significantly reduce a borrower's disposable income and create a heightened risk of financial strain in meeting other essential household expenses.

The OECD Recommendation on Consumer Protection in the field of Consumer Credit [\[OECD/LEGAL/0453\]](#) sets out recommended policy and regulatory measures that cover the life cycle of consumer credit transactions including before, during and after the point of sale to promote fair treatment of consumers through affordable and suitable credit products, and to prevent over-indebtedness. In 2024, the OECD Working Party on Financial Consumer Protection, Education and Inclusion (WPFCEI) undertook a review of the implementation, dissemination and continued relevance of the Credit Recommendation (OECD, 2025^[13]). In 2025, the WPFCEI proposed updates to the Recommendation to address recent developments and emerging trends in consumer credit markets. Given concerns about high debt levels and the risk of unsuitable lending, this international standard can serve as a key point of reference.

5.3. Insurance

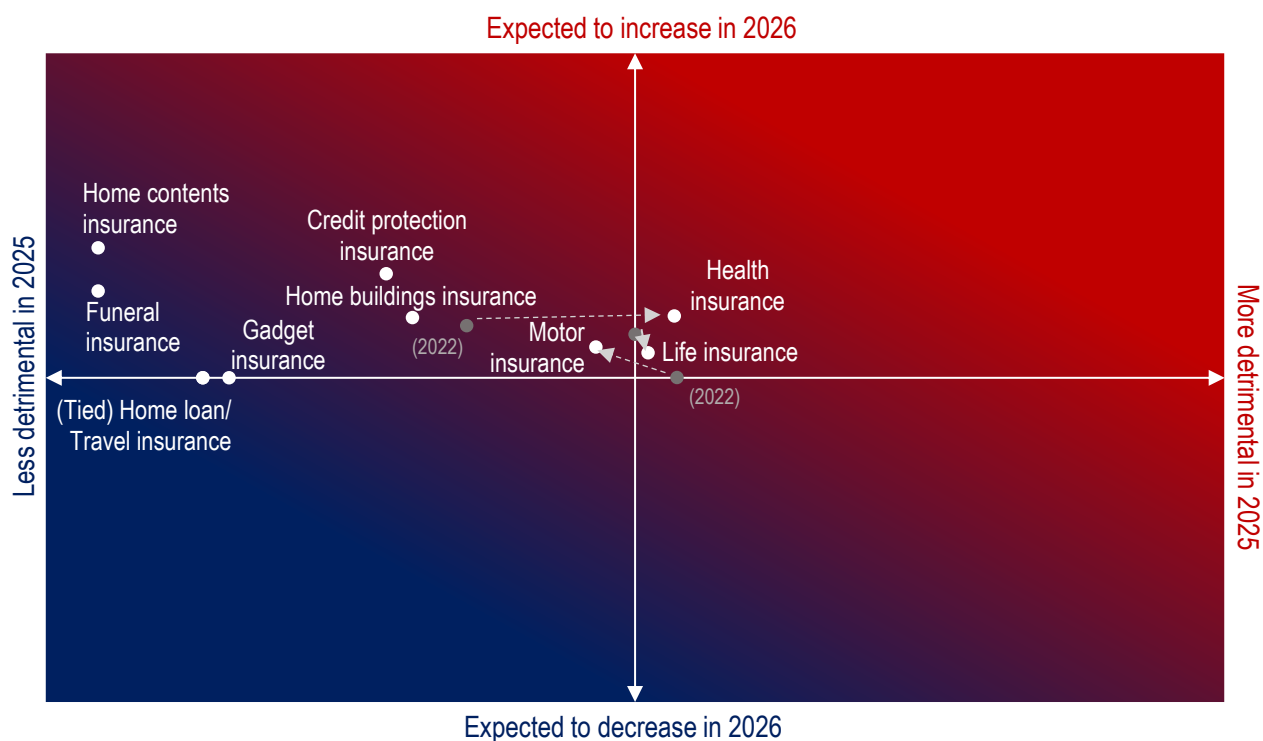
Figure 5.5 presents a heatmap of insurance products and services according to the level of detriment caused at the time of reporting in 2025, and the expected trend for 2026. It also compares responses with those reported in the *Consumer Finance Risk Monitor 2024* for the top three products and services giving rise to consumer detriment.

- Health insurance represented the most significant product giving rise to consumer detriment in the insurance sector in 2025, selected by 53% of responding jurisdictions. In general, the respondents

who selected health insurance anticipate that the level of consumer detriment will remain the same or slightly increase in 2026.

- The second and third most significant products giving rise to consumer detriment were life insurance, identified by 51% of responding jurisdictions, and motor insurance, selected by just under half of responding jurisdictions. The outlook for 2026 was similar across these products, with respondents expecting levels of consumer harm to remain the same or slightly increase in 2026.
- For all insurance products, with the exceptions of travel insurance, home loan insurance and gadget insurance, jurisdictions anticipate that the level of consumer detriment will increase in 2026.
- In the *Consumer Finance Risk Monitor 2024*, motor insurance was the top identified product giving rise to consumer detriment, selected by just over half of respondents. This was followed by life insurance, selected by just under half of respondents, credit protection and health insurance (both selected by 36% of respondents). Similar to current findings, the 2024 edition reported that jurisdictions anticipated that the level detriment arising from life insurance, credit protection and health insurance would slightly increase (OECD, 2024^[1]).

Figure 5.5. Products and services giving rise to consumer detriment in the insurance sector



Note: N=45. The x-axis (horizontal) presents responses to questions asking for the top three products and services that give rise to consumer detriment in the sector in 2025 as a percentage of total respondents. The y-axis (vertical) presents responses to a follow-up question asking whether jurisdictions anticipate the detriment arising from the selected product would increase, stay the same or decrease in 2026. Products and services to the right of the y-axis were selected by more than half of respondents.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025 & 2023.

Responses from high-income jurisdictions are similar to those identified by low- and middle-income jurisdictions regarding insurance products giving rise to consumer detriment (Figure 5.6). Low- and middle-income jurisdictions identified motor insurance (61% versus 37%), health insurance (61% versus 48%), and life insurance (56% vs 48%) as the primary sources of consumer harm. Respondents from high-income jurisdictions also cited health insurance and life insurance (both 48%) yet demonstrated distinctly elevated

concern regarding home buildings insurance (44% compared to 11% in low- and middle-income jurisdictions). Conversely, motor insurance generates significantly less concern in high-income jurisdictions (37% versus 61%).

Figure 5.6. Insurance products and services giving rise to consumer detriment, by income level

	Low & Middle	High
Motor insurance	61%	37%
Health insurance	61%	48%
Life insurance	56%	48%
Credit protection insurance (not including home loans/mortgages)	33%	26%
Travel insurance	17%	11%
Home buildings insurance	11%	44%
Home loan/Mortgage protection insurance	11%	15%
Gadget insurance (e.g. electronic items)	11%	19%
Funeral or burial insurance	6%	4%
Home contents insurance	0%	7%

Note: N=18 for “Low & Middle” and N=27 for “High”. Percentages show the share of jurisdictions within each income group that selected the product or service as one of the top three products and services giving rise to consumer detriment in the sector in 2025.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

Jurisdictions flagged firm conduct with regards to insurance policies and payouts as a persistent issue contributing to consumer detriment across various insurance products. In the case of health insurance, jurisdictions reported that consumers are often sold unsuitable insurance policies that may not address their needs. For example, Greece highlighted that the criteria used to determine premium increases in lifelong health insurance policies were often opaque. Additionally, New Zealand reported that rising health insurance premiums may strain household budgets; furthermore, such increases are driven by increased utilisation rates, which may reflect pressures in the public health system rather than consumers’ individual risk profiles.

Regarding motor insurance, jurisdictions including Serbia, reported inadequate assessments of damages in relation to the coverage, and Germany noted frequent late payouts to claimants. Indeed, compensation arrangements are an ongoing issue with insurance products, specifically motor insurance. For example, Malta reported high volumes of disputes with regards to compensation amounts linked to motor insurance. Additionally, in Ukraine, third-party motor liability insurance is compulsory, and thus it is the most common insurance product held by consumers. However, given its mandatory nature, consumers prioritise policies with the lowest premiums, which may lead to insufficient coverage and underestimated losses in the event of an accident, ultimately reducing insurer liability and expenses. In the United Kingdom, motor insurance is the largest personal-lines (retail) general insurance product. Although recent analysis by the Financial Conduct Authority (FCA) indicates that rising motor insurance premiums were driven largely by external cost pressures rather than increased insurer profits, their review of the sector nonetheless identified shortcomings in claims-handling practices (Financial Conduct Authority, 2025^[14]). Between 2024 and 2026, the FCA also conducted a market study into “premium finance”, a product that enables insurance customers to pay their policy premiums in instalments (Financial Conduct Authority, 2026^[15]). The final report concluded that new rules or price caps were not warranted, but noted that the FCA would continue to monitor high-cost products to ensure they deliver fair value to consumers.

Respondents also highlighted issues around product suitability and disclosures. For example, a thematic review in Romania on life insurance policies found that many products were deemed unsuitable at the

design phase. Similar findings were reported in Quebec, Canada. Furthermore, Portugal noted that credit protection insurance products are often mis-sold as a result of high commissions paid by insurers to banks. Lesotho noted that life insurance contracts were not written in the local language, and that contract terms and conditions often used complex, technical language, which made it difficult for consumers to understand the disclosures they received.

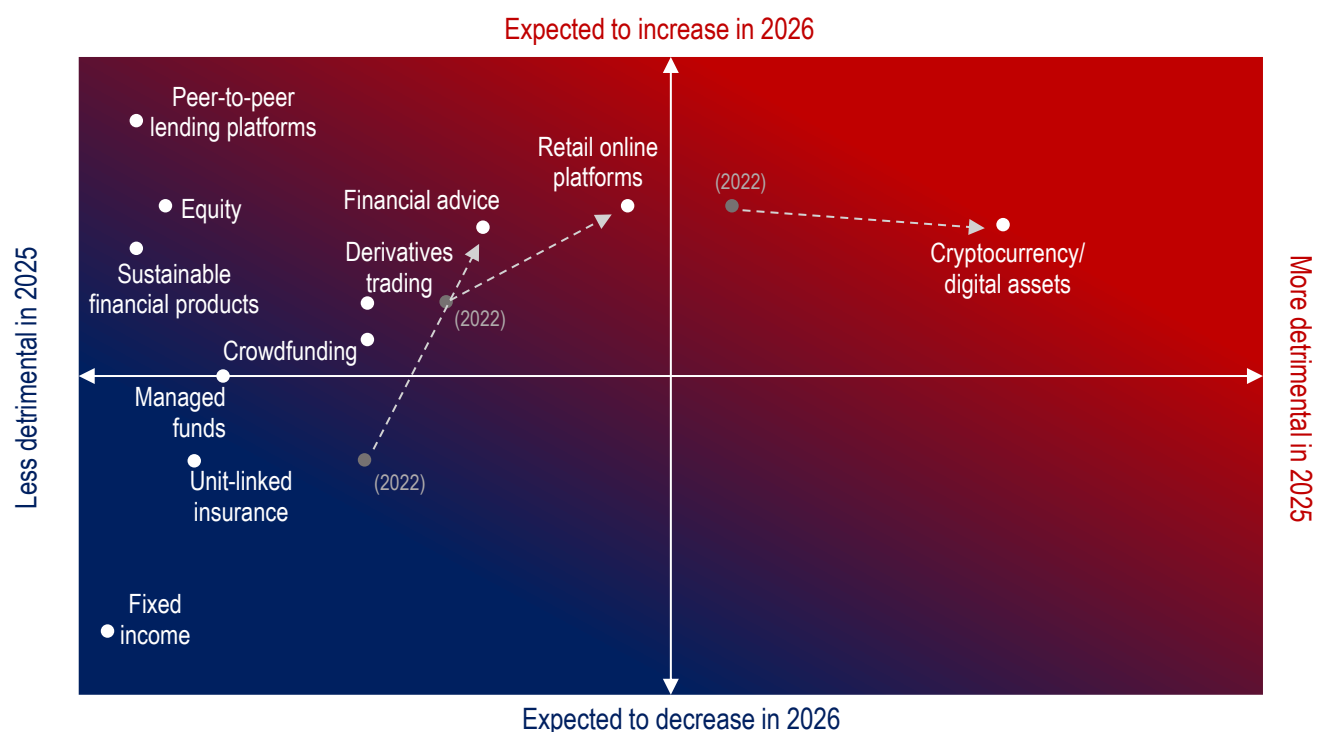
The complexity of insurance products, including unit-linked insurance policies, and the challenges they present for consumer understanding were cited by several jurisdictions. For example, in the Netherlands, unit-linked insurance gained popularity in the 1990s as a way to repay mortgages or accumulate savings. However, the Dutch Authority for the Financial Markets (AFM) later found that roughly half of these policies (around 2.6 million) carried excessively high charges. Because of these disproportionate costs, the products became widely known as “usury policies” (Dutch Association of Insurers, n.d.^[16]). The Dutch insurance market reached settlements totalling over EUR 3 billion in the early 2010s (CMS, 2015^[17]), although national authorities highlighted that Dutch consumers still hold over a million unit-linked products, possibly offering low value for money. They also noted additional settlement agreements in 2023-2025 in which insurers were required to compensate policyholders.

5.4. Investments

Figure 5.7 presents a heatmap of investment products and services according to the level of detriment caused at the time of reporting in 2025, and the expected trend for 2026. It also compares current responses with those reported in the *Consumer Finance Risk Monitor 2024* for the top three products and services giving rise to consumer detriment. Due to the smaller number of jurisdictions responding to this section of the Reporting Template, income-level breakdowns are not presented for investments.

- Cryptocurrencies and digital assets represent the product in the investment sector giving rise to the most significant consumer detriment in 2025, identified by close to 80% of responding jurisdictions. Among the respondents who selected cryptocurrencies and digital assets as a top source of consumer detriment, the majority expect that consumer harm associated with these products will increase in 2026. In the *Consumer Finance Risk Monitor 2024*, cryptocurrency and digital assets were also identified as the top product in the investment sector giving rise to consumer detriment, but at the time they were selected by just over half of respondents.
- Retail or self-directed online investment platforms are identified as the second most significant service giving rise to consumer detriment, selected by almost half of respondents. These respondents generally anticipate that the level of consumer detriment will rise through continued use of these services in 2026.
- Financial advisory services and derivatives trading are the third and fourth most frequently cited investment products giving rise to consumer detriment. Among jurisdictions that highlighted financial advice, the associated level of detriment is anticipated to increase in 2026. Similarly, for derivatives trading, jurisdictions anticipate the level of detriment will remain unchanged in 2026. Overall, this reflects a more pessimistic outlook compared to the *Consumer Finance Risk Monitor 2024*.

Figure 5.7. Products and services giving rise to consumer detriment in the investments sector



Note: N=41. The x-axis (horizontal) presents responses to questions asking for the top three products and services that give rise to consumer detriment in the sector in 2025 as a percentage of total respondents. The y-axis (vertical) presents responses to a follow-up question asking whether jurisdictions anticipate the detriment arising from the selected product would increase, stay the same or decrease in 2026. Products and services to the right of the y-axis were selected by more than half of respondents.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025 & 2023.

Jurisdictions report a growing general interest in cryptocurrency, especially among younger populations. However, limited understanding of these products, paired with consumers' eagerness to achieve quick and substantial returns, increases the risk of adverse consumer outcomes (Financial Conduct Authority, 2019^[18]). As noted in the OECD policy brief on *Improving the digital financial literacy of crypto-asset users*, a significant percentage of adults who use crypto-assets lack adequate levels of digital financial literacy (OECD, 2025^[19]). In 2023, on average, across 39 economies worldwide, only 29% of adults scored the minimum target digital financial literacy score of 70 points out of 100, and only 55% of crypto-asset holders understood that such assets are not legal tender in their country or economy. Jurisdictions such as Eswatini, Romania and Sweden note that when consumers invest in cryptocurrency without fully understanding these products, they are exposed to high levels of price volatility and downside risk.

Ireland also noted that crypto-asset markets may experience liquidity constraints, which could limit the ability to sell crypto-assets at the price or time wanted. Respondents such as Bulgaria, the Philippines and Uruguay highlighted that there are limited regulations or other safeguards in place for these products (e.g. licensing requirements for crypto-asset providers), and limited recourse options for consumers. Australia also reported that the lack of sufficient consumer protections that apply to cryptocurrency can cause users to lose substantial portions of their funds. The issue of regulatory gaps can extend to other products and services in this space. For example, Bulgaria highlighted that investments made via retail investment platforms are not covered by the Markets in Financial Instruments Act, leaving consumers unprotected with no regulatory oversight and no access to the appropriate redress. Additionally, Czechia noted that

because distribution channels for corporate bonds are unregulated, some products have been inappropriately offered to consumers.

Jurisdictions such as Czechia, Israel and Portugal identified increases in the use of retail/self-directed investment platforms. The rise in consumer detriment from these services could result from the interaction of limited consumer understanding and the provision of unsuitable advice. For example, Mauritius highlighted that many retail investors lack the knowledge, experience, or risk tolerance to use these platforms safely. Further, Spain noted that self-directed online investment platforms may lead to improper investment decisions prompted by inadequate information, leading to high-risk assets, including digital assets. This can also increase consumers' exposure to financial scams and frauds. For example, Italy noted instances of scammers creating fake self-directed online investment platforms and, under the guise of offering assistance, gaining remote access to investors' devices to steal personal and banking data.

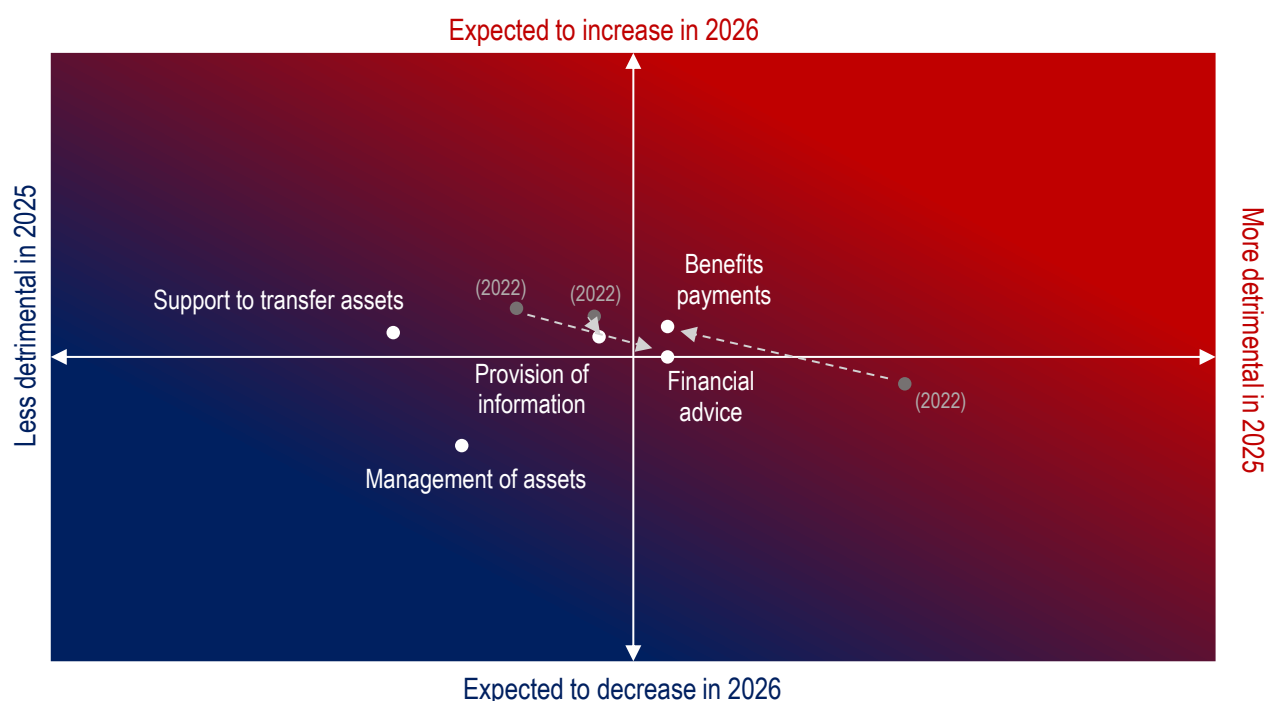
Chapter 4 highlights poor financial advice as a significant conduct-related risk, and findings indicate that this issue is especially acute in the investments sector. For example, South Africa reported that inaccurate disclosure of material information, remuneration of financial advisors, and unregistered financial service providers remain an issue amongst the categories of complaints they receive. Additionally, jurisdictions such as Latvia, the Philippines, and Slovak Republic also noted significant risks associated with the activities of unlicensed advisors. The United Kingdom also observed that the increasing use of neo-brokers, particularly among younger consumers, could lead to consumer harm if the products offered are misaligned with their consumers' risk appetite.

5.5. Pensions

Figure 5.8 presents a heatmap of pensions products and services according to the level of detriment caused at the time of reporting in 2025, and the expected trend for 2026. It also compares current responses with those reported in the *Consumer Finance Risk Monitor 2024* for the top three products and services giving rise to consumer detriment. Due to the smaller number of jurisdictions responding to this section of the Reporting Template, income-level breakdowns are not presented for pensions.

- Benefits payments and financial advice were equally highlighted as the most significant pensions products and services giving rise to consumer detriment in 2025, each selected by slightly more than half of respondents.
- The outlook for 2026 is similar for both, with respondents anticipating that the harms associated with these services will generally remain about the same. However, the perspective on benefits payments is slightly more negative, with a slight anticipated increase in associated detriment in 2026.
- Across four of the five pension products, jurisdictions anticipate that the associated consumer detriment will remain the same or only slightly increase. The management of assets is the outlier, with jurisdictions anticipating that the associated harms will decrease in 2026.
- In the *Consumer Finance Risk Monitor 2024*, benefits payments and management of assets were the most significant products and services giving rise to consumer detriment in the pensions sector. However, the harm arising from benefits payments is currently much more pessimistic, as the 2024 edition reported an anticipated decrease in the harm arising from these products (OECD, 2024^[11]).

Figure 5.8. Products and services giving rise to consumer detriment in the pensions sector



Note: N=34. The x-axis (horizontal) presents responses to questions asking for the top three products and services that give rise to consumer detriment in the sector in 2025, as a percentage of total respondents. The y-axis (vertical) presents responses to a follow-up question asking whether jurisdictions anticipate the detriment arising from the selected product would increase, stay the same or decrease in 2026. Products and services to the right of the y-axis were selected by more than half of respondents.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

Jurisdictions such as Lithuania, Malaysia New Zealand raised concerns about early withdrawals from retirement products, as more households utilise these funds to cope with rising living costs. While this practice may offer short-term financial relief, tapping into retirement funds prematurely could lead to long-term challenges in managing future expenses. In Malaysia for example, workers can fully withdraw their retirement savings at 55, while the statutory retirement age is 60; this misalignment may encourage early depletion of funds, heightening vulnerability for older consumers (World Bank, 2025^[20]). Panama similarly noted that members of pension funds are often unaware of the conditions and penalties for making early withdrawals.

Jurisdictions also noted concerns related to payout arrangements. For example, Australia reported instances of delayed payouts, while North Macedonia highlighted an underdeveloped market for payout products such as annuities. This can present issues in the pensions market, as a lack of competition can undermine fair value for consumers (e.g. value for money) (Financial Conduct Authority, 2019^[21]). In Latvia, when retirees begin receiving state-funded pension benefits, all accumulated assets are liquidated, which can expose pensioners to significant losses if retirement occurs during a market downturn.

Additionally, jurisdictions such as Bulgaria, Sweden and the United Kingdom emphasised information asymmetries as a persistent issue hindering consumers from making well-informed pension-related decisions. Malta reported that pension scheme members often receive infrequent, unclear, or overly technical communications that make it difficult to assess their retirement readiness. Similarly, authorities in Colombia reported that difficulties understanding the pension plan, as well as limited advice when switching plans and resulting poorly informed decisions, can negatively affect future pension amounts.

Additionally, in the Netherlands, the shift toward a contribution-based pension scheme has heightened the importance of guidance from pension providers. To facilitate a smoother transition, a new legal requirement mandates “choice guidance”, obligating pension providers to help participants understand their options and make informed decisions within the new pension framework (AFM Netherlands, 2025^[22]).

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6 Consumer complaints

This chapter reviews data on consumer complaints received by firms, alternative dispute resolution schemes and supervisory authorities. It analyses complaints across five product sectors: banking and payments, consumer credit, insurance, investments, and pensions. Consumer complaints data provide valuable insights for policymakers, regulators and supervisors into the most pressing issues in financial services, highlighting potential gaps in existing financial consumer protection frameworks and instances of misconduct that may require attention.

As highlighted in the G20/OECD High-Level Principles on Financial Consumer Protection, accessible and efficient mechanisms that address and resolve consumer complaints are a key component of effective financial consumer protection frameworks. Principle 12 on Complaints Handling and Redress specifically notes that countries should ensure consumers have access to adequate complaints handling and redress mechanisms that are accessible, affordable, independent, fair, accountable, timely and efficient. They should leverage technology where appropriate and take into account the needs of consumers, including those who may be vulnerable. Such mechanisms should include both internal processes within financial services providers and intermediaries (firms) as well as an independent redress process – such as a supervisory authority or an alternative dispute resolution (ADR) scheme – to address complaints that cannot be efficiently resolved at the first stage. Principle 12 also stipulates that aggregate information on consumer complaints and their resolutions should be made publicly available (OECD, 2022^[1]).

An effective complaints handling regime helps promote trust and fairness in financial markets for consumers and is an area of ongoing interest for policymakers, regulators and supervisors. For example, FinCoNet (an international network of market conduct supervisory authorities) has addressed the role of supervisory authorities in overseeing consumer complaints handling by firms as part of the fundamentals of market conduct supervision (FinCoNet, 2025^[2]). Additionally, many jurisdictions are showing growing interest in enhancing or establishing formal ADR schemes as independent and accessible mechanisms for consumer redress. These schemes provide an alternative to formal court systems, which often involve high legal fees and long wait times for decisions. For example, the Istituto per la Vigilanza sulle Assicurazioni (Institute for the Supervision of Insurance) in Italy introduced a new insurance arbitrator to handle out-of-court disputes specifically related to the insurance industry in 2025 (IVASS, 2025^[3]). Additionally, the Alternative Banking Dispute Resolution Centre in Romania introduced a financial education component in 2025, to better equip consumers in navigating interactions with firms.

Beyond the immediate benefit of resolving consumer complaints, effective complaints handling processes involve the systematic collection of complaints data, which enables detailed, comprehensive analysis when disaggregated. This data delivers significant benefits to policymakers, regulators, supervisors, firms and consumers. For example, examining complaints data facilitates the identification of systemic issues and trends in financial markets and business practices that may be harming consumers (Australian Financial Complaints Authority, 2023^[4]). The use of complaints data also enables risk prioritisation, as such data can identify areas for thematic reviews and determine where stronger supervisory action can be taken (CGAP, 2022^[5]). For firms, standardised procedures for collecting information on complaints allows for efficiency, fairness and standardisation of complaint resolutions and decisions (World Bank, n.d.^[6]). It also helps firms identify systemic issues or areas of improvement in products or services (Financial Conduct Authority, 2024^[7]). Lastly, publishing complaints data (often by the supervisory authority or the ADR scheme) can help consumers make more informed decisions about products and services in the market (Consumer Policy Research Centre, 2024^[8]).

It is important to note that complaints data may not be fully representative of all consumers. Socio-economic factors and individual characteristics can make some consumers less inclined to lodge complaints than others. In addition, an increase in complaint volumes does not necessarily reflect greater consumer harm; it may instead indicate improved awareness of available redress mechanisms or growing confidence in their effectiveness.

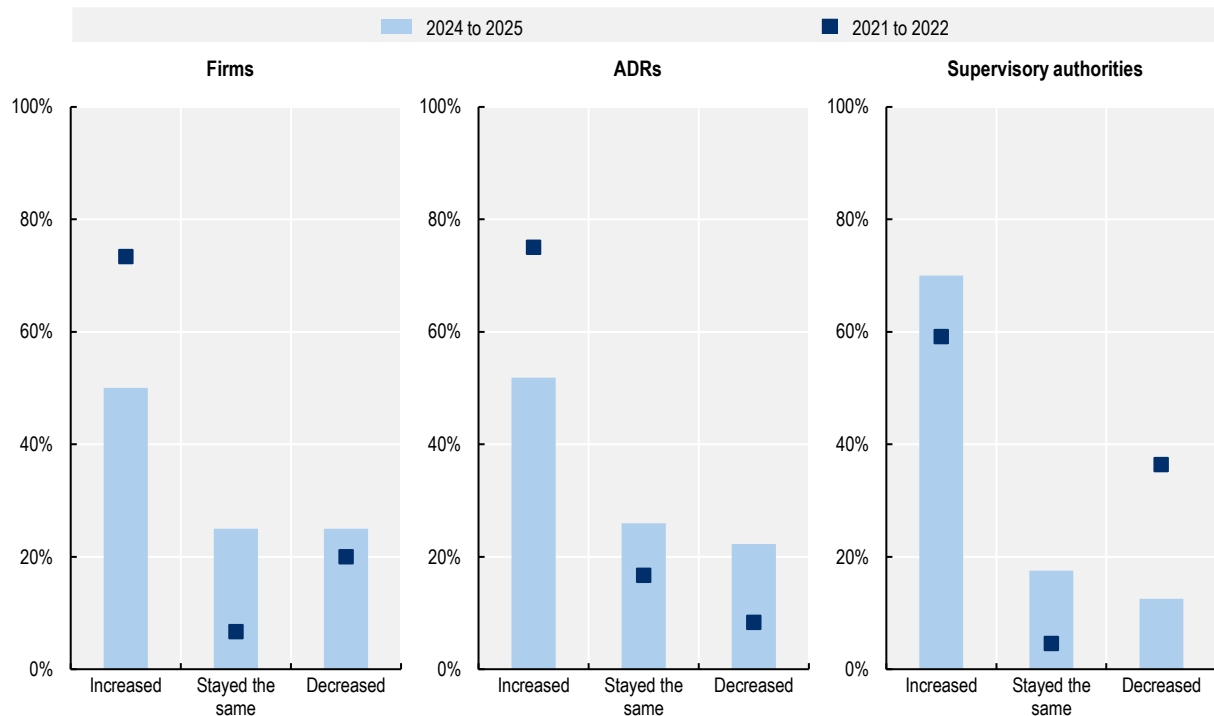
This chapter reports findings on complaints data across five product sectors: banking and payments; consumer credit; insurance; investments and pensions. The chapter first presents aggregate trends in the volume of consumers complaints received by firms, ADR schemes and supervisory authorities from 2024 to 2025, compared with trends from the reporting period of the *Consumer Finance Risk Monitor 2024*. Next, the chapter discusses the top five subjects of consumer complaints in each of the five product sectors.

6.1. Aggregate trends in consumer complaints

Figure 6.1 shows the percentage of respondents reporting that the number of complaints had increased, stayed the same or decreased between 2024 and 2025 (light blue columns), alongside the corresponding percentages for 2021-2022 (dark blue squares). As shown, the total volume of consumer complaints received by firms or ADR schemes increased in half of the reporting jurisdictions from 2024 to 2025. This is a decrease relative to results from the *Consumer Finance Risk Monitor 2024*, in which roughly three-quarters of respondents reported increases in these complaints from 2021 to 2022 (OECD, 2024^[9]). However, the proportion of jurisdictions reporting higher complaint volumes received by supervisory authorities grew to almost 70% for the 2024-2025 period. This reflects an increase from the 59% reported in the *Consumer Finance Risk Monitor 2024*, which assessed changes between 2021 and 2022. Taken together, these shifts suggest an increasing trend in complaints directed at supervisory authorities, relative to firms and ADR schemes.

Figure 6.1. Trends in consumer complaint volumes, by recipient of complaint

Percentage of respondents reporting that complaints had increased, stayed the same or decreased from 2024 to 2025, compared to the reporting period of the 2024 edition (2021 to 2022), by recipient of complaint.



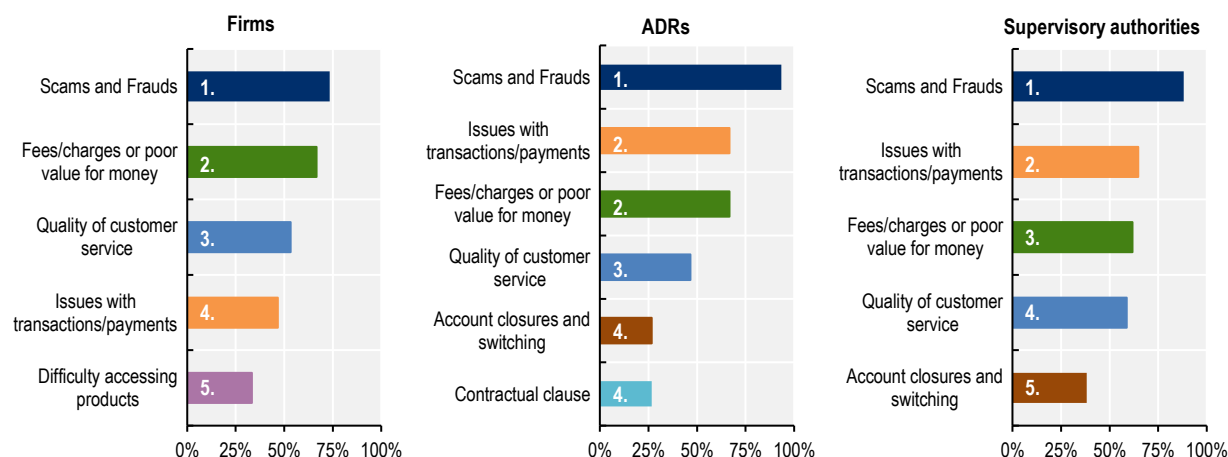
Note: ADRs = alternative dispute resolution schemes. Percentages may not sum to 100 due to rounding. Data was provided in response to a question asking respondents to indicate whether the total number of complaints received from consumers (across all products and sectors regulated) increased, stayed the same or decreased in the requested years. For the most recent year (2024 to 2025, to date), 28 respondents provided an answer regarding complaints received by firms, 27 regarding complaints received by ADR mechanisms, and 40 regarding complaints received by supervisory authorities.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2023 & 2025.

6.2. Banking and payments

Figure 6.2. Consumer complaints in the banking and payments sector

Top subjects of consumer complaints received by firms, ADR schemes and supervisory authorities in 2025



Note: Horizontal bars represent the share of respondents who ranked this subject of complaints among the top five in their jurisdiction in 2025. Categories equally selected were assigned the same ranking number.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2023 & 2025.

Within the banking and payments sector, scams and frauds were the most common subject of consumer complaints received by firms, ADR schemes and supervisory authorities (Figure 6.2). Among supervisory authorities and ADR schemes, the second most common subject of consumer complaints was issues with specific transactions, transfers and payments. In the *Consumer Finance Risk Monitor 2024*, this was the most common subject of consumer complaints across all types of recipients and has since dropped to the fourth most frequent subject of complaints received by firms (OECD, 2024^[9]).

As noted in Chapter 5, scams and frauds involving banking and payment services remain a key concern for authorities. Scams and frauds were also identified as the most significant risk stemming from the operating environment (Chapter 2), which further underscores jurisdictions' recognition of this risk and its potential impact on financial consumers.

In Finland, for example, consumers frequently filed complaints regarding slow customer service and response times, telephone queues, difficulties accessing in-person services (such as limited operating hours) and problems related to digital services. In the Netherlands, consumers lodged complaints about the blocking and closing of bank accounts by banks.

Table 6.1 presents the average annual percentage change in the number of consumer complaints received in the banking and payments sector between 2020 and 2025, split by the recipient of the complaint (firms, ADR schemes and supervisory authorities). The volume of complaints received by ADR schemes and supervisory authorities increased from 2023 to 2024, while the volume of complaints received by firms decreased.

Table 6.1. Average change in number of consumer complaints in the banking and payments sector, by recipient of complaint

	Firms	ADR	Supervisory Authority
2020 to 2021	↑ 7%	↑ 18%	↑ 24%
2021 to 2022	↑ 18%	↑ 45%	↑ 9%
2022 to 2023	-	-	-
2023 to 2024	↓ 6%	↑ 33%	↑ 9%
2024 to 2025	-	-	↑ 3%

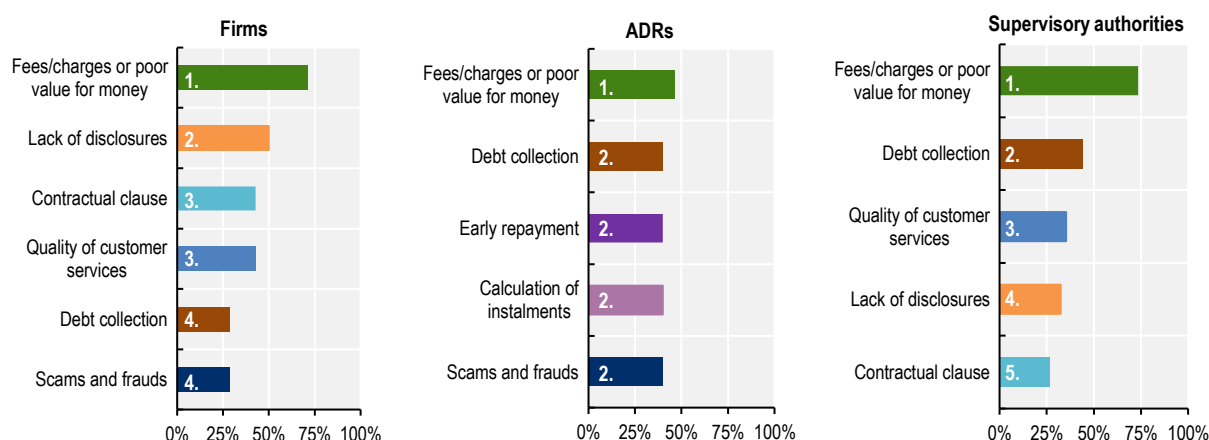
Note: Data points identified as outliers were omitted from this calculation for consistency. Data not available for 2022 to 2023.
Source: OECD Consumer Finance Risk Monitor Reporting Template 2023 & 2025.

Data on complaints received by financial services providers and ADR schemes in the banking and payments sector were not available for 2025 at the time of reporting. For complaints received by supervisory authorities, partial 2025 data indicate an estimated average increase of 3% compared to 2024. This estimate is based on linear extrapolation using year-to-date data provided by 28 jurisdictions.

6.3. Consumer credit

Figure 6.3. Consumer complaints in the consumer credit sector

Top subjects of consumer complaints received by firms, ADR schemes and supervisory authorities in 2025



Note: Horizontal bars represent the share of respondents who ranked this subject of complaints among the top five in their jurisdiction in 2025. Categories equally selected were assigned the same ranking number.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

Across the three recipient types, the most common topic of complaints in the consumer credit sector was fees, charges and poor value for money (Figure 6.3). Lack of disclosures, debt collection practices, scams and frauds, and quality of customer service were also common subjects of complaints.

In relation to credit cards, Hong Kong (China) reported complaints concerning unauthorised transactions and the operation of credit card reward schemes. Similarly, Brazil noted that complaint volumes reflected persistent issues related to transparency, suitability and customer service. Australia indicated that products

frequently used by low-income and vulnerable consumers tend to generate higher levels of consumer complaints and highlighted that fringe lenders often serve these cohorts.

Debt collection practices were among the top subjects of complaints received by ADR schemes and supervisory authorities regarding the consumer credit sector. Indeed, debt collection is an area that has potential for significant misconduct and consumer harm (FinCoNet, 2025^[10]). Consumers may, for instance, be unaware of their rights or have inadequate information to verify the debtor and debt amount, leaving them vulnerable to unfair treatment. As noted by Romania, sudden increases in complaints about debt collection practices (including aggressive collection practices) and arrears may be early warning indicators of declines in financial resilience among consumers.

Table 6.2 presents the average annual percentage change in the number of consumer complaints received in the consumer credit sector between 2020 and 2025, split by the recipient of the complaint (firms, ADR schemes and supervisory authorities). Complaints received by ADR schemes and supervisory authorities increased from 2023 to 2024, while complaints to firms decreased slightly.

Table 6.2. Average change in number of consumer complaints in the consumer credit sector, by recipient of complaint

	Firms	ADRs	Supervisory authorities
2020 to 2021	↓ 3%	↑ 6%	↓ 2%
2021 to 2022	↓ 5%	↑ 7%	↓ 13%
2022 to 2023	-	-	-
2023 to 2024	↓ 2%	↑ 34%	↑ 6%
2024 to 2025	-	-	↑ 21%

Note: Data points identified as outliers were omitted from this calculation for consistency. Data not available for 2022 to 2023.

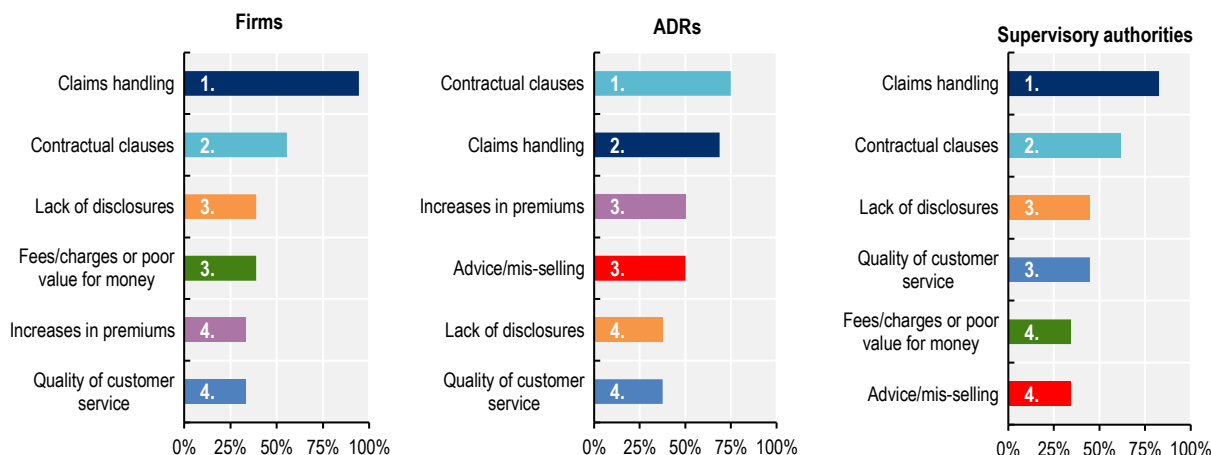
Source: OECD Consumer Finance Risk Monitor Reporting Template 2023 & 2025.

Similar to banking and payments, comprehensive data on consumer credit-related complaints received by firms and ADR schemes in 2025 was not available at the time of data reporting. Estimated projections of consumer credit-related complaints received by supervisory authorities in 2025 indicate an average increase of 21% from 2024. This estimate is based on data provided by 26 jurisdictions.

6.4. Insurance

Figure 6.4. Consumer complaints in the insurance sector

Top subjects of consumer complaints received by firms, ADR schemes and supervisory authorities in 2025



Note: Horizontal bars represent the share of respondents who ranked this subject of complaints among the top five in their jurisdiction in 2025. Categories equally selected were assigned the same ranking number.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

Claims handling and contractual clauses were the top two subjects of insurance-related complaints across all three recipient types (Figure 6.4). These top subjects are identical to those identified in the *Consumer Finance Risk Monitor 2024* (OECD, 2024_[9]).

Respondents noted that complaints related to claims handling spanned a range of insurance products, including motor insurance, health insurance and home buildings insurance. Complaints on claims handling can arise from issues such as the denial of claims or disagreements in the valuation of damages. These may be indicative of other issues, such as mis-selling of products or unsuitable product designs (OECD, 2024_[9]).

Table 6.3 presents the average annual percentage change in the number of consumer complaints received in the insurance sector between 2020 and 2025, split by the recipient of the complaint (firms, ADR schemes and supervisory authorities). On average, the number of complaints received by firms and supervisory authorities did not change significantly from 2023 to 2024. However, the average volume of complaints received by ADR schemes increased by 21%.

Table 6.3. Average change in number of consumer complaints in the insurance sector, by recipient of complaint

	Firms	ADRs	Supervisory authorities
2020 to 2021	↓ 5%	↑ 19%	↑ 7%
2021 to 2022	↓ 3%	↓ 7%	↓ 8%
2022 to 2023	-	-	-
2023 to 2024	↓ 1%	↑ 21%	↑ 3%
2024 to 2025	-	-	↑ 7%

Note: Data points identified as outliers were omitted from this calculation for consistency. Data not available for 2022 to 2023.

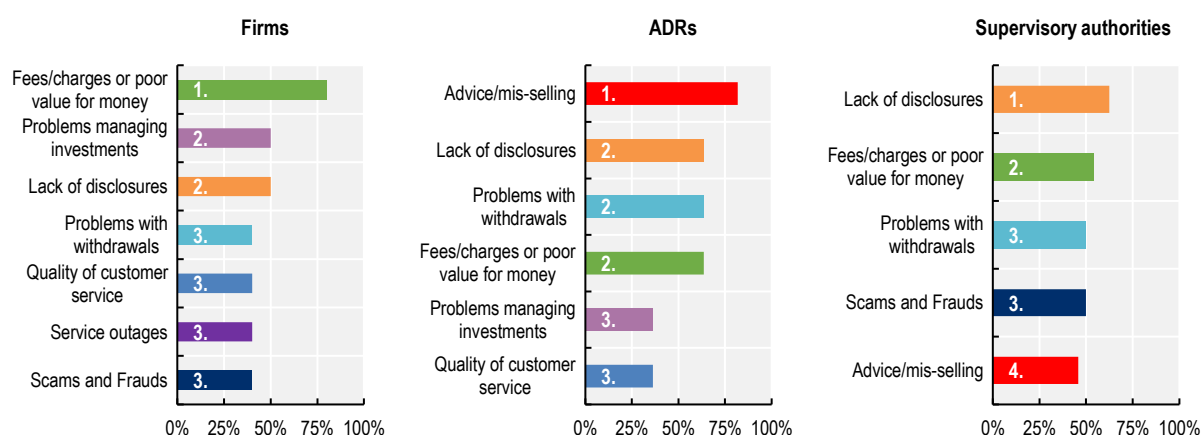
Source: OECD Consumer Finance Risk Monitor Reporting Template 2023 & 2025.

Similar to the other categories, data for 2025 was not sufficient to calculate projected trends in complaints received by firms and ADR schemes between 2024 and 2025. Based on data from 21 jurisdictions, it is estimated that complaints received by supervisory authorities increased by an average of 7% between 2024 to 2025.

6.5. Investments

Figure 6.5. Consumer complaints in the investments sector

Top subjects of consumer complaints received by firms, ADR schemes and supervisory authorities in 2025



Note: Horizontal bars represent the share of respondents who ranked this subject of complaints among the top five in their jurisdiction in 2025. Categories equally selected were assigned the same ranking number.

Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

As shown in Figure 6.5, the top subjects of complaints in the investment sector vary by recipient of the complaint. The most common subject of complaints to firms was fees and charges or poor value for money, which was the second most common topic of complaints received by supervisory authorities and ADR schemes. Lack of disclosures was the most common subject of complaints received by supervisory authorities, and the second most common type of complaints received by firms and ADR schemes. Advice and mis-selling was the top subject of complaints received by ADR schemes.

Table 6.4 presents the average annual percentage change in the number of consumer complaints received in the investments sector between 2020 and 2025, split by the recipient of the complaint (firms, ADR schemes and supervisory authorities). The number of investment-related complaints received by firms increased from 2023 to 2024, while the number of complaints received by ADR schemes and supervisory authorities decreased during this period. Based on linear extrapolation of year-to-date figures from 17 jurisdictions, it is estimated that investment-related complaints to supervisory authorities increased by an average of 6% between 2024 and 2025.

Table 6.4. Average change in number of consumer complaints in the investments sector, by recipient of complaint

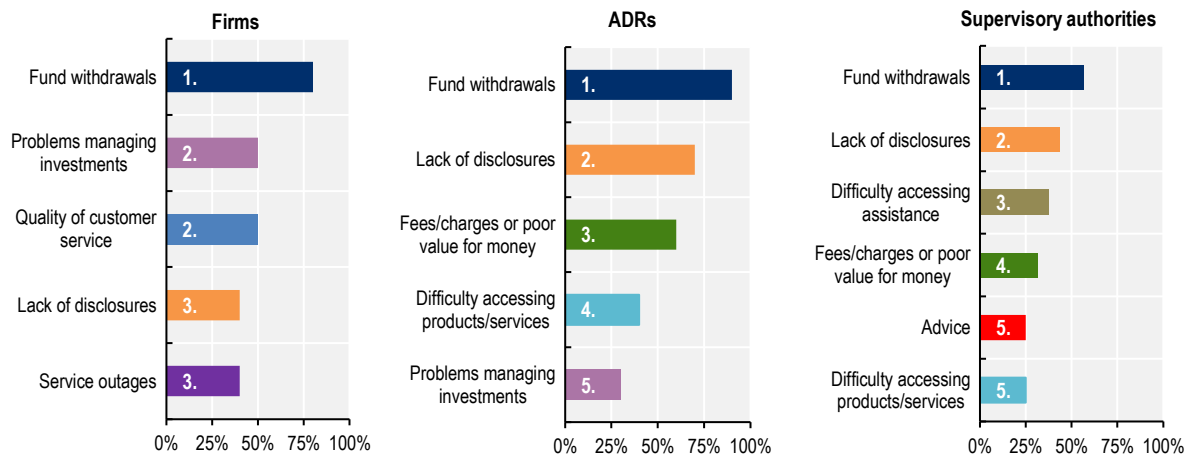
	Firms	ADRs	Supervisory authorities
2020 to 2021	↑ 15%	↓ 4%	↑ 17%
2021 to 2022	↑ 62%	↓ 10%	↓ 2%
2022 to 2023	-	-	-
2023 to 2024	↑ 34%	↓ 4%	↓ 15%
2024 to 2025	-	-	↑ 6%

Note: Data points identified as outliers were omitted from this calculation for consistency. Data not available for 2022 to 2023.
Source: OECD Consumer Finance Risk Monitor Reporting Template 2023 & 2025.

6.6. Pensions

Figure 6.6. Top five subjects of consumer complaints in the pensions sector

Top subjects of consumer complaints received by firms, ADR schemes and supervisory authorities in 2025



Note: Horizontal bars represent the share of respondents who ranked this subject of complaints among the top five in their jurisdiction in 2025. Categories equally selected were assigned the same ranking number.
Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

In the pensions sector, issues related to fund withdrawals were the top subject of consumer complaints across all three types of recipients (Figure 6.6). Lack of disclosure of information was the second most common subject of consumer complaints received by ADR schemes and supervisory authorities, and the fourth most common received by firms.

Table 6.5 presents the average annual percentage change in the number of consumer complaints received in the pensions sector between 2023 and 2025, split by the recipient of the complaint (firms, ADR schemes and supervisory authorities).¹ Pension-related complaints to ADR schemes and supervisory authorities fell between 2023 and 2024, while complaints received by firms increased during this period. Based on data from 17 jurisdictions, it is estimated that average change in complaints received by supervisory authorities decreased by an average of 7% between 2024 and 2025.

Table 6.5. Average change in number of consumer complaints in the pensions sector, by recipient of complaint

	Firms	ADRs	Supervisory Authority
2023 to 2024	↑ 22%	↓ 32%	↓ 23%
2024 to 2025	-	-	↓ 7%

Note: Data points identified as outliers were omitted from this calculation for consistency.
Source: OECD Consumer Finance Risk Monitor Reporting Template 2025.

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Notes

¹ Too few responses were provided via the 2023 Reporting Template to calculate a sufficiently representative average change in the number of complaints in the pensions sector by recipient of complaint. Thus, the table that appears in prior sections of this chapter with the earlier data was not reproduced for this section on the pensions sector.

7

Thematic risks, policy responses and actions

This chapter sets out thematic risks and highlights common policy responses developed to mitigate them. The chapter also identifies actions for policymakers, regulators and supervisors to consider.

This chapter highlights ongoing areas of risk, as well as emerging trends that may pose new risks to financial consumers. It highlights common policy responses to these risks, and sets out actions for policymakers, regulators and supervisors to consider.

While specific manifestations vary across jurisdictions, several thematic risks emerge from this year's data.

7.1. Current and emerging thematic risks

7.1.1. Risks associated with increasing digitalisation, including financial scams and frauds, financial exclusion and customer service channels

Digitalisation is a dominant force shaping the financial landscape, amplifying both opportunities and risks for consumers.

The rising incidence and severity of digital financial frauds and scams reflects a broader shift in such activity toward highly personalised, technology-enabled schemes. These schemes leverage instantaneous payments, social-media platforms, and sophisticated generative AI tools to create an increasingly challenging environment for consumers, and in some cases, regulators and supervisors. This trend mirrors earlier findings in the *Consumer Finance Risk Monitor 2024* and reinforces the need for co-ordinated policy responses.

Common threats include the rapid rise and sophistication of digital fraud and scams, including phishing, vishing and smishing, social-engineering attacks, identity theft, deepfakes, and AI-generated fraudulent content. In low and middle-income jurisdictions specifically, no single fraud type emerges as a priority threat. In many jurisdictions, including for example Australia, Bulgaria, Indonesia, Ireland, Italy, Latvia, Libya, Lithuania, Moldova, the Philippines, Poland, Spain, Türkiye and the United Kingdom, digitalisation, mobile banking and social-media-based financial activity are widening the reach of bad actors and being exploited for increasingly complex fraud schemes.

Digitalisation also carries the risk of creating new forms of financial exclusion, particularly for groups with low digital or financial literacy. Many jurisdictions report that the transition toward online-only channels and the closure of traditional bank branches are leaving behind older consumers, rural populations, and those lacking digital infrastructure or skills. Several jurisdictions, including Canada, the Netherlands, Poland and Sweden, note that branch closures and fully digital bank accounts can create barriers for consumers who rely on face-to-face interactions, making it harder to access essential services or resolve problems.

While digital interfaces can make information more user-friendly and accessible, rapid digital innovation may also introduce new sources of opacity that reshape more traditional conduct-related risks. The design of digital financial products and customer onboarding processes, particularly in mobile-first environments, may require consumers to make decisions within constrained interfaces, where salient information may be less visible and fee structures are insufficiently transparent. In addition, behavioural design features can influence product choice in ways that misalign with consumers' best interests (OECD, 2022^[1]), while hyper-personalised digital choice environments have the potential to amplify these risks by tailoring content to individuals and strengthening the influence firms can exert over consumer decisions (Dutch Authority for the Financial Markets, 2025^[2]). In parallel, the growing use of algorithmic decision making that consumers cannot easily understand or challenge, heightens the risk that individuals enter into unsuitable or costly financial arrangements without fully grasping their implications.

These developments are closely connected to emerging customer-service challenges. As financial institutions increasingly rely on digital channels, consumers often encounter automated systems that provide limited or unreliable support, especially when encountering problems or resolving disputes. Slovenia and the United Arab Emirates, for example, noted that when digital services are offered cross-border, complaints handling and redress mechanisms become increasingly fragmented and more complex.

The reduction in human interaction, combined with the growing use of AI chatbots that may produce inaccurate or incomplete information, can undermine consumers' ability to obtain timely, clear, and personalised assistance. Hong Kong (China) highlighted the risks of generative AI tools hallucinating (i.e. generating outputs that seem realistic but are factually incorrect, incomplete, lack important information, or lack relevance to the context). Together, these trends point to a gap: those already struggling with digital financial services face both more opaque products and fewer avenues for adequate customer support, which may amplify their vulnerability.

7.1.2. High levels of consumer debt

High levels of consumer debt are a significant and widely recognised cross-cutting risk, identified by many responding jurisdictions as a pressure point for household financial resilience. As outlined in Chapter 3, high levels of debt were the second most frequently selected demand-side risk, with a substantial number of jurisdictions anticipating that this risk will increase in 2026. Several respondents reported that some consumers are increasingly relying on credit to meet day-to-day expenses, reflecting broader cost-of-living pressures and, in some cases, insufficient income to cover basic needs. In jurisdictions such as Bosnia and Herzegovina, South Africa and Ukraine, some households face rising financial stress as essential expenditures outpace income growth. In Canada, 41% of consumers saw their debt increase year-over-year by the end of 2025, while over half relied on their savings to cope with economic conditions. These trends illustrate how economic pressures can strain household budgets and limit consumers' ability to manage or reduce their debt over time.

In addition to macroeconomic drivers, the design and distribution of certain financial products may contribute to higher levels of consumer indebtedness. Responding jurisdictions drew attention to the rapid expansion of digital lending channels, including online loans and credit-like products such as Buy Now Pay Later products, which offer quick and convenient access to credit but may obscure the true cost of borrowing or bypass robust affordability assessments. As reported in Chapters 3 and 5, jurisdictions such as Austria, Indonesia, Italy, and the Netherlands highlighted concerns that digital lending and Buy Now Pay Later products may encourage excessive spending, while others noted risks related to high credit card limits, aggressive marketing practices and inadequate suitability assessments. Several jurisdictions, including Finland, Jordan, and Serbia noted that when consumers repay debt without significantly reducing the principal owed, they are vulnerable to rising interest rates or unexpected shocks. Hidden or unclear fees associated with personal loans, credit cards and Buy Now Pay Later products were also reported as further increasing the likelihood of over-indebtedness.

These findings signal that high levels of consumer debt are shaped by both structural economic pressures and evolving market practices. As financial conditions remain tight in many economies, and as digital credit products and credit-like products become more accessible, the risk of consumers entering debt cycles is becoming more pronounced. This underscores the importance of robust responsible-lending frameworks and proactive supervisory oversight, alongside targeted financial education, to help prevent over-indebtedness and strengthen household financial resilience.

7.1.3. Increased complexity of financial products and services

The fast pace of innovation in the financial sector, including the development of new types of financial products and services, brings many benefits and opportunities for financial consumers looking to save, borrow and invest.

At the same time, innovation can lead to greater complexity of financial products and services, which risks widening the knowledge gap between financial service providers and intermediaries, and many financial consumers. Whether in the context of Buy Now Pay Later products, crypto-assets, digital credit, or retail investment platforms, many consumers may find it difficult to understand and assess risks or compare

products. This complexity is sometimes compounded by insufficient or unreliable information, aggressive marketing practices or the involvement of unlicensed actors, increasing exposure to harm. Furthermore, many of these financial products are relatively new to the market and may be available either in the absence of financial consumer protection guardrails, or with gaps in existing regulatory or supervisory frameworks. The emergence of AI-driven decision-making, both by firms and in consumer-facing tools, raises important questions about fairness, transparency, explainability and oversight. Although market penetration of products and services differ between high-income and low- and middle-income jurisdictions, these challenges are evident across all contexts. Jurisdictions such as Brazil, Indonesia, Italy, the Philippines, Serbia, and the Slovak Republic face risks stemming from regulatory gaps, consumer misunderstanding of complex digital financial products, and the expansion of unlicensed or partially regulated providers.

7.1.4. Consumer vulnerability

There is increasing recognition that consumer vulnerabilities are shaped by structural and demographic factors, as well as market conditions including the conduct of firms as noted in *Understanding and responding to financial consumer vulnerability* (OECD, 2025^[3]). In many jurisdictions, specific groups of consumers may be susceptible to experiencing vulnerability, including elderly consumers, rural populations, migrants or individuals with limited digital financial skills. These groups are often disproportionately targeted by scams and frauds, excluded from digital financial services, or exposed to unsuitable products. It is important to note that the conduct of financial services providers and the design of products and services also contribute to vulnerability more directly, irrespective of the characteristics and circumstances of consumers. As such, irresponsible market conduct can make consumers more vulnerable to harm, through unfair, abusive or predatory practices and product design choices that do not support positive consumer outcomes. This reinforces the broader message that financial consumer vulnerability is multidimensional and connected with personal characteristics and circumstances, market structures and firm behaviour.

Another important challenge stems from digital and AI-related risks that could increase the financial vulnerability of some consumers, such as opaque automated decision-making, algorithmic bias, misuse of AI in marketing or investment advice, and the general acceleration of financial disinformation online. This is particularly the case in Austria, Israel, Luxembourg, the Netherlands, New Zealand, South Africa and Spain.

7.2. Common policy responses

For jurisdictions seeking to address current and emerging risks to financial consumers, the most common responses include strengthening policy, regulatory and supervisory frameworks, leveraging technological innovation and tools, empowering consumers through digital financial literacy initiatives, and fostering cross-agency co-operation.

7.2.1. Strengthening policy and regulatory frameworks in line with the G20/OECD High-Level Principles on Financial Consumer Protection

Comprehensive and effective policy and regulatory frameworks are essential to provide an appropriate degree of financial consumer protection and allow policymakers to address gaps in oversight, for example relating to digital products, cross-border transactions, and new types of financial products and services that may pose new risks for consumers. Many authorities, including in the European Union, Bosnia and Herzegovina, and Canada, for example, are therefore strengthening their policy and regulatory frameworks. Such reforms frequently address consumer credit, including introducing responsible lending

standards (e.g. affordability assessments, borrower-based measures, fair conduct principles), addressing standards in debt collection and considering the application of such frameworks to new forms of credit and credit-like products, such as Buy Now Pay Later. New or strengthened policy and regulation also address digital assets, open finance and preventing financial frauds and scams.

7.2.2. Enhancing market conduct supervision capabilities and functions

Several jurisdictions are strengthening their market conduct supervisory capabilities, for example, through the use and deeper understanding of digital technologies, including AI, and expanding their supervisory toolkits. Other jurisdictions are at earlier stages of developing or establishing dedicated market conduct supervision functions, often beginning with creating the legal and institutional basis for market conduct oversight, strengthening monitoring and enforcement capacities, and progressively aligning national frameworks with emerging international standards.

Financial authorities in Croatia, Eswatini and Jordan are investing in SupTech solutions to enhance their capacity to identify conduct-related risks. Brazil, Libya, Malaysia and Romania are deepening data-driven and AI-enabled supervision, while Italy and Serbia are expanding the use of mystery shopping as a supervisory tool. Colombia, South Africa, Spain and the United Kingdom have used innovation hubs or regulatory sandboxes to support risk management and early oversight of new and innovative products and services entering the market, thereby enhancing their digital-era supervisory capabilities. Others are incorporating consumer-risk assessments into prudential supervision and capital requirements, leveraging complaints data to identify risk patterns and developing individual conduct profiles for intermediaries. For example, the United Kingdom launched a multi-firm review of complex exchange-traded products sold on an execution-only basis to assess whether distributors are meeting Consumer Duty obligations across product design, price and value, consumer understanding, outcomes monitoring, and support. In many cases, strengthening supervisory capabilities also entails enhancing an authority's approach to enforcement to ensure that regulators and supervisors can act decisively, when necessary, as part of the regulatory and supervisory toolkit.

7.2.3. Fostering cross-agency co-operation

Responding jurisdictions increasingly recognise that risks such as financial scams and frauds, misinformation, and cybercrime span financial, digital, consumer protection, and law-enforcement domains, requiring effective cross-agency co-operation to tackle such risks in a more holistic manner. For example, Brazil, Bulgaria, Italy, Lithuania Montenegro and North Macedonia are leveraging cross-agency co-operation to, among other things, combat financial scams and frauds and other illegal activities.

7.2.4. Empowering consumers

Many jurisdictions are focusing on improving their population's financial and digital literacy skills, including through targeted outreach to groups of consumers who may be vulnerable. For example, Armenia, Bulgaria, Canada, Colombia, Italy, Jordan, Lesotho, Malta, Montenegro, North Macedonia and Romania have implemented national financial literacy campaigns, targeted training programmes, and tailored outreach to specific groups such as youth and retirees. Actions include national financial and digital literacy campaigns, consumer-facing dialogues, public-awareness campaigns, and enhanced disclosure requirements.

Many jurisdictions also view such initiatives as an essential part of combating financial scams and frauds in rapidly changing digital environments. For instance, Hong Kong (China), Ireland, Malta, and Slovenia are adopting public-awareness and media-based campaigns to tackle financial scams and frauds, and other jurisdictions have launched targeted initiatives for vulnerable groups, such as elderly consumers or digitally inexperienced users. While jurisdictions frequently reported employing consumer awareness

campaigns to mitigate conduct-related risks arising from poor advice and dishonest sales practices (Chapter 4), tackling the root causes of these risks requires engaging directly with financial services providers to address incentives and cultures that may foster the risk of misconduct.

Tools such as price-comparison sites have an important role to play in improving consumers' ability to understand, compare, and use financial products safely. Hungary, Ireland, Israel, Italy and the Philippines among others use consumer-facing tools such as comparison platforms, chatbots, investor guides and mobile applications for complaints, to help consumers engage with markets more confidently. In some jurisdictions, innovative tools such as saving calculators (Poland), interactive workshops (Montenegro), and advisory networks (Hungary) aim to change consumers' day-to-day behaviours and reduce their exposure to financial scams and frauds and risk of over-indebtedness.

Overall, the responses show that jurisdictions are responding to emerging risks with a diverse mix of preventative supervision, technological innovation, co-ordinated enforcement, and strengthened consumer education.

7.3. Actions for policymakers, regulators and supervisors

Based on the findings of this edition of the *Consumer Finance Risk Monitor*, policymakers, regulators and supervisory authorities may wish to consider the following actions:

- **Ensure effective and comprehensive financial consumer protection frameworks are in place at the national level.** The G20/OECD Financial Consumer Protection Principles set out the essential elements of a comprehensive and effective framework, providing guidance to policymakers and public authorities seeking to establish or enhance policies and regulations to protect financial consumers. Jurisdictions that have yet to implement the G20/OECD Financial Consumer Protection Principles (or have only partially implemented them) should prioritise the full implementation of all twelve principles. Jurisdictions should also consider the merits of conducting periodic reviews to assess the adequacy of their financial consumer protection framework to identify any gaps and areas to strengthen, for example, regarding the application to new types of financial products, services and distribution channels. The OECD Recommendation on Consumer Protection in the field of Consumer Credit [[OECD/LEGAL/0453](#)] sets out recommended policy and regulatory measures that cover the life cycle of consumer credit transactions including before, during and after the point of sale. Given concerns about high debt levels and the risk of unsuitable lending, this international standard can serve as a key point of reference.
- **Establish and strengthen market conduct supervision and enforcement functions and capabilities.** SupTech applications, data analytics (including of disaggregated complaints), risk-based monitoring and outcome measurement will support supervisors to better anticipate, detect and respond to misconduct and ensure timely, proportionate and effective enforcement. Effective supervision and enforcement are essential to ensuring that policy and regulatory frameworks are properly observed and achieve their objectives.
- **Define clear objectives and strengthen measurement of effectiveness and outcomes of financial consumer protection and market conduct supervision activities.** Defining objectives and strengthening measurement will help jurisdictions track outcomes, target interventions, and assessing how regulatory or supervisory actions translate into improvements in the conduct of firms and contribute to improved outcomes for consumers, such as trust and confidence, fair treatment and financial well-being. This may be the subject of further work.
- **Strengthen system-wide approaches to tackling financial scams and frauds,** including co-ordinated approaches that bring together relevant bodies including financial authorities,

cybersecurity agencies, telecommunications regulators, law-enforcement bodies, financial and technology firms and consumer associations.

- **Develop clear policies and regulatory expectations for new types of financial products and services**, including for example digital assets, digital credit, Buy Now Pay Later, and AI-enabled financial services. This may involve, for instance, updating existing financial consumer protection policies and regulations, providing guidance about how existing financial consumer protection frameworks apply to such products, defining minimum disclosure requirements, clarifying accountability, and enhancing supervisory activity in new business models.
- **Empower consumers**, through financial literacy and digital financial literacy initiatives, including programmes targeted towards groups of consumers who may be vulnerable, and tools that improve consumers' ability to understand, compare and use financial products safely. Financial literacy programmes and consumer awareness campaigns should be evidence-based, designed using robust data on consumer needs and behaviours and accompanied by clear metrics and evaluation frameworks to measure their effectiveness and impact over time. *The OECD/INFE Adult Survey of Financial Literacy, Inclusion & Well-being 2026*, open to all jurisdictions to participate in, will measure progress at the national level, identify needs and priorities, and provide international benchmarking (OECD, 2026^[4]).
- **Support safe and inclusive digital transitions**, for instance through targeted digital financial literacy initiatives, inclusive design standards for financial services, and mechanisms to ensure access for consumers who rely on cash or in-person services.
- **Encourage international policy, regulatory and supervisory knowledge-sharing and co-operation**, particularly on common issues, challenges, and risks arising across jurisdictions, or risks arising from international digital actors, cross-border payments and online investment schemes.

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- OECD (n.d.), *Recommendation of the Council on Consumer Protection in the Field of Consumer Credit*, <https://legalinstruments.oecd.org/en/instruments/OECD-LEGAL-0453> (accessed on 29 November 2025). [6]

Annex A. List of participating jurisdictions

Table A A.1. List of respondents

	Jurisdiction	Organisation
1	Armenia	Central Bank of Armenia
2	Australia	Department of the Treasury Australian Securities and Investments Commission
3	Austria	Austrian Financial Market Authority Federal Ministry of Finance
4	Belgium	Federal Public Service of Economy Belgium
5	Bosnia and Herzegovina	Banking Agency of the Federation of Bosnia and Herzegovina
6	Brazil	Banco Central do Brasil (BCB)
7	Bulgaria	Bulgarian National Bank (BNB) Commission for Consumer Protection (CCP) Financial Supervision Commission (FSC) Ministry of Finance (MF)
8	Canada	Financial Consumer Agency of Canada (FCAC) Department of Finance Canadian-Anti Fraud Centre (CAFC) Ontario Securities Commission (OSC) Autorité des marchés financiers (AMF) - Québec
9	Colombia	Financial Superintendency of Colombia (SFC)
10	Costa Rica	Ministerio de Economía, Industria y Comercio (MEIC)
11	Croatia	Ministry of Finance
12	Czechia	Ministry of Finance
13	Eswatini	Central Bank of Eswatini
14	Finland	Ministry of Finance Ministry of Justice Ministry of Social Affairs and Health
15	Germany	Ministry of Finance Federal Financial Supervisory Authority (BaFin)
16	Greece	Bank of Greece (BoG) Hellenic Capital Market Commission (HCMC) Ministry of Development (MinDev) Ministry of Economy and Finance (MinFin)
17	Hong Kong (China)	Hong Kong Monetary Authority (HKMA)
18	Hungary	Central Bank of Hungary (MNB)
19	India	Reserve Bank of India
20	Indonesia	Bank Indonesia Otoritas Jasa Keuangan
21	Ireland	Central Bank of Ireland Competition and Consumer Protection Commission Department of Finance Ireland Financial Services and Pensions Ombudsman
22	Israel	Bank of Israel
23	Italy	Banca d'Italia CONSOB (Securities Commission) COVIP (Supervisory Board on Pension Funds) IVASS (Institute for the Supervision of Insurance)
24	Japan	Financial Services Agency
25	Jordan	Central Bank of Jordan
26	Kosovo	Central Bank of the Republic of Kosovo

	Jurisdiction	Organisation
27	Latvia	Consumer rights protection centre Latvijas Banka Ministry of Economics of the Republic of Latvia
28	Lesotho	Central Bank of Lesotho
29	Libya	Central Bank of Libya
30	Lithuania	Lietuvos bankas (Bank of Lithuania)
31	Luxembourg	Commissariat aux Assurances (CAA) Commission de Surveillance du Secteur Financier (CSSF)
32	Malaysia	Bank Negara Malaysia
33	Mali	Ministere de l'entrepreneuriat national, de l'emploi et de la formation professionnelle
34	Malta	Malta Financial Services Authority (MFSA)
35	Mauritius	Bank of Mauritius
36	Moldova	National Bank of Moldova
37	Montenegro	Capital Market Authority (CMA)
38	Mozambique	Banco de Moçambique
39	Nepal	Securities Board of Nepal
40	Netherlands	Authority for the Financial Markets (AFM) Ministry of Finance
41	New Zealand	Financial Markets Authority
42	North Macedonia	Agency for Supervision of Fully Funded Pension Insurance (MAPAS) Insurance Supervision Agency Ministry of Finance National Bank of the Republic of North Macedonia Securities and Exchange Commission of the Republic of North Macedonia
43	Panama	Superintendencia de Bancos Superintendencia del Mercado de Valores Superintendencia de Seguros y Reaseguros
44	Philippines	Bangko Sentral ng Pilipinas
45	Poland	Financial Ombudsman Office of Competition and Consumer Protection
46	Portugal	Autoridade de Supervisão de Seguros e Fundos de Pensões Banco de Portugal Comissão do Mercado de Valores Mobiliários (CMVM)
47	Romania	Financial Supervisory Authority National Authority for Consumer Protection National Bank of Romania
48	Serbia	National Bank of Serbia
49	Singapore	Monetary Authority of Singapore
50	Slovak Republic	Ministry of Finance of the Slovak Republic
51	Slovenia	Agencija za trg vrednostnih papirjev
52	South Africa	Financial Sector Conduct Authority
53	Spain	Banco de España Comisión Nacional del Mercado de Valores (CNMV) Directorate General of Insurance and Pension Funds Spanish Treasury
54	Sweden	Finansinspektionen (Financial Supervisory Authority)
55	Türkiye	Capital Markets Board of Türkiye Banking Regulation and Supervision Agency The Financial Crimes Investigation Board The Central Bank of the Republic of Türkiye Republic of Türkiye Ministry of Trade
56	Ukraine	National Bank of Ukraine
57	United Kingdom	Financial Conduct Authority (FCA)
58	Uruguay	Banco Central del Uruguay Superintendencia de Servicios Financieros

	Jurisdiction	Organisation
59	Uzbekistan	Central Bank of Uzbekistan
60	Zambia	Bank of Zambia

Annex B. Methodological notes for selected figures and glossary

Chapter 1: Monitoring risks faced by financial consumers

Figure 1.6. Goals and objectives of financial consumer protection regulatory and supervisory frameworks

All respondents are represented in the graph except for Mauritius and Uruguay. For the full list, see Annex A.

Chapter 2: Risks stemming from the operating environment

Figure 2.1. Operating environment risks

All respondents are represented in the graph except for India. For the full list, see Annex A.

Figure 2.2. Most significant operating environment risks, by income level

All respondents are represented in the graph except for India. For the full list, see Annex A.

Figure 2.3. Change in the number of reported financial scams and frauds

All respondents are represented in the graph except the following. For the full list, see Annex A.

Armenia	Austria	Bosnia and Herzegovina	Bulgaria
Costa Rica	Czechia	Germany	Hong Kong (China)
Hungary	India	Israel	Italy
Japan	Libya	Malaysia	Mali
Mauritius	Nepal	Netherlands	New Zealand
North Macedonia	Romania	Sweden	Türkiye
Ukraine	United Kingdom	Uruguay	Zambia

Table 2.1. Five most significant types of financial scams and frauds, by people affected and by financial losses

All respondents are represented in the table (*By people affected*) except the following. For the full list, see Annex A.

Bosnia and Herzegovina	Costa Rica	Germany	Japan
Malaysia	Uruguay		

All respondents are represented in the table (*By financial losses*) except the following. For the full list, see Annex A.

Austria	Bosnia and Herzegovina	Brazil	Costa Rica
Germany	Hong Kong (China)	Japan	Lesotho
Mali	Nepal	Philippines	Slovak Republic
Uruguay			

Chapter 3: Demand-side risks

Figure 3.1. Demand-side risks

All respondents are represented in the graph except for India. For the full list, see Annex A.

Figure 3.2. Most significant demand-side risks, by income level

All respondents are represented in the graph except for India. For the full list, see Annex A.

Chapter 4: Conduct-related risks

Figure 4.1. Conduct-related risks

All respondents are represented in the graph except the following. For the full list, see Annex A.

Austria	India	Kosovo	
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Figure 4.2. Most significant conduct-related risks, by income level

All respondents are represented in the graph except the following. For the full list, see Annex A.

Austria	India	Kosovo	
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Figure 4.3. Regulatory and supervisory actions taken in 2025 to address lack of or ineffective disclosures

Respondents:

Armenia	Australia	Bosnia and Herzegovina	Brazil
Bulgaria	Canada	Colombia	Czechia
Eswatini	Finland	Hong Kong (China)	Hungary
Ireland	Italy	Jordan	Lesotho
Mauritius	Montenegro	Nepal	Panama
Philippines	Portugal	South Africa	Uzbekistan

Figure 4.4. Regulatory and supervisory actions taken in 2025 to address poor advice or failure to conduct suitability assessments

Respondents:

Canada	Colombia	Eswatini	Hong Kong (China)
Japan	Libya	Lithuania	Malaysia
Malta	Moldova	Montenegro	Mozambique
North Macedonia	Panama	Poland	Serbia
Slovak Republic	Slovenia	United Kingdom	

Figure 4.5. Regulatory and supervisory actions taken in 2025 to address dishonest sales practices

Respondents:

Australia	Belgium	Brazil	Bulgaria
Croatia	Czechia	Israel	Italy
Japan	Jordan	Lithuania	Luxembourg
Mozambique	North Macedonia	Romania	South Africa
Türkiye	Ukraine		

Figure 4.6. Regulatory and supervisory tools

All respondents are represented in the graph except the following. For the full list, see Annex A.

Bosnia and Herzegovina	Costa Rica	Uruguay	
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Figure 4.7. Effectiveness of tools used to monitor conduct-related risks

All respondents are represented in the graph except the following. For the full list, see Annex A.

Bosnia and Herzegovina	Costa Rica	Finland	United Kingdom
Uruguay			

Chapter 5: Products and services giving rise to consumer detriment

Figure 5.1. Products and services giving rise to consumer detriment in the banking and payments sector

All respondents are represented in the graph except the following. For the full list, see Annex A.

Austria	Costa Rica	Japan	Luxembourg
Mauritius	Montenegro	Nepal	Singapore
Slovenia	Uruguay		

Figure 5.2. Banking and payment products and services giving rise to consumer detriment, by income level

All respondents are represented in the graph except the following. For the full list, see Annex A.

Austria	Costa Rica	Japan	Luxembourg
Mauritius	Montenegro	Nepal	Singapore
Slovenia	Uruguay		

Figure 5.3. Products and services giving rise to consumer detriment in the consumer credit sector

All respondents are represented in the graph except for following. For the full list, see Annex A.

Bosnia and Herzegovina	Hungary	India	Indonesia
Japan	Libya	Mauritius	Montenegro
Nepal	Singapore	South Africa	

Figure 5.4. Consumer credit products and services giving rise to consumer detriment, by income level

All respondents are represented in the graph except for following. For the full list, see Annex A.

Bosnia and Herzegovina	Hungary	India	Indonesia
Japan	Libya	Mauritius	Montenegro
Nepal	Singapore	South Africa	

Figure 5.5. Products and services giving rise to consumer detriment in the insurance sector

All respondents are represented in the graph except for following. For the full list, see Annex A.

Austria	Belgium	Bosnia and Herzegovina	Brazil
Costa Rica	Czechia	India	Indonesia
Japan	Libya	Mauritius	Nepal
Singapore	Uruguay	Uzbekistan	

Figure 5.6. Insurance products and services giving rise to consumer detriment, by income level

All respondents are represented in the graph except for following. For the full list, see Annex A.

Austria	Belgium	Bosnia and Herzegovina	Brazil
Costa Rica	Czechia	India	Indonesia
Japan	Libya	Mauritius	Nepal
Singapore	Uruguay	Uzbekistan	

Figure 5.7. Products and services giving rise to consumer detriment in the investments sector

Respondents:

Armenia	Australia	Austria	Bulgaria
Canada	Colombia	Croatia	Czechia
Eswatini	Finland	Greece	Hong Kong (China)
Hungary	Ireland	Israel	Italy
Jordan	Latvia	Lithuania	Luxembourg
Malta	Mauritius	Moldova	Montenegro
Mozambique	Nepal	Netherlands	North Macedonia
Panama	Philippines	Poland	Portugal
Romania	Slovak Republic	Slovenia	South Africa
Spain	Sweden	Türkiye	United Kingdom
Uruguay			

Figure 5.8. Products and services giving rise to consumer detriment in the pensions sector

Respondents:

Armenia	Australia	Bulgaria	Canada
Colombia	Croatia	Eswatini	Hong Kong (China)
Hungary	Israel	Italy	Kosovo
Latvia	Lithuania	Luxembourg	Malaysia
Malta	Mauritius	Montenegro	Mozambique
Netherlands	New Zealand	North Macedonia	Panama
Poland	Portugal	Romania	Slovak Republic
South Africa	Spain	Sweden	Türkiye
United Kingdom	Zambia		

Chapter 6: Consumer complaints

Figure 6.1. Total volume of consumer complaints

Firms - Responding Jurisdictions:

Australia	Belgium	Bulgaria	Canada
Colombia	Croatia	Finland	Greece
Indonesia	Ireland	Israel	Italy
Jordan	Kosovo	Lesotho	Libya
Malaysia	Mauritius	Montenegro	Mozambique
New Zealand	Portugal	Singapore	Slovenia
Spain	Türkiye	United Kingdom	Uzbekistan

ADR - Responding jurisdictions:

Armenia	Australia	Bulgaria	Canada
Colombia	Croatia	Czechia	Eswatini
Finland	Hungary	India	Ireland
Italy	Libya	Lithuania	Luxembourg
Mali	Montenegro	New Zealand	Philippines
Poland	Portugal	Singapore	Slovak Republic
South Africa	Spain	Türkiye	

Supervisory Authorities - All respondents are represented in the graph except the following. For the full list, see Annex A.

Bosnia and Herzegovina	Brazil	Canada	Costa Rica
Czechia	Eswatini	Germany	Hungary
India	Ireland	Japan	Kosovo
Latvia	Lithuania	Malta	Mauritius
Netherlands	Poland	Sweden	Uruguay

Figure 6.2. Consumer complaints in the banking and payments sector**Firms - Respondents:**

Indonesia	Israel	Italy	Lesotho
Portugal	Uzbekistan		

ADR - Respondents:

Armenia	Finland	Italy	Lithuania
Luxembourg	Philippines	Slovak Republic	

Supervisory Authorities - Respondents:

Armenia	Austria	Belgium	Bulgaria
Colombia	Croatia	Finland	Germany
Hong Kong (China)	Indonesia	Israel	Italy
Japan	Latvia	Lesotho	Lithuania
Luxembourg	Moldova	Mozambique	Netherlands
Panama	Philippines	Portugal	Romania
Serbia	Slovak Republic	Slovenia	Spain
Türkiye	Ukraine	Uzbekistan	

Figure 6.3. Consumer complaints in the consumer credit sector**Firms - Respondents:**

Armenia	Australia	Canada	Croatia
Greece	Israel	Kosovo	Lesotho
Lithuania	Malta	Mozambique	Netherlands
Poland	Portugal		

ADR - Respondents:

Armenia	Australia	Eswatini	Finland
Germany	Greece	Hungary	India
Ireland	Italy	Lithuania	Malta
Montenegro	Netherlands	Slovak Republic	South Africa

Supervisory Authorities - Respondents:

Armenia	Australia	Austria	Belgium
Bulgaria	Croatia	Finland	Germany
Hong Kong (China)	Israel	Italy	Latvia
Lesotho	Lithuania	Luxembourg	Malaysia
Malta	Mauritius	Moldova	Mozambique
Netherlands	North Macedonia	Panama	Philippines
Portugal	Romania	Slovak Republic	Slovenia
Spain	Türkiye	Ukraine	Uzbekistan
Zambia			

Figure 6.4. Consumer complaints in the insurance sector**Firms - Respondents:**

Armenia	Australia	Austria	Bulgaria
Canada	Croatia	Finland	Greece
Ireland	Italy	Kosovo	Lesotho
Lithuania	Malta	Mauritius	Mozambique
Netherlands	Portugal	Romania	

ADR - Respondents:

Armenia	Australia	Hungary	Malaysia
Slovak Republic	Spain	Eswatini	Hong Kong (China)
Finland	South Africa	Germany	Ireland
Lithuania	Malta	Netherlands	Romania

Supervisory Authorities - Respondents:

Armenia	Australia	Austria	Bulgaria
Croatia	Finland	Germany	Greece
Hong Kong (China)	Israel	Italy	Jordan
Latvia	Lesotho	Lithuania	Luxembourg
Malaysia	Malta	Moldova	Mozambique
Netherlands	Panama	Philippines	Portugal
Romania	Slovak Republic	Slovenia	South Africa
Türkiye	Ukraine		

Figure 6.5. Consumer complaints in the investments sector**Firms - Respondents:**

Australia	Canada	Ireland	Lithuania
Malta	Mauritius	Mozambique	Netherlands
North Macedonia	Portugal	Romania	Slovenia

ADR - Respondents:

Australia	Eswatini	Finland	Germany
Hungary	Ireland	Kosovo	Lithuania
Malaysia	Malta	Netherlands	Slovak Republic

Supervisory Authorities - Respondents:

Armenia	Australia	Bulgaria	Croatia
Germany	Hong Kong (China)	Israel	Kosovo
Latvia	Lithuania	Luxembourg	Malta
Moldova	Montenegro	Mozambique	Nepal
Netherlands	Philippines	Portugal	Romania
Slovak Republic	Spain	Sweden	Türkiye

Figure 6.6. Top five subjects of consumer complaints in the pensions sector**Firms - Respondents:**

Australia	Bulgaria	Hong Kong (China)	Israel
Kosovo	Lesotho	Lithuania	Malaysia
Malta	Mauritius	Netherlands	Portugal
Slovak Republic			

ADR - Respondents:

Australia	Eswatini	Hungary	Ireland
Lithuania	Malta	Netherlands	Slovak Republic
South Africa	Spain		

Supervisory Authorities - Respondents:

Armenia	Australia	Costa Rica	Croatia
Germany	Hong Kong (China)	Israel	Lesotho
Lithuania	Malta	Montenegro	Netherlands
Portugal	Romania	Slovak Republic	South Africa
Türkiye			

Glossary

Term	Definition
Account information services	An online service to provide consolidated information on one or more payment accounts held by the payment service user with one or more payment service providers.
Agent fraud	Deceptive acts carried out by agents of a financial services provider against their customers
Alternative dispute resolution mechanism	A generic term used to describe a range of procedures (including public ombudsmen or ombudsmen financed by relevant industry associations) designed to provide a way of resolving a dispute with a financial service provider (including their agents and outsourced parties) as an alternative to formal court procedures, and in addition to providers' internal complaints-handling mechanisms.
Buy Now Pay Later (BNPL)	A financial service, usually offered during the checkout process, that allows a customer to receive a good or service immediately but fully defer the payment for a certain amount of time or pay for it in instalments. The customer often, though not always, does not pay additional fees or interest charges if the instalments are repaid on time and in full. Generally, it involves a tri-partite transaction among the consumer, the merchant, and the BNPL provider.
Consumer complaints	Statements that express dissatisfaction or suspect misconduct by the provider of a financial product or service, including their agents and outsourced parties. Consumers may submit such statements directly to the provider, to a regulatory or supervisory authority, or to an external or alternative dispute resolution scheme.
Consumer Vulnerability	Consumers who are susceptible to detriment at a particular point in time, owing to the characteristics of the market for a particular product, the product's qualities, the nature of a transaction or the consumer's attributes or circumstances.
Decumulation	The process of converting pensions or retirement savings into retirement income
Digital wallet	Procedures agreed between the provider and the consumer to initiate payments from linked payment cards or accounts, which can be accessed through devices connected to the internet or through mobile communication systems. It can be incorporated in tools made available to the consumer by their financial institution or offered by a third party.
E-money	A monetary value stored electronically, including magnetically, represented by a claim on the issuer which is issued on receipt of funds for the purpose of making payment transactions, and which is accepted by a natural or legal person other than the electronic money issuer.
Financial scams and frauds	Deceptive acts or operations aiming to gain a dishonest advantage financially.
Financial well-being	A state in which individuals are able to smoothly manage their financial needs and obligations, can cope with negative shocks, can pursue aspirations, goals and capture opportunities, and feel satisfied and confident about their financial lives, keeping in mind country specific circumstances.
Gadget insurance	Policies that protect consumers' mobile phones or other electronic items against accident loss, damage or theft.
Innovation hub	Usually provides a specific scheme, via which firms can engage with the supervisor to raise questions and seek clarifications or non-binding guidance about FinTech related issues in the context of compliance with the regulatory framework, licencing or registration requirements, and regulatory and supervisory expectations.
Internal fraud	Deceptive acts or operations carried out by employees within a financial services provider
Mobile banking	A service allowing customers to access their financial accounts, carry out transactions and manage their finances from their mobile devices.
Payday lending	Short-term, low-value, high-cost loans to cover immediate cash needs typically repayable on borrower's next payday or when income is received and usually granted without an assessment of the borrower's creditworthiness.
Price walking	A form of price discrimination, often in insurance markets, in which new customers are offered preferential rates while long-time customers see their premiums rise repeatedly due to factors that are not linked to the risk-profile of the customer and the cost of service.
Product governance	The systems, procedures and controls in place in financial services firms to design, approve, market and assess financial products through their life cycle to ensure that they meet consumers' interests and objectives and the relevant regulatory requirements.

Push payments	A payment transaction initiated by the payer or sending customer. In the context of PSD2, also known as “credit transfers”.
Regulatory sandbox	Provides a special scheme, in which companies can test innovative financial products, services, or business models with actual customers in a controlled environment (a ‘sandbox’) pursuant to a specific testing plan agreed with the supervisor and subject to the application of distinct safeguards.
Salary advance/earned wage access	A service, often offered by an employer in partnership with a third-party provider, that allows “early access” to a certain portion of an employee’s wages before payday. Such services also exist under a “direct-to-consumer” form, in which providers gain access to a consumer’s banking data and allow the consumer to request an advance on upcoming salary payments.
SIM swapping	A type of fraud that allows the perpetrator to gain access to the victim’s phone number, which can then be used as part of two-factor authentications to access bank or other financial accounts. The scammer generally contacts the victim’s mobile phone carrier and convinces them to activate a SIM card in the scammer’s possession.
Super apps	Super apps provide end users with a one-stop shop for a variety of services (messaging, e-commerce, ride hailing, lodging – as well as payment and other financial services) and are typically offered by big tech companies, i.e., large companies with an established technology platform.
Supervisory letter	Official correspondence from a supervisory authority to a regulated firm. It can serve an educational purpose, i.e., to inform about the applicability of relevant legislation, rules, or guidelines and how they should be interpreted or applied in a specific situation. It may also serve as a warning, i.e., notifying a firm that they have violated a relevant rule under the supervisory authority’s purview and that failure to remedy the violation may lead to enforcement action.
Supervisory statement	Guidelines issued by supervisory authorities setting flexible frameworks for firms, incorporating new and existing expectations.
Transaction account	An account at a bank or other financial institution that can be used to receive transfers, make withdrawals or initiate payments.
Unit-linked insurance	A type of investment, often offered by a life insurance company, in which the payments are linked to individual shares within a fund.
Warning/notice	A notice issued by a supervisory authority indicating its intention or consideration of taking further action against a regulated/supervised entity or individual.

Consumer Finance Risk Monitor 2026

Consumers of financial products and services face a complex and dynamic financial landscape, characterised by a wide range of opportunities and risks. Drawing on original data from 60 countries and economies worldwide, this second edition of the Consumer Finance Risk Monitor examines issues, trends and challenges affecting financial consumers, and discusses policy responses from policymakers, regulators and supervisors. It explores trends in financial scams and frauds, as well as consumer harms and complaints across five product sectors: banking and payments, credit, insurance, investments and pensions. This report also describes regulatory and supervisory responses taken by oversight bodies to address market conduct risks, including monitoring tools and consumer protection policy responses.



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